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Research Institute

The long road: Quantifying Europe's exposure to transport disruption

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Heightened geopolitical risk in the Middle East has placed European transport networks under intense scrutiny, with a particular focus on the supply of jet fuel given the high share of the Gulf in the global supply of kerosene.

For the supply side of the European economy and overall input availability, the risk from a shortage of jet fuel is relatively small. The dominant fuel dependency for goods production is on diesel and electricity, reflecting the four-fifths share of input costs taken by land transport (road and rail).

The true vulnerability to a shortage of jet fuel lies squarely with the tourism sector. Our simulation shows a 10% drop in tourism flows would have a moderate impact on the Euro Area, on average (-0.2% of GDP), but a more significant impact on countries like Croatia (-1.5%), Greece, and Portugal (-0.7%).

Beyond the specific risk to jet fuel, a wider disruption to the global supply of transport would expose a more fundamental European vulnerability: the physical length of supply chains. To measure this vulnerability, we introduce a "physical distance travelled" metric, reflecting how far inputs travel for every industry. It reveals two critical points:

— A clear geographic divide: The economies with the longest supply chains are generally located in Southern Europe. Lacking deep integration with Europe's industrial core their value chains are inherently more global and reliant on long-distance sourcing. This exposure to transport frictions could create a vulnerability for some of the zone's high-debt member states. These countries are also those we previously found to have the highest energy import bill sensitivities.

— A dual "hidden" risk: From a sector perspective, the most-exposed sectors besides tourism are capital goods (electronics, air/spacecraft, machinery) and materials manufacturing (metals, refineries), whose supply chains stretch nearly 5,000 km, on average. Crucially, these are the same value chains we previously identified as having high "hidden" energy content, indicating a dual vulnerability to both transport shocks and embedded energy costs.

What does this mean for the ECB? Our baseline view is a 'measured' tightening with 50bp of hikes to 2.50%, the upper end of the range of neutral. With the labour market cooling, financial conditions tightening and this threat of fuel shortages, the growth outlook is not robust enough to think the ECB hikes much beyond 2.50%. The challenge for the ECB could be fragmentation if fuel shortages have a differential impact on member states.

Concerns shifting from energy to transport. Aviation of particular concern. As we highlighted in a recent note, Europe's economic exposure to the Gulf conflict is twofold, and is more complex than the singular energy shock of the Russia-Ukraine war. Risks of direct shortages in energy and key materials like petrochemicals or mineral fuels are now coupled with a more complex threat: second-order disruptions to global value chains.

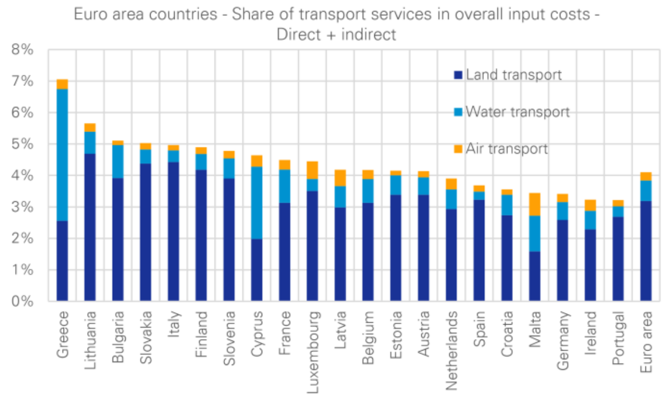
Transport disruption is one of the most significant vectors of transmission for both these risks. As an input at every stage of production, the transport sector's resilience is once again at the forefront amid reports of looming fuel shortages and logistical bottlenecks. In all this, jet fuel is of particular concern, as shown by recent statements by the Head of the International Energy Agency on April 16 that Europe has "maybe six weeks of jet fuel left", and our own calculations that the share of Gulf countries as a source for EU imports of kerosene reaches 56%.

As our transportation sector specialists explain, the market is already under pressure. Jet fuel prices have doubled, and while replacement barrels from the US and Africa have helped Europe plug the gap for now, this fragile balance is unlikely to survive the summer demand surge. Airlines are already cancelling unprofitable flights and face difficult trade-offs between raising prices and eroding consumer confidence.

In this article, we think about the European economy's exposure to potential global transport disruption – in particular jet fuel – from two complementary perspectives. First, from a supply or production perspective, we look at the role of various forms of transport in European supply chains, including air transport, while introducing a distance metric reflecting how far European inputs travel and are exposed to transport disruptions. Second, from a demand or income perspective, we look at the exposure of European economies to tourism and in turn tourism's exposure to air travel.

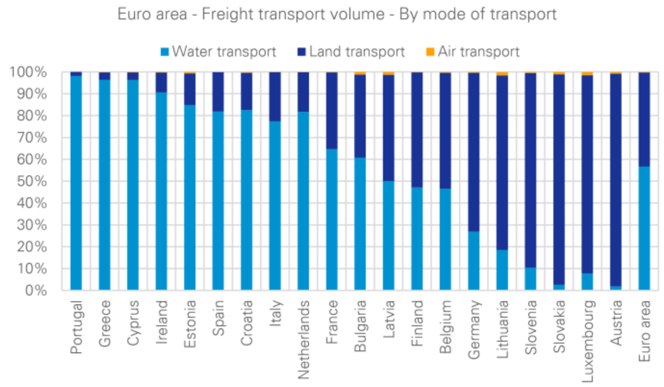
How much transport in value chains? 3-5% of inputs, of which little air transport. A traditional way to assess transport dependency is to measure its overall share in inputs along the value chain.

Figure 1: Cost share of transport services in Euro area input purchases, dominated by land. Air is tiny



Source: Deutsche Bank Research, OECD ICIO. The figures include the absorption of all transport services at every stage of production, including that required to move inputs between two foreign suppliers (ie indirect absorption).

Figure 2: By physical weight, maritime shipping dominates freight transport



Source: Deutsche Bank Research, Eurostat (tran_hv_ms_frmod). The unit used for measuring the freight transport shares is the tonne-kilometre (tkm). One tonne-kilometre represents the movement of one tonne over a distance of one kilometre.

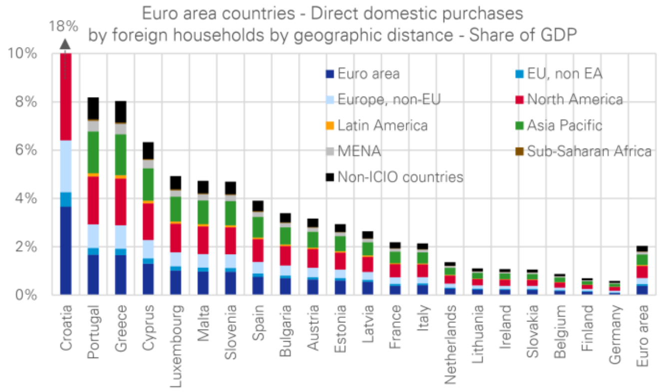
Our calculations, using a methodology [popularized by the OECD](), suggest transport services account for 3-5% of total input purchases across the Euro area (Figure 1), with some notable outliers like Greece at 7%. Among the Big4, the role of transport is more pronounced in Italy and France (4.5-5%), less so in Germany and Spain (3-4%).

Land transport constitutes the bulk of this transport cost – approximately four-fifths. The share of water transport is significantly smaller, except for trade-reliant coastal nations like Greece, Malta, and Cyprus. Importantly, air transport represents only a minor share overall.

Implications for fuel usage. The dominance of land transport (i.e., road and rail) in the cost structure implies that the most significant fuel availability risk in the supply of goods and services comes from disruptions to diesel and electricity, not jet fuel. Given air freight's minimal share in both costs and physical volume of freight (as confirmed by both our analysis and Eurostat data in Figure 2), even a severe, un-substitutable 10% shortage of jet fuel may not cause much disruption to the flow of inputs and economic production in Europe.

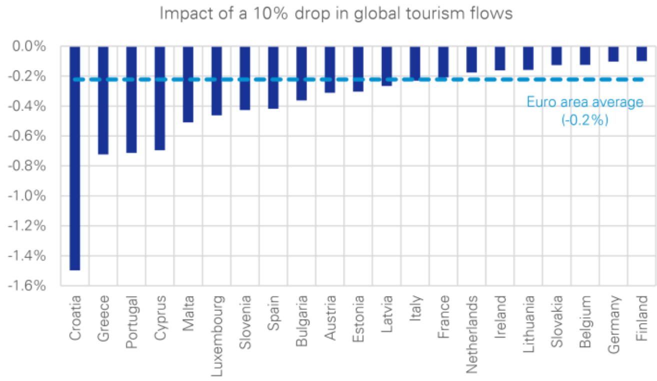
Tourism: a distinct, service-based vulnerability. The above numbers, focusing on freight and input purchases, do not capture the broader issue of the tourism economy: tourism involves moving individuals – not freight – and air transport is not counted as a formal input to the hotels, restaurants, and cultural activities that constitute the tourism economy (i.e., hospitality, recreation), but generally as a purchase by households.

Figure 3: The high share of long-distance travellers in direct foreign purchases (spending by foreign tourists)



Source: Deutsche Bank Research; OECD ICIO.

Figure 4: Tourism is where the Euro area's vulnerability to jet fuel and air transport becomes significant



Source: Deutsche Bank Research, OECD ICIO. The simulation focusses on the impact of spending by foreign tourists, and does not capture domestic tourism. As such, the numbers differ from the estimates of the sector's footprint published by Eurostat

In Figure 3, we calculate the share of GDP driven by direct purchases by foreigners (spending by foreign tourists). The result, unsurprisingly, is that the nations of Southern Europe are much more exposed, on average, but all nations in Europe derive income from a demand perspective from far-away visitors. We estimate that about three quarters of that spending is made by foreigners having travelled more than 2,000 km (50% of the spending by travellers more than 5,000 km away, often placing them on another continent).

A simulated 10% drop in global tourism flows reveals a manageable cost for the Euro Area, on average (a 0.2% hit to GDP – Figure 4). The impact is more pronounced in Croatia (GDP falling 1.5%), and Greece and Portugal (both seeing declines of 0.7%). On the Big4 countries, Spain would be faced with the most significant loss (0.4%), while France, Italy (0.2%) and Germany's (0.1%) exposures are more modest.

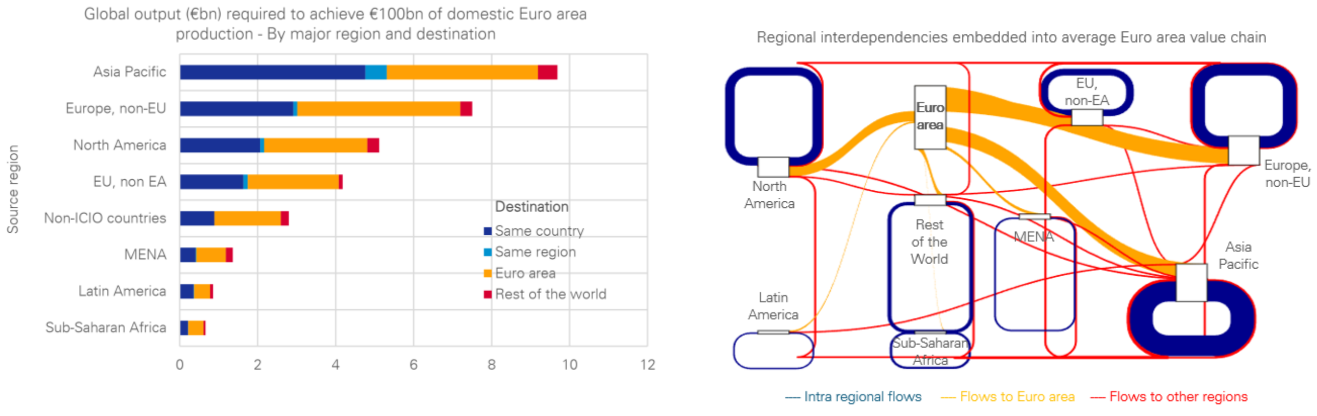
An important caveat to bear in mind: in cases of severe disruption of air travel, holidaymakers would likely travel more locally, which should reduce the size of a shock to the tourism industry. The overall impact will still depend on the size of the tourism sector relative to local demand.

Beyond jet fuel: Measuring exposures to transport friction. The focus on jet fuel, while critical for tourism, highlights a greater strategic risk: energy-driven transport disruptions may not stop at kerosene. A broader shock to transport fuels affecting diesel and maritime fuels would more certainly curtail the physical movement of goods. In such a scenario, what matters is not just the cost of transport, but a value chain's fundamental exposure to distance.

To assess this exposure, we introduce the "physical distance travelled" metric. This measure goes beyond a simple 'average import distance' to quantify the total physical journey embedded in the Euro Area's inputs to production, including domestic trade and all transactions that occur before a final good is imported. It reveals the true length – and vulnerability – of our supply chains. Deutsche Bank clients can access further details including the methodology on our Deutsche Bank Research client site.

Figure 5 illustrates the main input to the calculations. It shows the global transactions required to generate €100bn of production of an average good/service in the Euro Area, and where this output is directed. Both charts contain the same data, with the left-hand one showing how output is broken down (domestic consumption vs. exports), while the right-hand one illustrates the complex connections across regions to feed the Euro Area with inputs. The blue and red links represent the Euro Area's indirect exposure.

Figure 5: Picturing the global web of inputs for Euro area production



Source: Deutsche Bank Research, OECD ICIO. Note: our distance metric also includes the intra Euro area trade required in the value chain, not displayed in this chart.

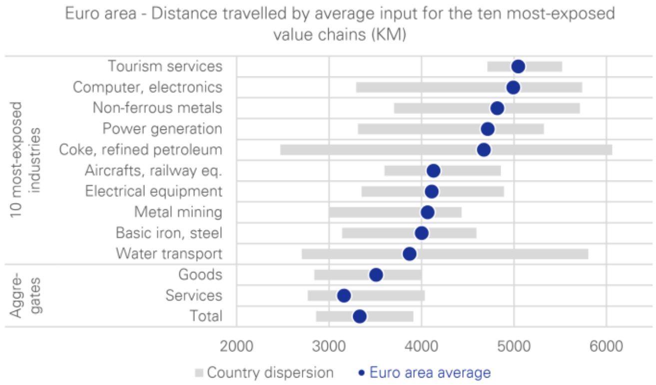
We find a significant reliance on external partners, requiring approximately €10bn in output from the Asia-Pacific region alone. The charts also highlight the complexity of these value chains: a large portion of the Asian output is transacted and transformed internally (the blue segments) before being exported.

Tourism is clearly at risk, while the capital goods and materials value chains stand out on the goods-producing side. Southern Europe is more vulnerable, too.

The distance metric we calculate is simply the sum of the distances between the nodes in Figure 5 in kilometres, weighted by their values (it also includes intra euro area trade, not displayed in the chart). It shows that the longest, and, therefore, most transport-exposed, value chains in the Euro Area fall into three clear categories:

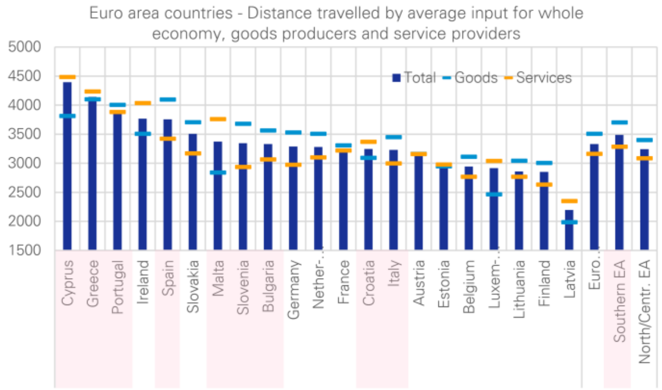
- First are tourism services, with most countries deriving a significant portion of revenue from travellers residing more than 5,000 km away (Figure 6).
- Second, Capital goods, where production is globally fragmented. Here, the computer and electronics sector stands out, with the average input traveling nearly 5,000 km, the longest of any European industry, after tourism. Other capital goods sectors like aircraft/railway equipment and electrical equipment (4,100 km) also exhibit noticeably long supply chains.
- The third category is materials manufacturing. Industries like non-ferrous metals (4,800 km), coke/refined petroleum (4,700 km), and iron/steel (4,000 km) all rely on sourcing raw materials from distant global locations. Notably, these are the same value chains we previously identified as having a high "hidden energy" imported content, indicating a dual vulnerability to both energy shocks and transport disruption.

Figure 6: Highest distance dependency for European tourism services, capital goods, and materials.



Source: Deutsche Bank Research, OECD ICIO

Figure 7: Longer distances in Southern European value chains



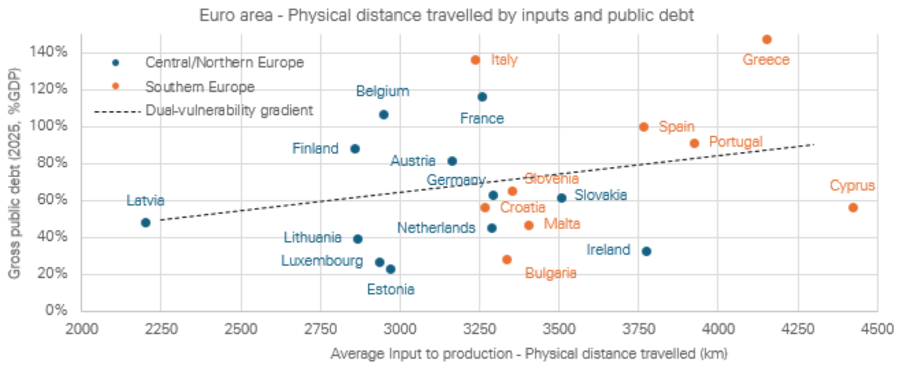
Source: Deutsche Bank Research, ICIO

In terms of geographies, the simulations show that several Southern European countries have longer-than-average supply chains: a group including Cyprus, Greece, Portugal, and Spain are all positioned at the higher end of the spectrum (Figure 7). An average calculated for the nine Southern Euro area economies yields a kilometric distance of 3,490 km, a figure higher than the Euro Area average of 3,330 km. For goods producers within this southern bloc, the average distance is even longer, at 3,700 km.

The higher exposure to transport frictions could, therefore, create a vulnerability for some of the zone's high-debt member states (Figure 8). These countries are also those we previously found to have the highest energy import bill sensitivities.

Italy and Croatia are exceptions to this pattern, showing shorter supply chain distances more aligned with the industrial core of the Euro area, like Germany and France (3,200-3,300 km).

Figure 8: A vulnerability to transport disruptions for some of the highest-debt member States



Source: Deutsche Bank Research, OECD ICIO

What this means for the ECB: Measured tightening…at most

A negative supply shock pushes prices up and activity down. These opposing forces can neutralise the impact on monetary policy ('look through'). The ECB is nervous that the size and persistence of the upside inflation shock might need a tightening of monetary policy to ensure that inflation remains anchored at 2% in the medium term. However, the downside risks to growth are not irrelevant. The more significant the downside risks to growth, the less likely is a large or persistent inflation shock. Monetary policy needs to carefully weigh the inflation effects against the growth effects.

If Europe suffers from an outright shortage of transport fuels, then growth will undoubtedly weaken more than expected (assuming no substitutability of fuels or other sources of transport). Shortages could also push transport prices up even more, but only if firms believe demand can sustain even sharper price hikes, and this cannot be taken for granted – especially when the fiscal response to the crisis is limited and financial conditions are tightening.

In other words, if fuel supply shocks intensify to the point of outright shortages in Europe, it is not obvious that monetary policy would have to tighten even more than expected. It is even possible that monetary policy tightens less.

Our view is that the downside risks to growth are becoming more significant. One reason is the impact of the energy shock on supply chains. As discussed above, there are multiple aspects to this shock on supply chains.

First, we recently wrote about the hidden energy costs in Europe's imports, particular from Asia, a region where the risk of production disruptions from energy shortages is more acute.

Second, last year, we wrote about the high complexity (and low substitutability) of Europe's imports from Asia (China in particular). This increases the risk of an Asian shock compromising European supply chains.

Third, in this note, we offer a complementary perspective by showing the actual length ('physical distance travelled') of Europe's supply chains. The member states most at risk of an economic cost from a limited supply of transport fuels are those with longer supply chains. Generally speaking, they are also the ones with higher levels of public debt.

The bottom line is we see the net inflation/growth arguments favouring a measured ECB tightening at most. Our baseline is 50bp of hikes to 2.50%, with quarter point hikes in June and September. With the labour market cooling, financial conditions tightening and a threat of fuel shortages, the growth outlook is not robust enough to think the ECB hikes much beyond 2.50%. The challenge for the ECB could be fragmentation if fuel shortages have a differential impact on member states.

Appendix 1

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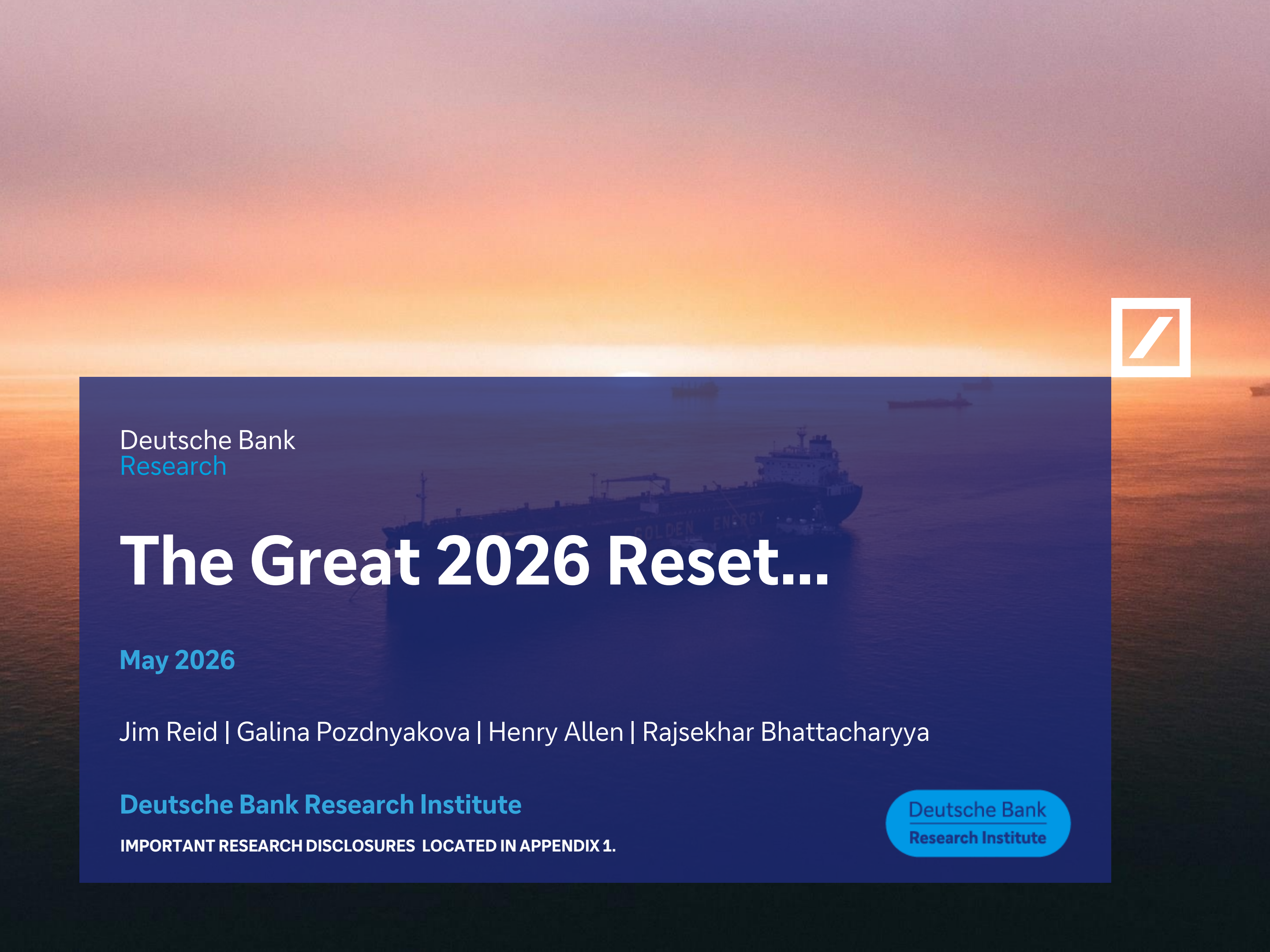

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The Great 2026 Reset…

May 2026

Jim Reid | Galina Pozdnyakova | Henry Allen | Rajsekhar Bhattacharyya

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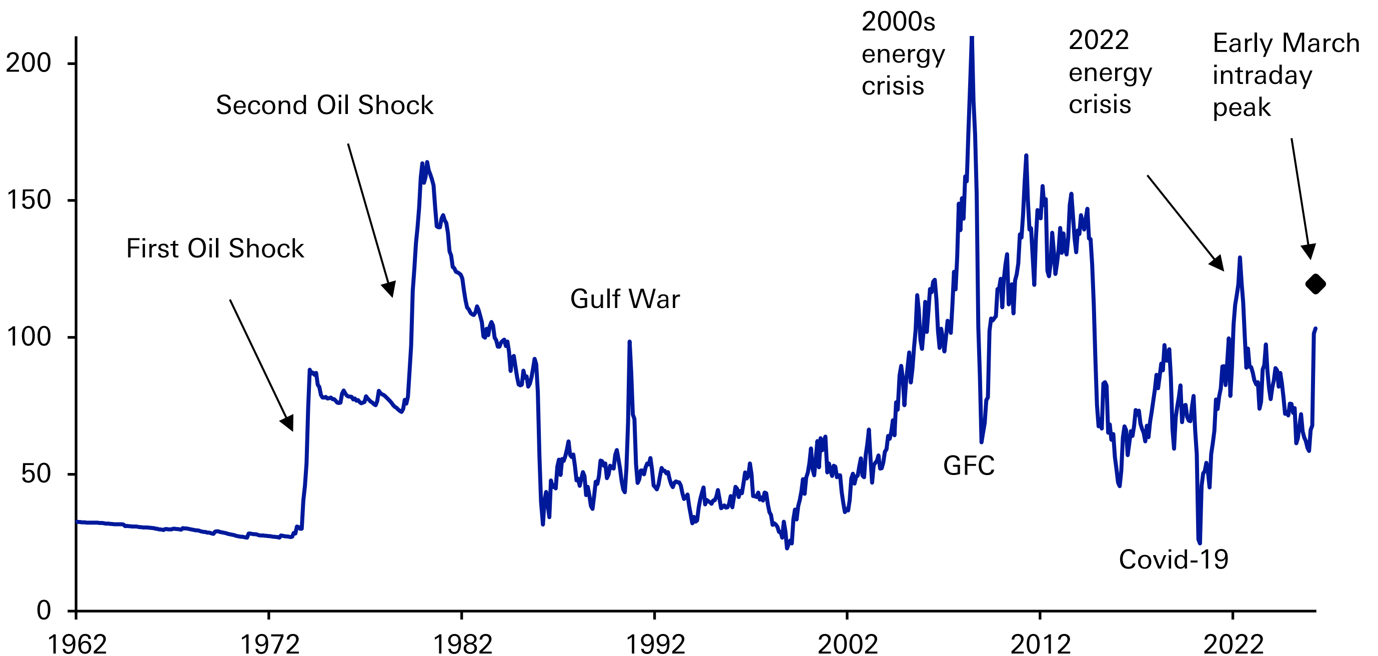
Today’s oil shock is now becoming one of the bigger ones of recent decades… but despite the headlines, it’s some way from being the most serious ever…

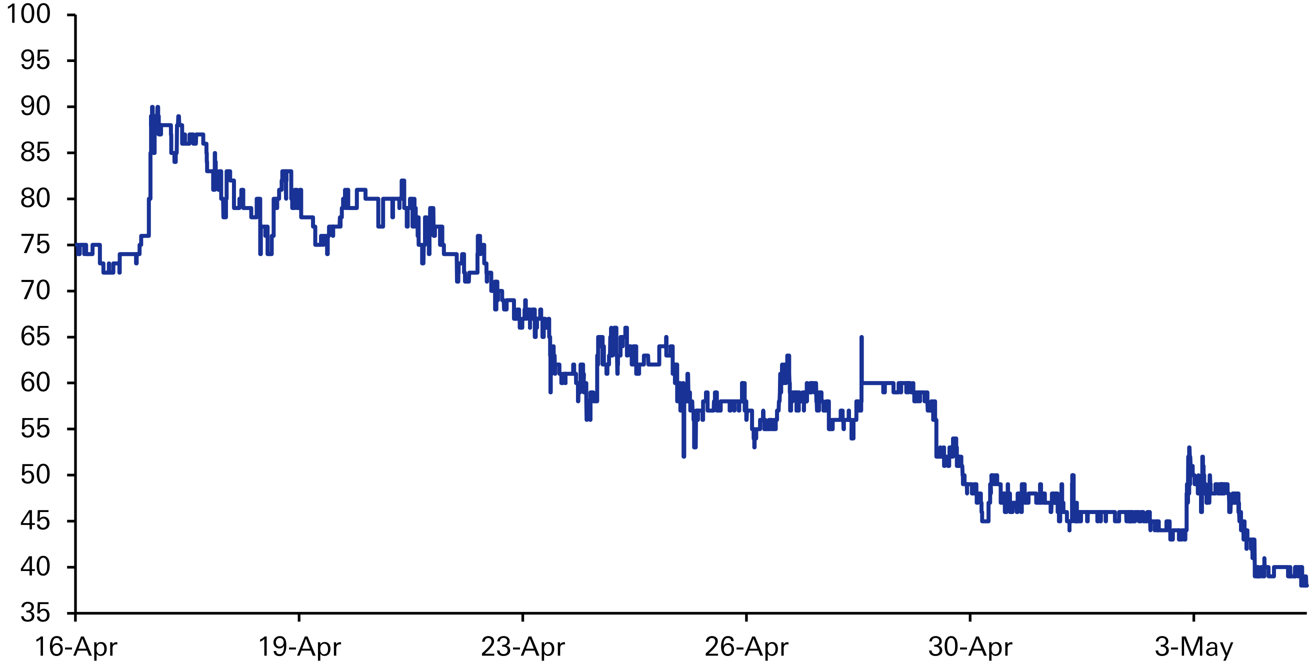
WTI Oil Prices in real terms ($/bbl)



Source : Finaeon, Bloomberg Finance LP, Deutsche Bank.

Probability markets (and likely global investors) are becoming increasingly pessimistic about an imminent return to normality...

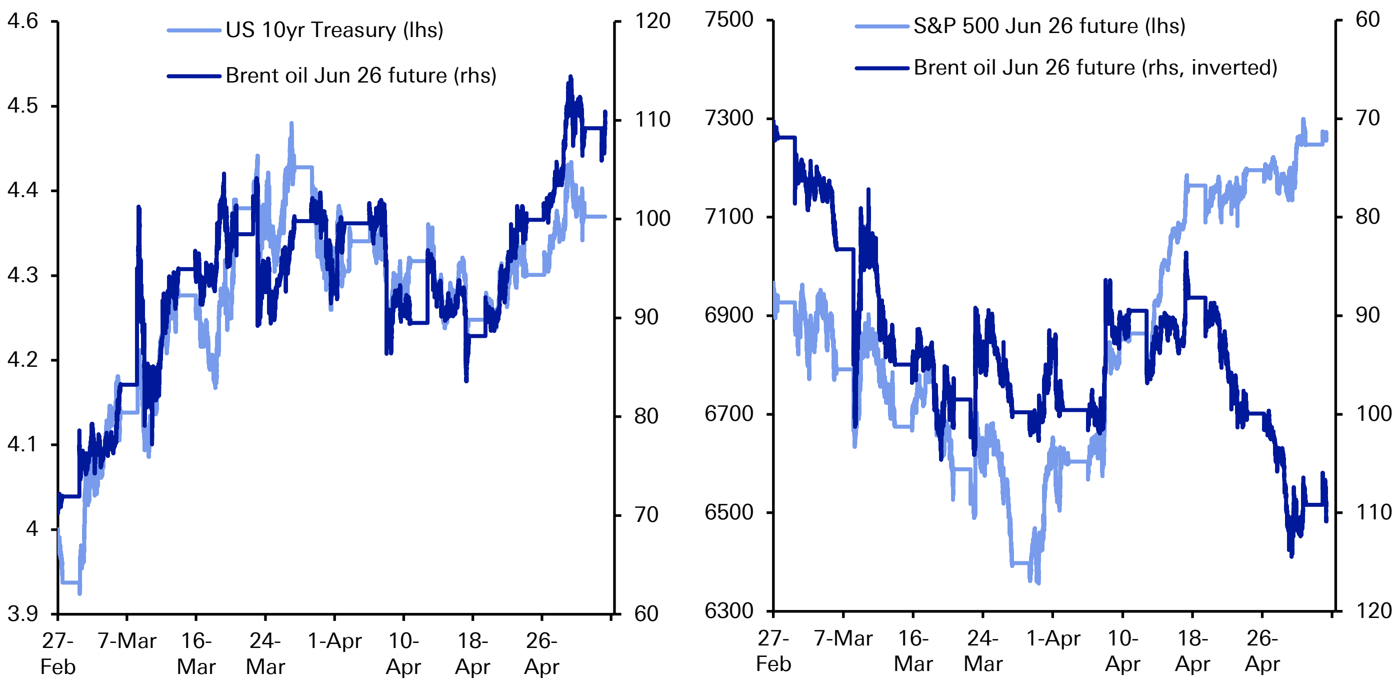
Polymarket probability (%) of the Strait of Hormuz traffic returning to normal by the end of June 2026.



Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 5

However, there's been an interesting divergence between equities and rates… the 10yr Treasury is still trading in a tight correlation with oil. US equities have now seen a big decoupling…

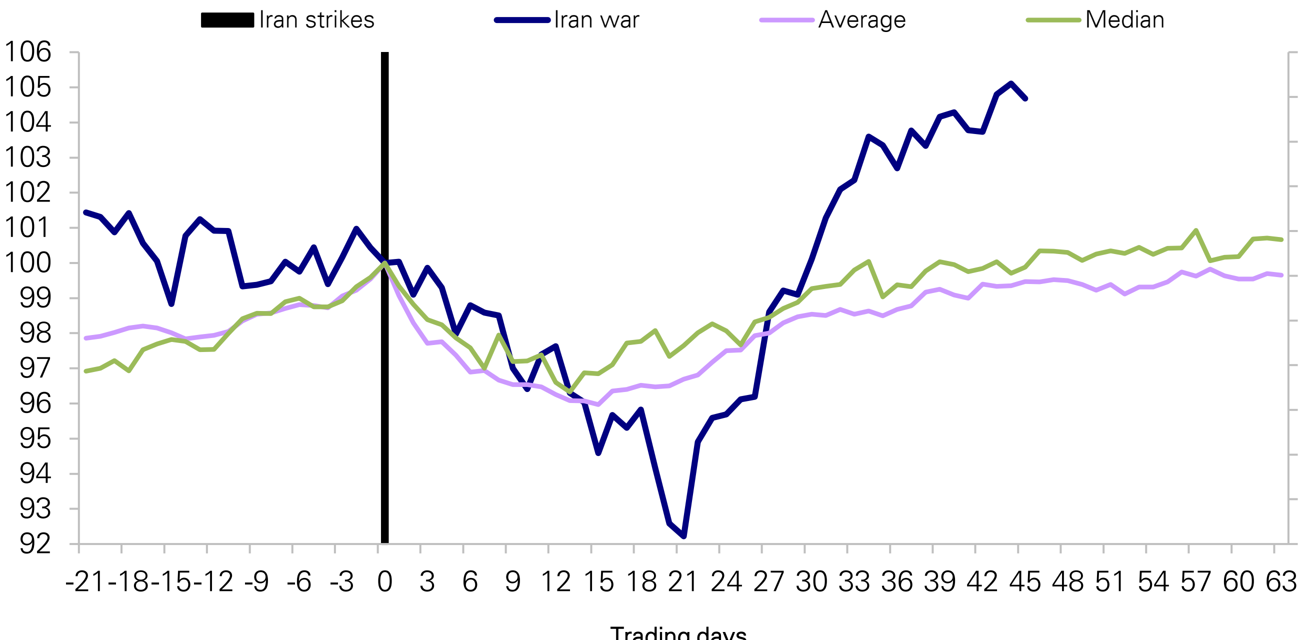
Correlation between 10yr Treasury yields, S&P 500 futures, and Brent crude oil



Source : Bloomberg Finance LP, Deutsche Bank.

… Indeed the historical playbook around geopolitical shocks and US stocks has (broadly) worked again…

S&P 500 around Geopolitical events since 1939

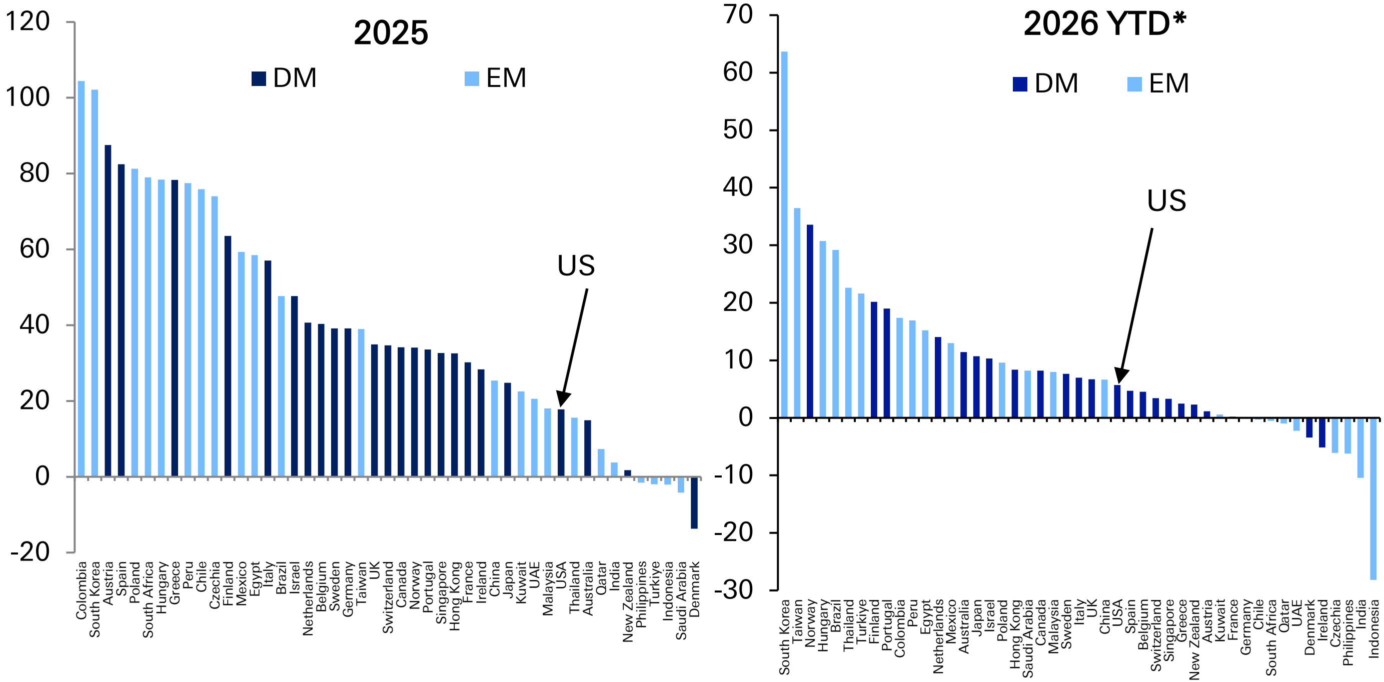


Median and Average calculated for events since 1939

Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 4

Even though the US equity market has rebounded strongly, it remains just below the middle of the global pack YTD 2026 even if it has risen up the leaderboard since the start of the war...

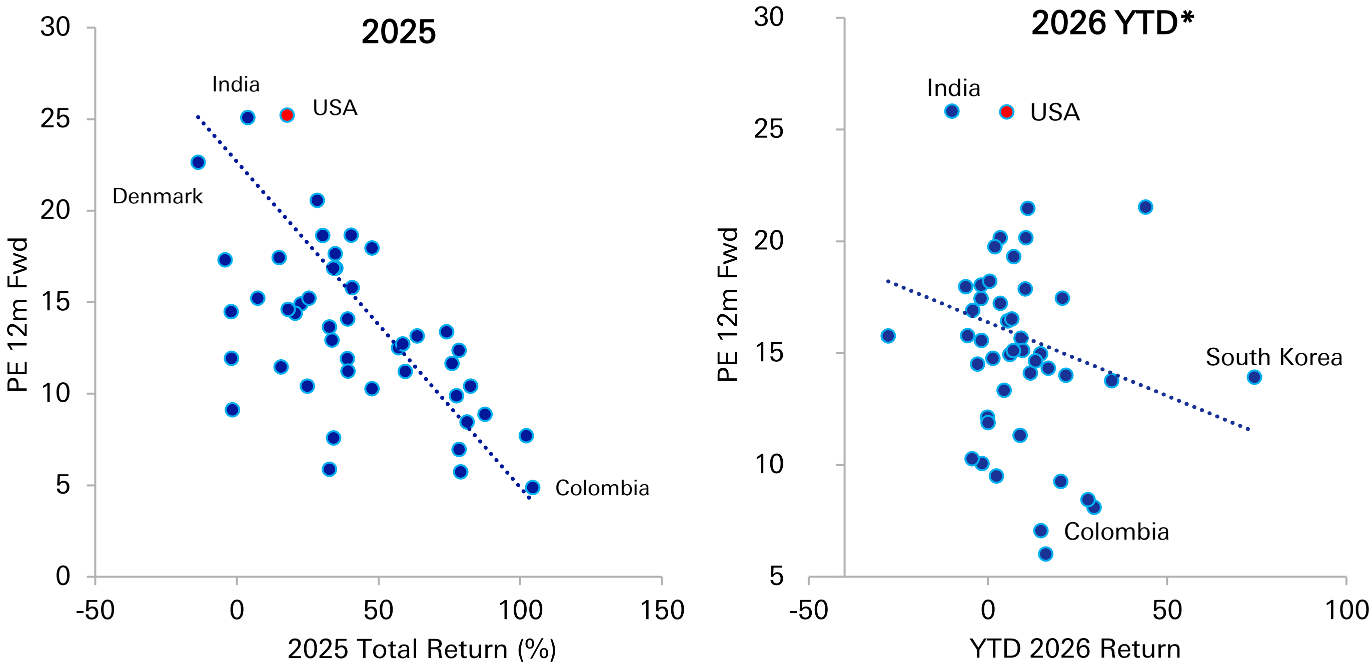
Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)



*Source: Bloomberg Finance LP, Deutsche Bank, *Note: 2026 YTD is updated through May 1*

2025 Global Equity returns saw a strong correlation to starting valuations. In 2026 there remains a slight bias that way but the war seems to have complicated returns a bit more…

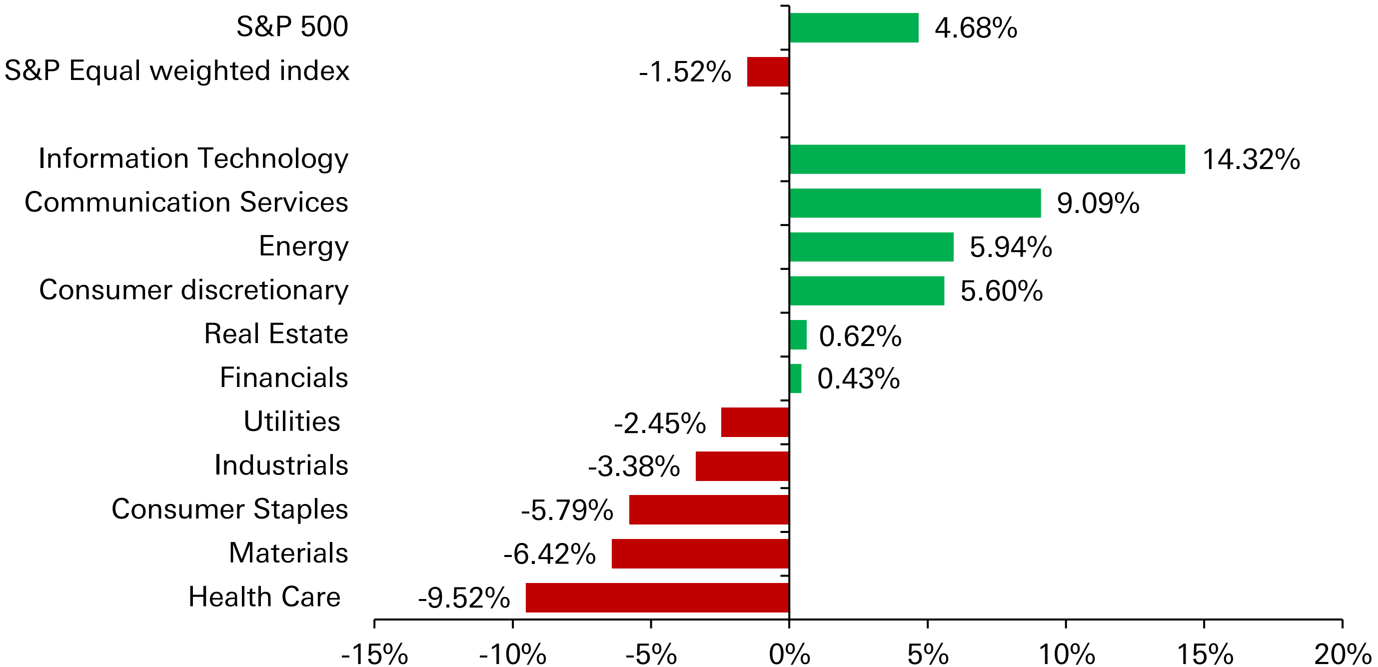
Bloomberg large/mid-cap country stock market indices, 2025 total return in USD vs. 12m fwd PE estimates at the end of 2024 (left) & Bloomberg large/mid-cap country stock market indices, 2026 YTD return in USD vs. 12m fwd PE estimates at the start of 2026 (right)



*Source: Bloomberg Finance LP, Deutsche Bank *Note: 2026 YTD is updated through May 4*

The US climb up the leaderboard since the war begun has been helped by a rebound in tech.

S&P Sectors return since Feb 28 : Middle East War



Source : Bloomberg Finance LP, Deutsche Bank; Updated through May 4

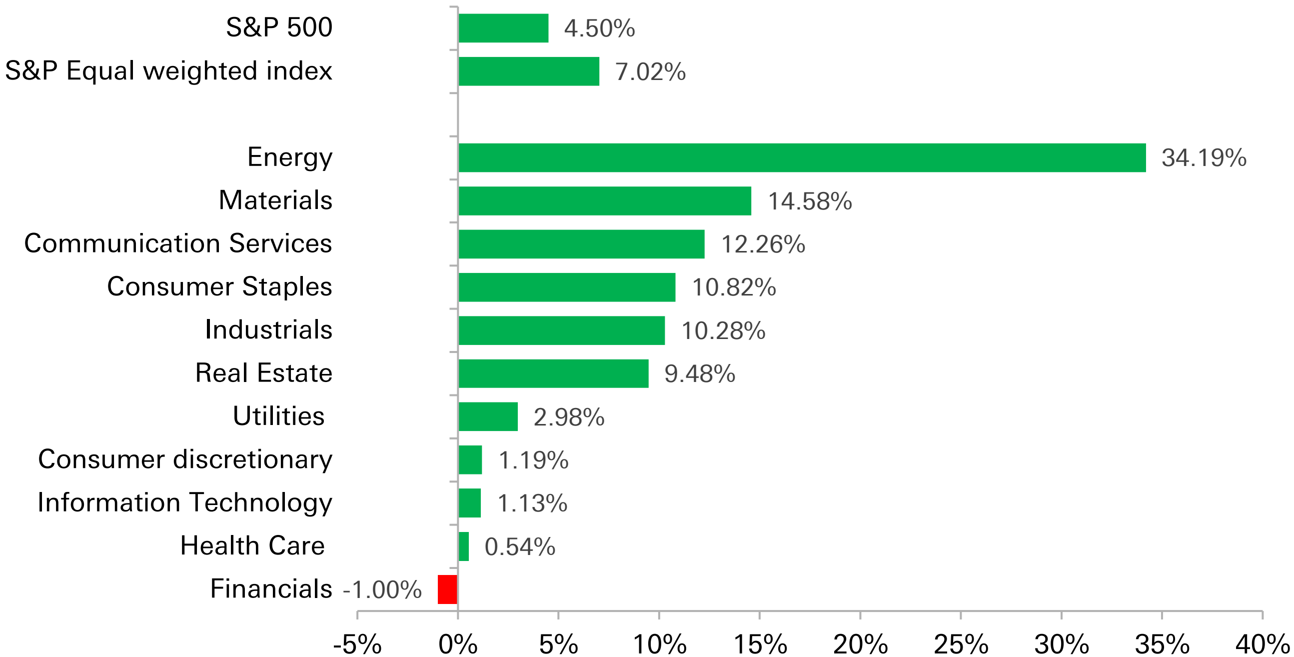
As an example of this tech outperformance, Intel's share price has finally exceeded its high back in 2000. A positive of course but is it a warning from the past as to how long it can take for stocks to recover after a valuation surge..

A Historic comeback: Intel's stock finally tops its 2000 high

Source : Bloomberg Finance LP, Deutsche Bank, Last update: May 4

Zooming out, US tech is broadly flat in the 6 months since the end of October which is why other global markets have outperformed since this point...

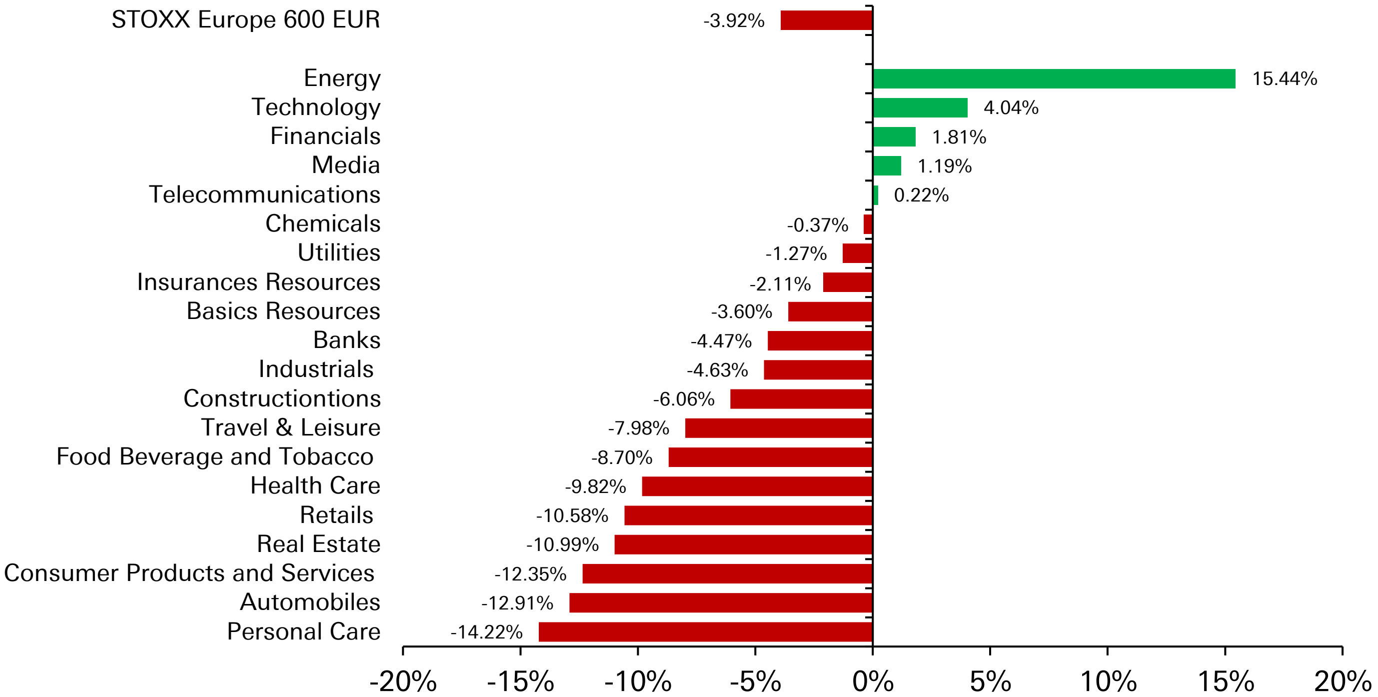
S&P Sectors return since October 29, 2025



Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 4

Given its exposure to the energy shock, Europe's STOXX 600 has struggled since the Iran conflict began… although energy stocks are the clear exception, with tech also outperforming…

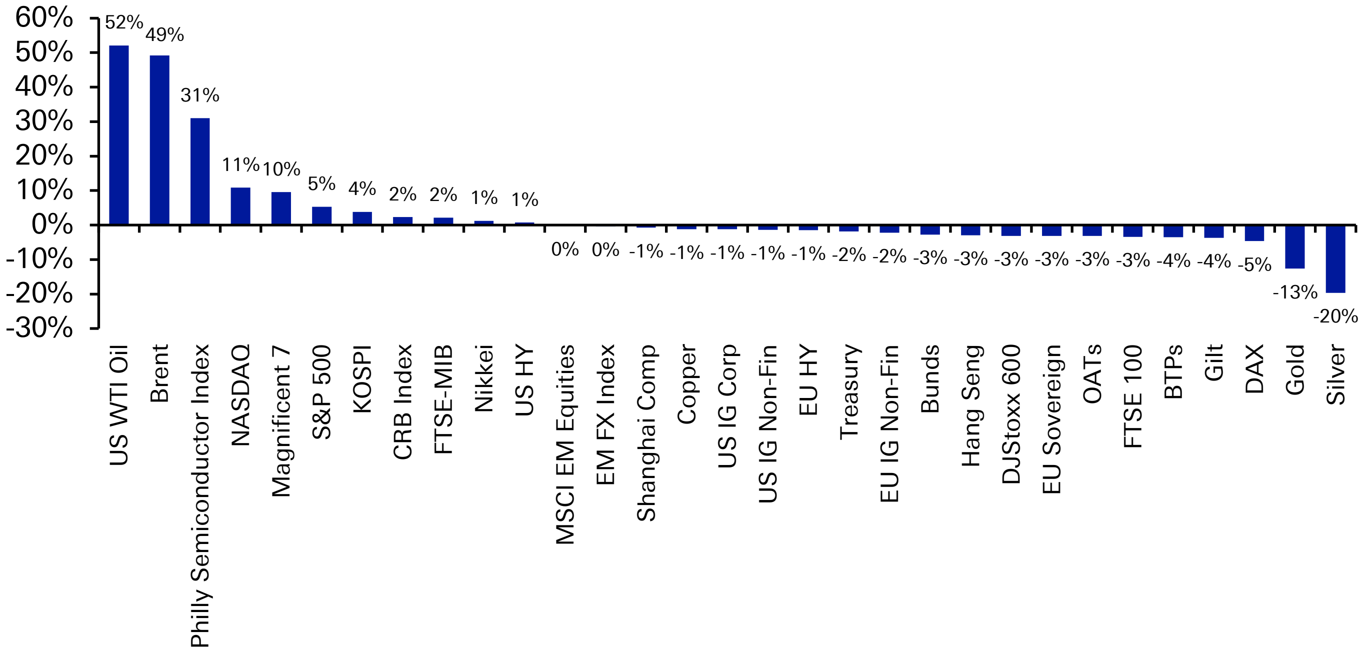
STOXX Europe 600 Sectors return since Feb 28 : Middle East War



Source : Bloomberg Finance LP, Deutsche Bank., Last update : May 5

Looking at a global level, oil has unsurprisingly been the standout performer since the war began, followed up by US equities… at the other end are precious metals and European assets…

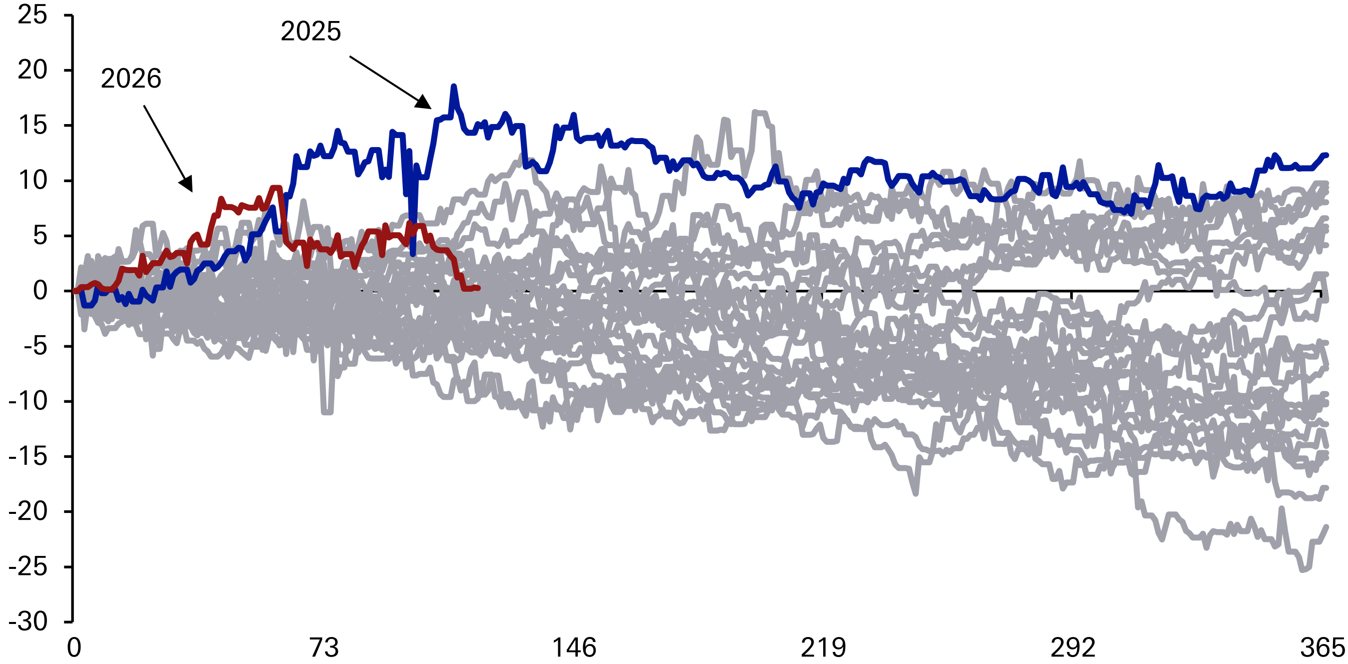
Total Return Performance of Selected Global Assets since the Iran conflict began (USD terms)



Source: Bloomberg Finance LP, Deutsche Bank, Note: Equities, credit and bonds shown on total return basis, FX and commodities shown on spot return basis

2026 had initially looked like another year of US equity underperformance until the Iran conflict, but Europe's exposure to the energy shock and the US tech outperformance has meant US equities are more in line with the rest of the world again…

Outperformance (percentage points) between the MSCI World ex US index and the MSCI US Index since 2000



Source: Bloomberg Finance LP, Deutsche Bank

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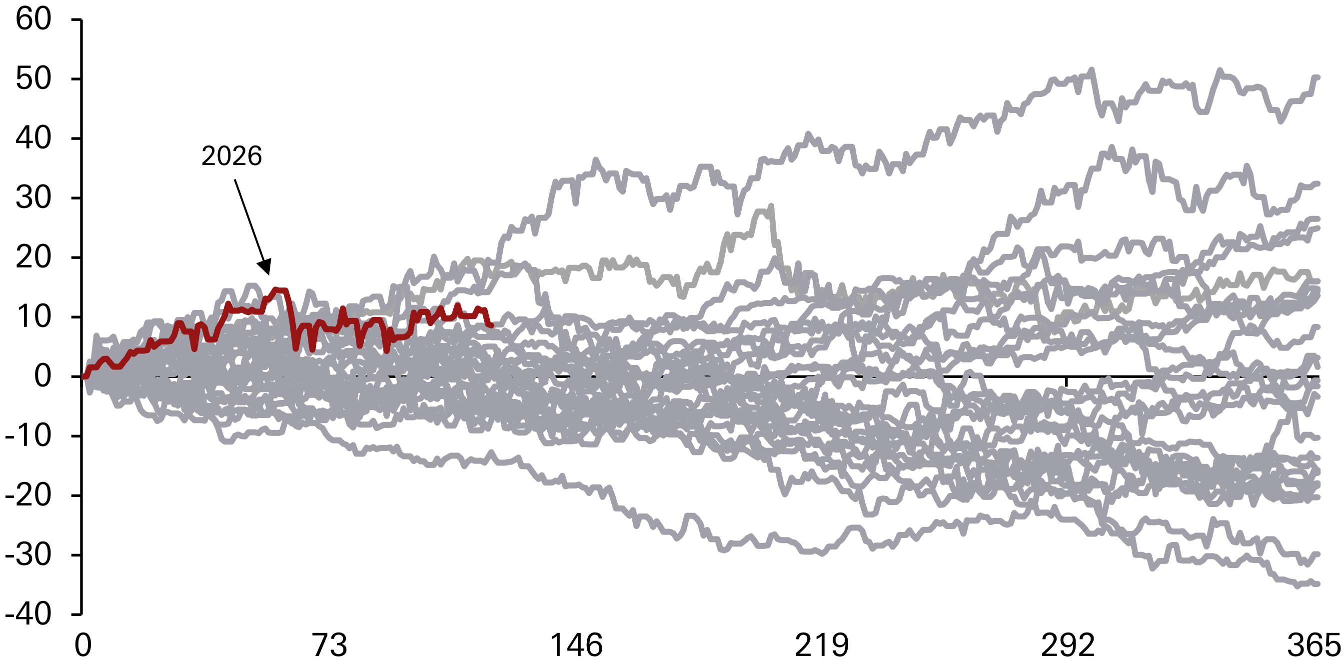
That said, the outperformance of EM equities this year has persisted, despite the Iran conflict…

Outperformance (percentage points) between the MSCI EM index and the MSCI US Index since 2000



Source: Bloomberg Finance LP, Deutsche Bank

Q1 US earnings season has been great though…

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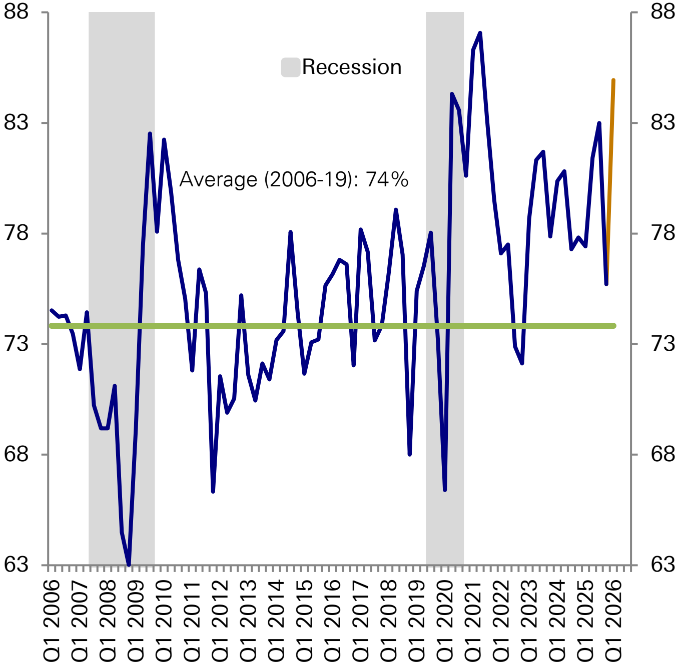
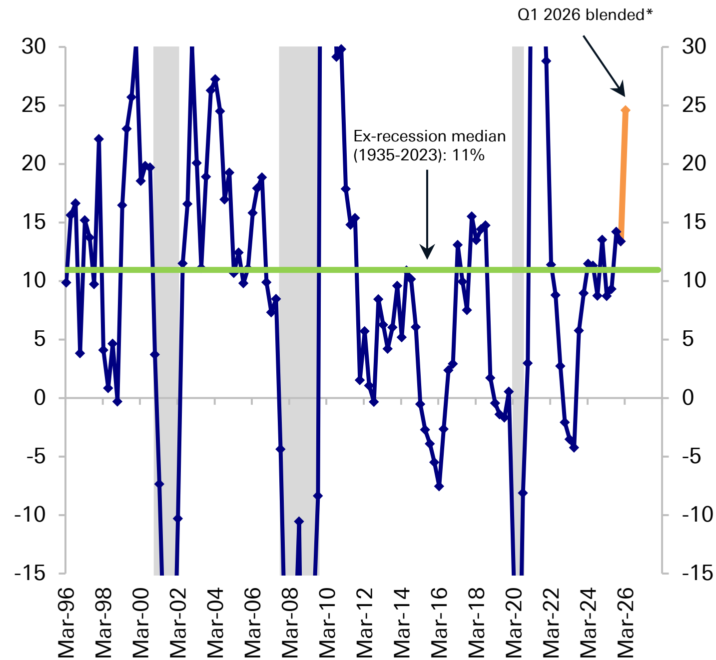
According to our equity analysts, this is one of the best earnings seasons in 20 years. See Parag Thatte and Binky Chadha's piece here for more...

Proportion of S&P 500 beating earnings estimate (%)



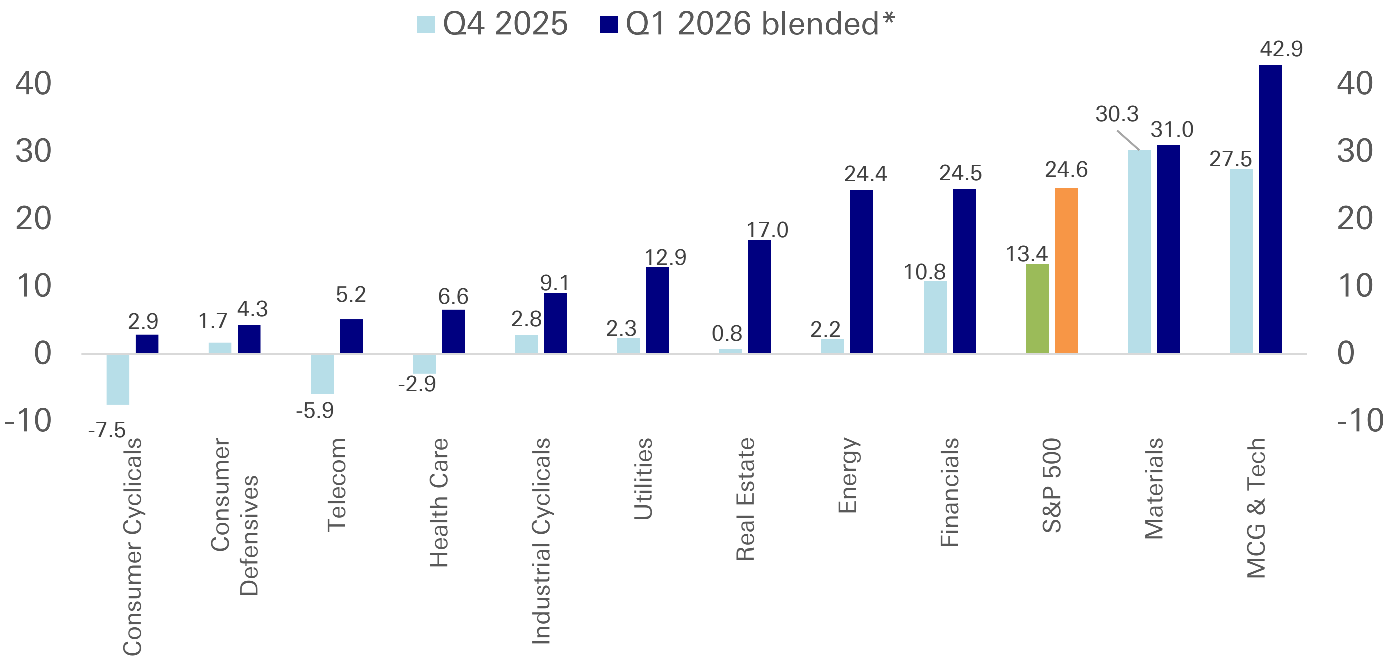
S&P 500 quarterly earnings growth* (% yoy)



*Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut; blended assumes companies that report beat at the current rate*

All 11 top level sectors are expected to show YoY earnings growth for the first time in 4 years... See Parag Thatte and Binky Chadha's piece here for more...

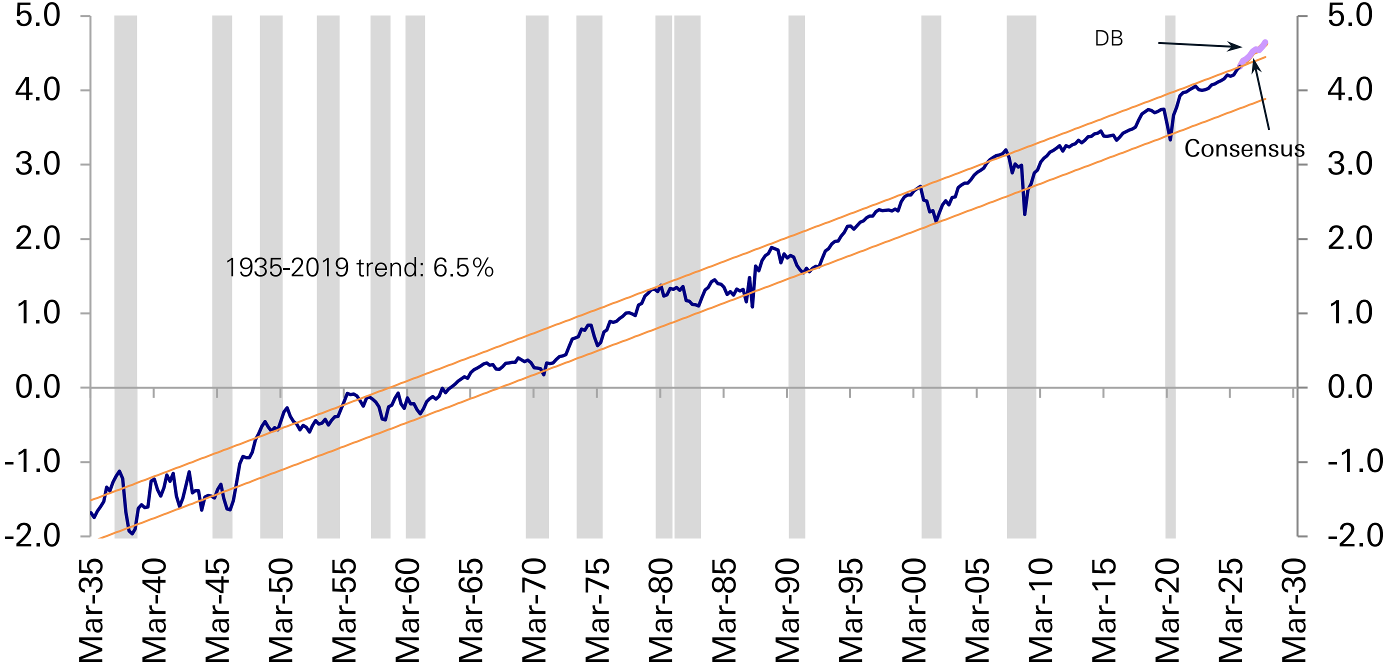
Earnings growth by S&P 500 sector group (% yoy)



*Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation; * Blended assumes companies that report beat at the current beat rate*

Remarkably, S&P 500 earnings growth is likely to break out on the upside of a 90-year channel even though real and nominal GDP, and productivity have been higher for long periods of time over this period. See Parag Thatte and Binky Chadha's piece here for more. Is this a new paradigm or unsustainable?

S&P 500 quarterly EPS seasonally adjusted (log)



Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

The longer the conflict/stand-off lasts the tougher it is politically…

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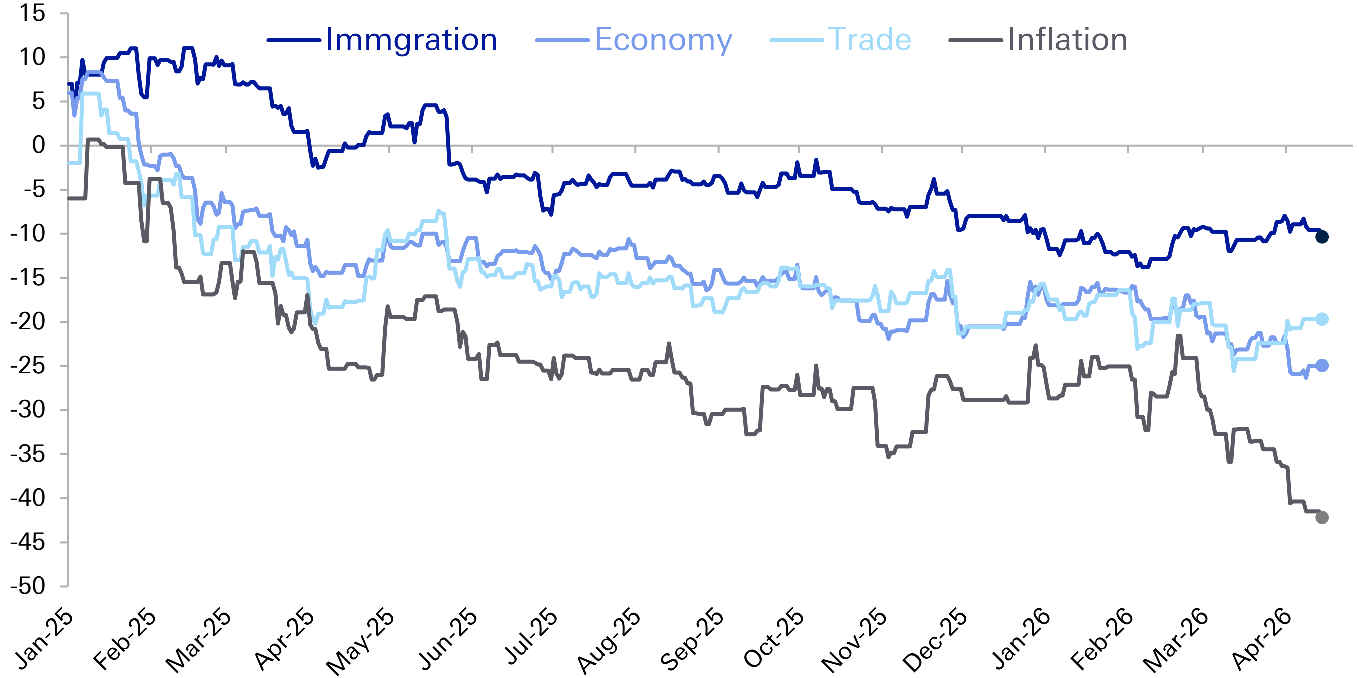
Concern over inflation and the cost of living is also a prominent political issue that's been hurting incumbents around the world in recent years…The War in Iran seems to have had a further impact. The US midterm elections are just 6 months away now as well…

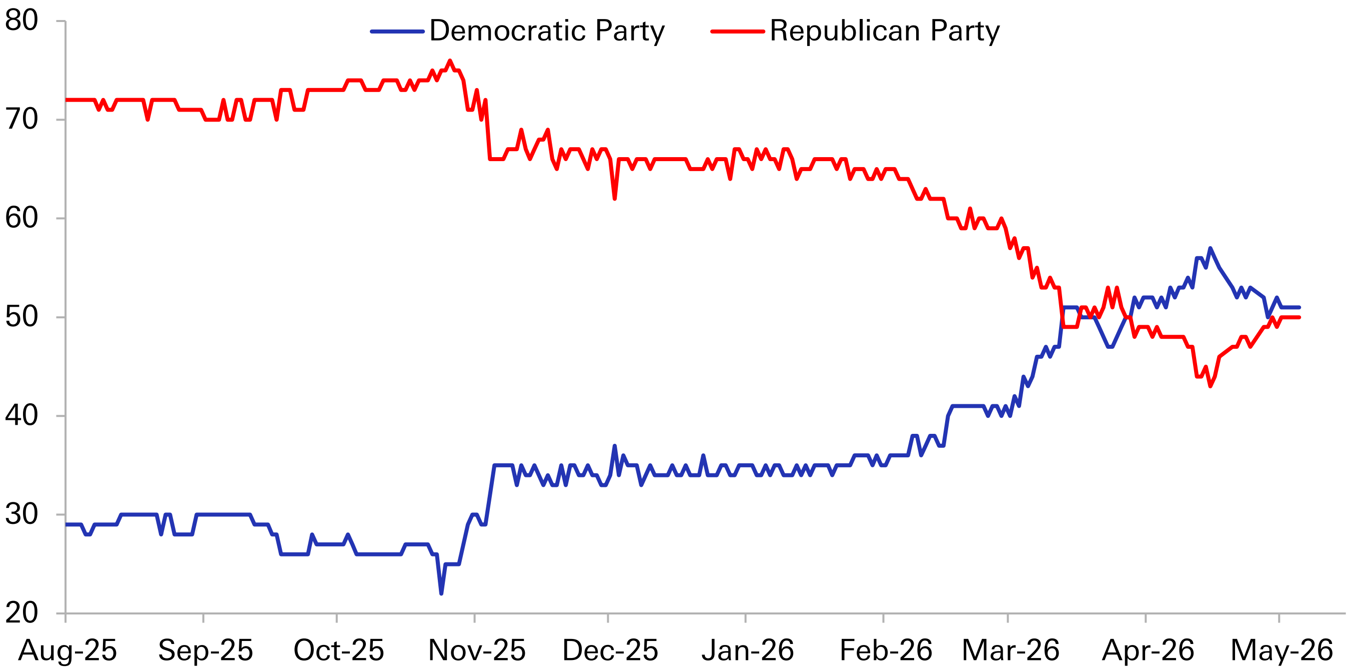
An updating polling average of Donald Trump's net approval rating on immigration, the economy, trade, and inflation, accounting for each poll's quality, recency, sample size, and partisan lean



Source: Nate Silver, Deutsche Bank, updated through May 4

Since around the time the Iran strikes began, the Democrats have become the (narrow) favourites to retake control of the Senate… that would have a big impact on appointments like Fed Governors, cabinet members and Supreme Court justices, which all require Senate approval…

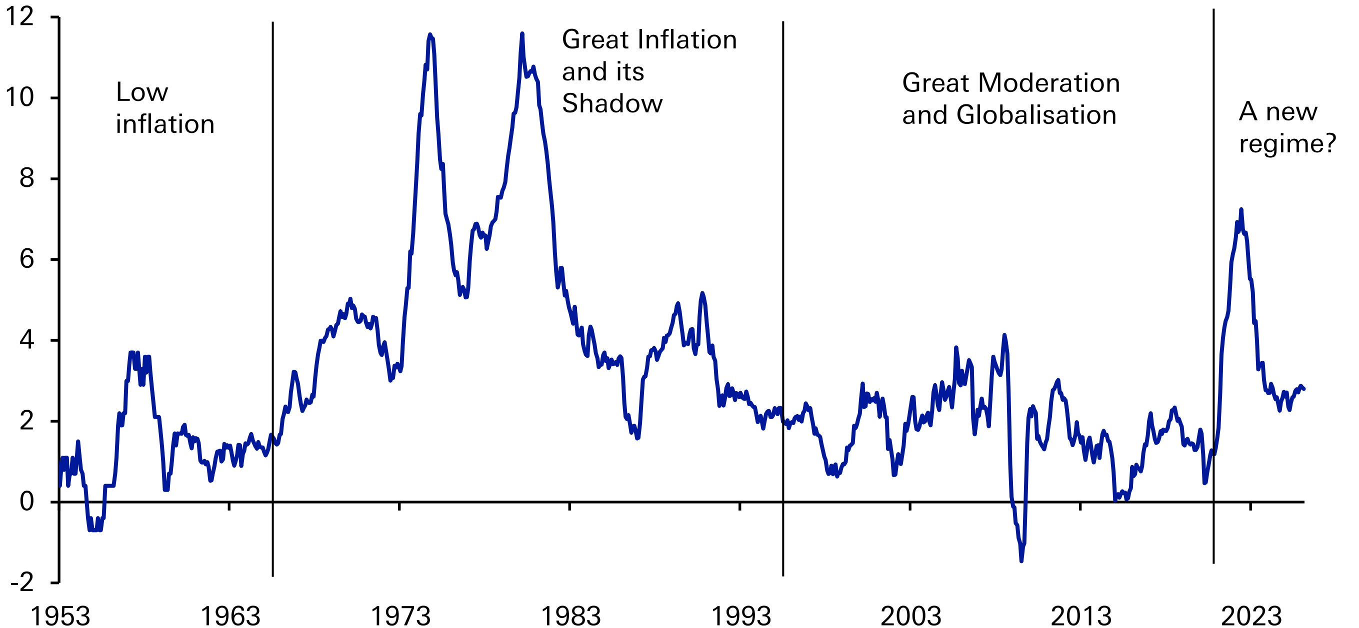
US Polymarket Party control Senate after 2026 Midterm election



Source : Bloomberg Finance LP, Deutsche Bank, updated through May 5

Linked to the inflation approval rating, the Fed's target measure of PCE inflation has now been above the 2% target for 5 years… This is very different to the low-inflation era before the pandemic… could we be in a new regime?

US PCE Inflation (year-on-year % change, using CPI before PCE begins in 1959)



Source: Haver Analytics, Deutsche Bank

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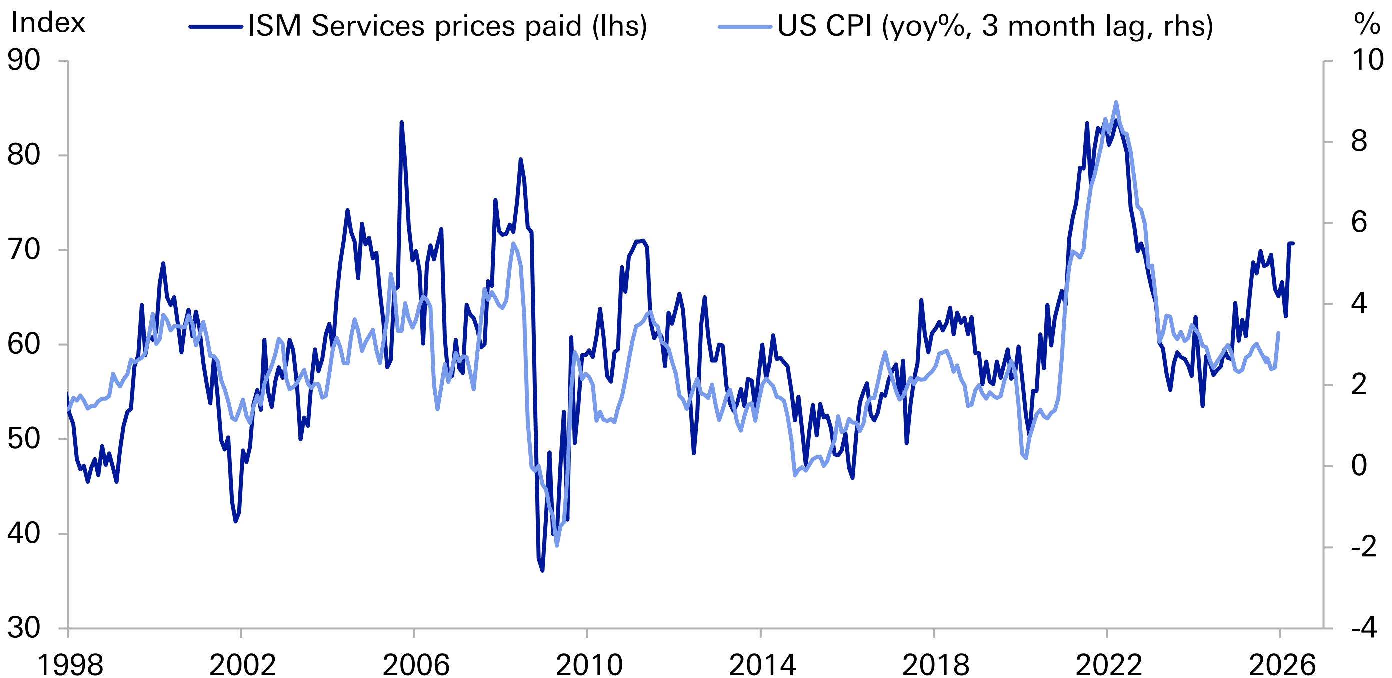
The prices paid component of the ISM Services is a strong leading indicator of inflation with a 3-month lag… It's just hit its highest since 2022…

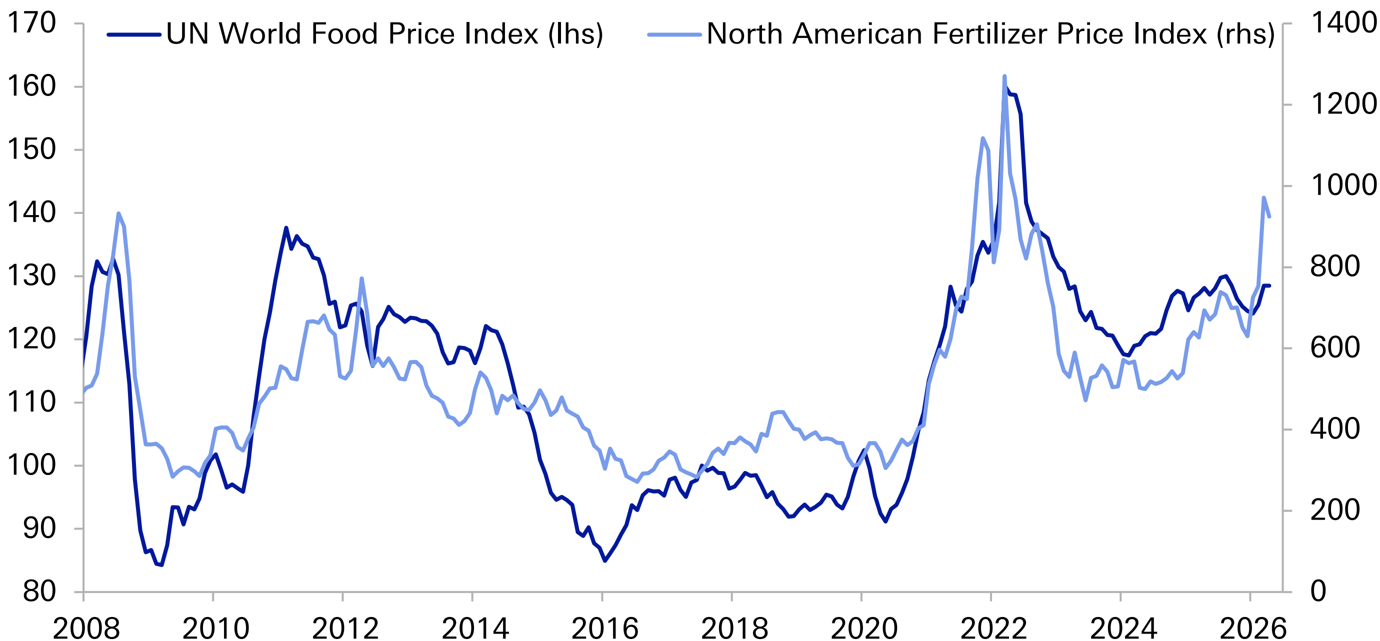
ISM Services Prices Paid and US CPI (with a 3-month lag)



Source: ISM, BLS, Haver, Deutsche Bank

Another concern is that food price inflation will also start to rise, and we've already seen a rise in fertiliser prices… this could be particularly problematic as food is an essential good, so unlike other parts of the consumer basket, it's difficult to substitute away from…

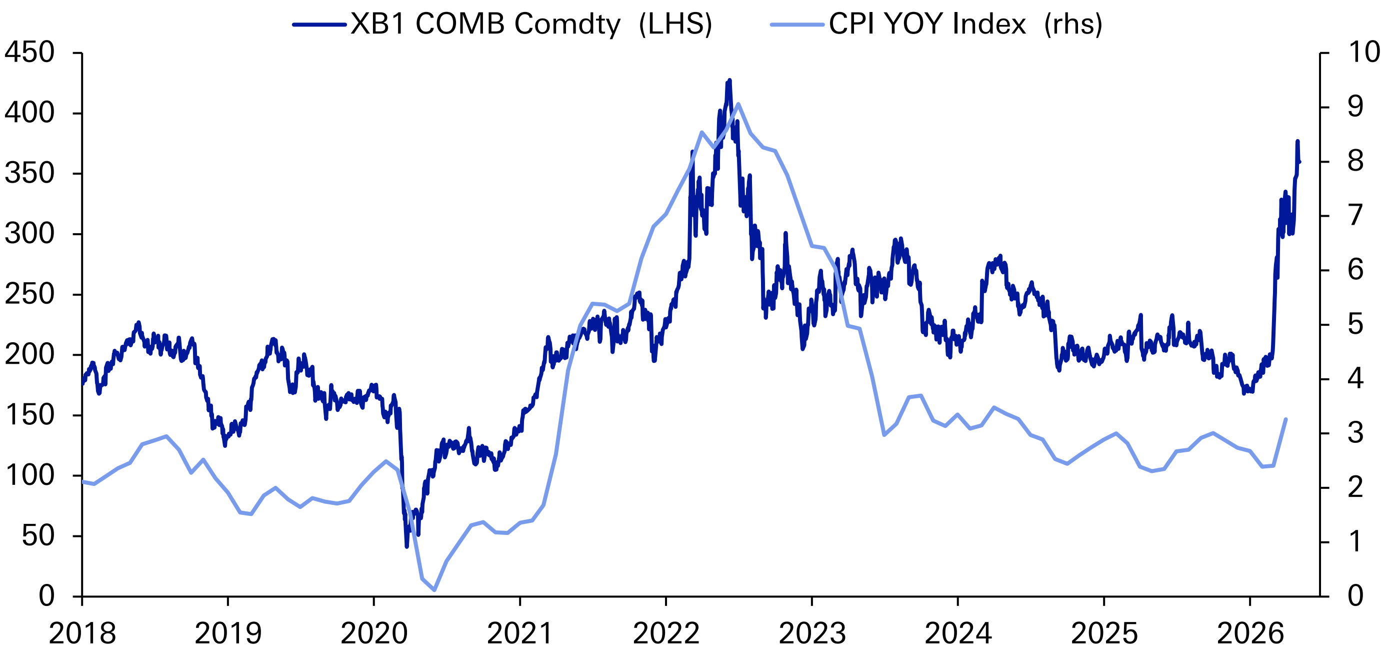
Food prices and fertiliser prices



Source: Bloomberg Finance LP, Deutsche Bank

This inflation has been quite obvious to consumers, as higher gasoline prices have passed through quickly…

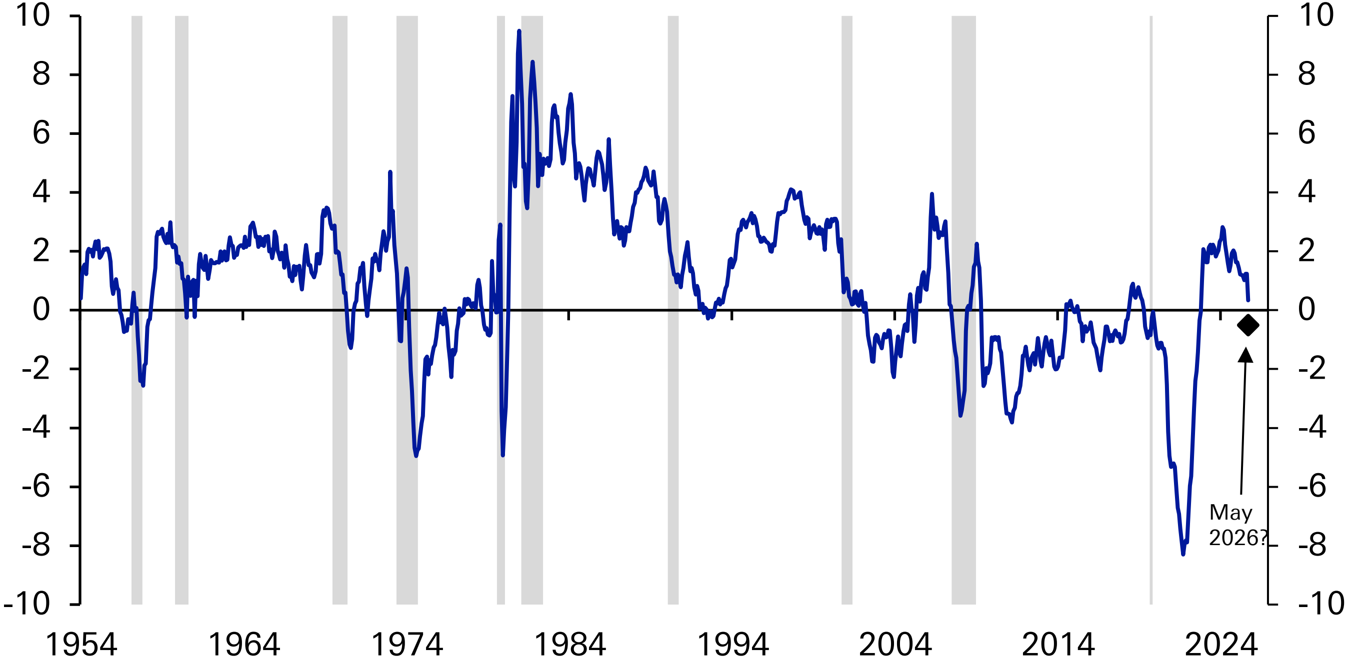
Gasoline prices (XB1) vs. CPI Inflation



Source: Bloomberg Finance LP, Deutsche Bank; Last update May 4

The real federal funds rate (simply fed funds minus year-on-year CPI) is set to head back into negative territory because of the energy shock… under DB’s US econ forecasts, it would be back to -0.5% in May…

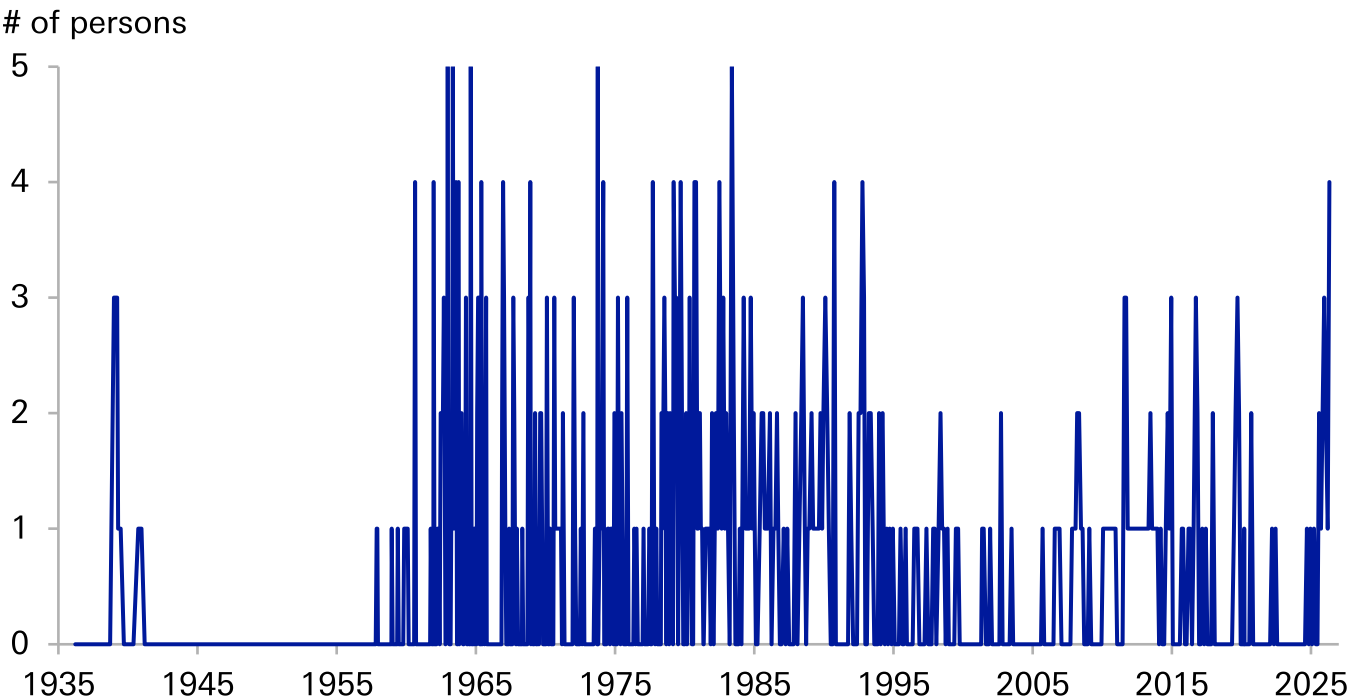
Real federal funds rate (fed funds minus year-on-year CPI)



Source: Haver Analytics, Deutsche Bank

The energy shock has exacerbated recent FOMC disagreements. The April meeting saw 4 members dissent from the decision in some way, the most dissenters on a vote since 1992…

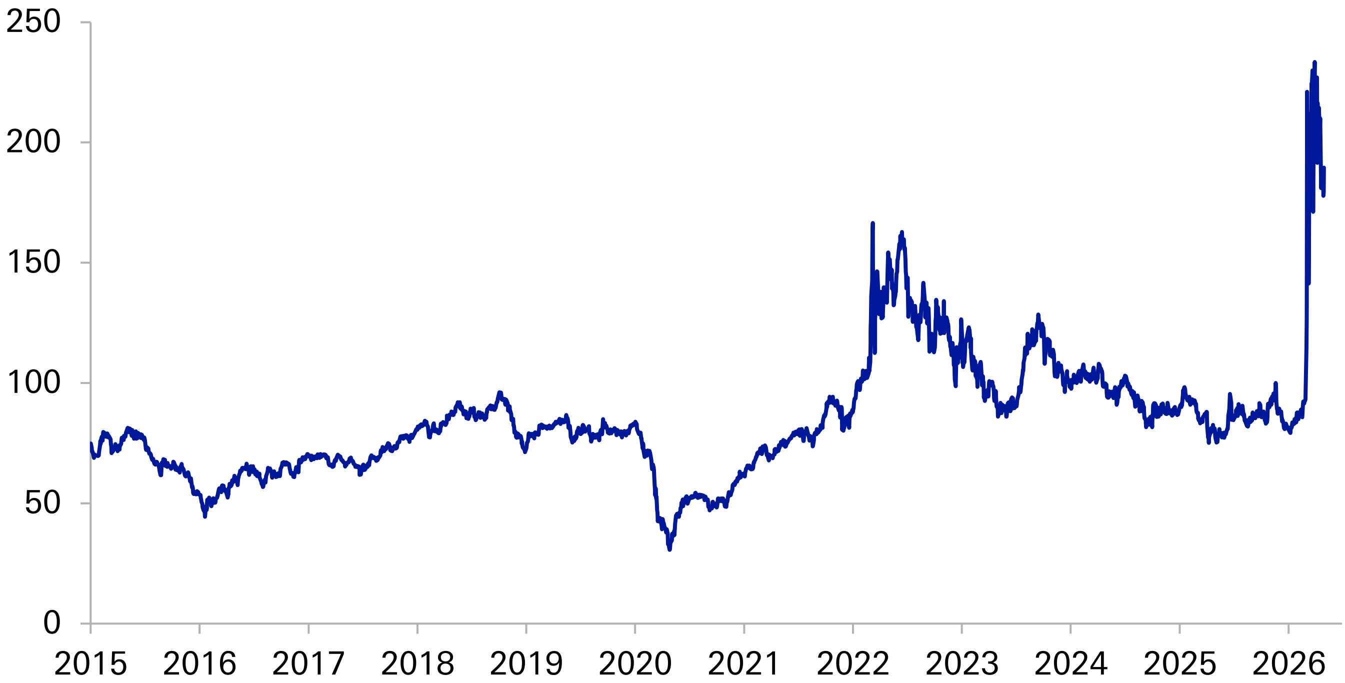
US FOMC Dissents Votes Against Action



Source: Bloomberg Finance LP, Deutsche Bank

As summer holidays approach, the risk is high stress for the aviation sector and travellers……

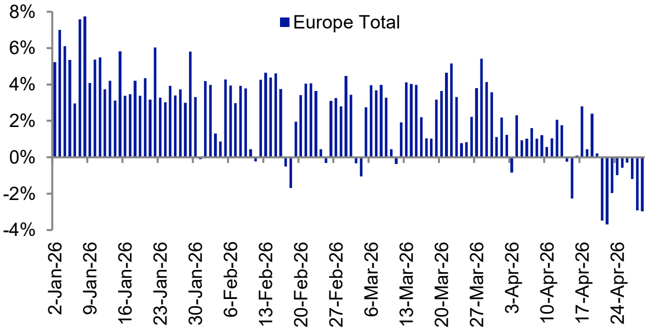
Jet Fuel Singapore FOB Cargoes (USD/barrel)



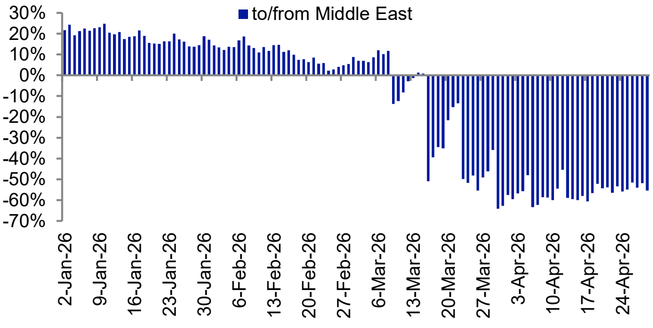
Source : Bloomberg Finance LP, Deutsche Bank.

The number of flights to and from Europe are trending down. Initially because of a cancellation of most Middle East flights but increasingly other flights are being cancelled due to being unprofitable at current fuel prices…

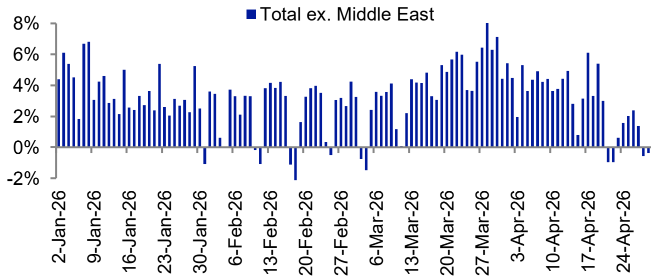
Daily flights to/from Europe (%y/y)



Daily flights to/from Middle East (%y/y)



Daily flights to/from Europe ex Middle East (%y/y)



Source: Cirium, Deutsche Bank; Note: The Diio Mi sourced data in this report has been extracted from a Cirium product. Cirium has not seen or reviewed any conclusions, recommendations or other views that may appear in this document. Cirium makes no warranties, express or implied, as to the accuracy, adequacy, timeliness, or completeness of its data or its fitness for any particular purpose. Cirium disclaims any and all liability relating to or arising out of use of its data and other content or to the fullest extent permissible by law

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Rates are under pressure…

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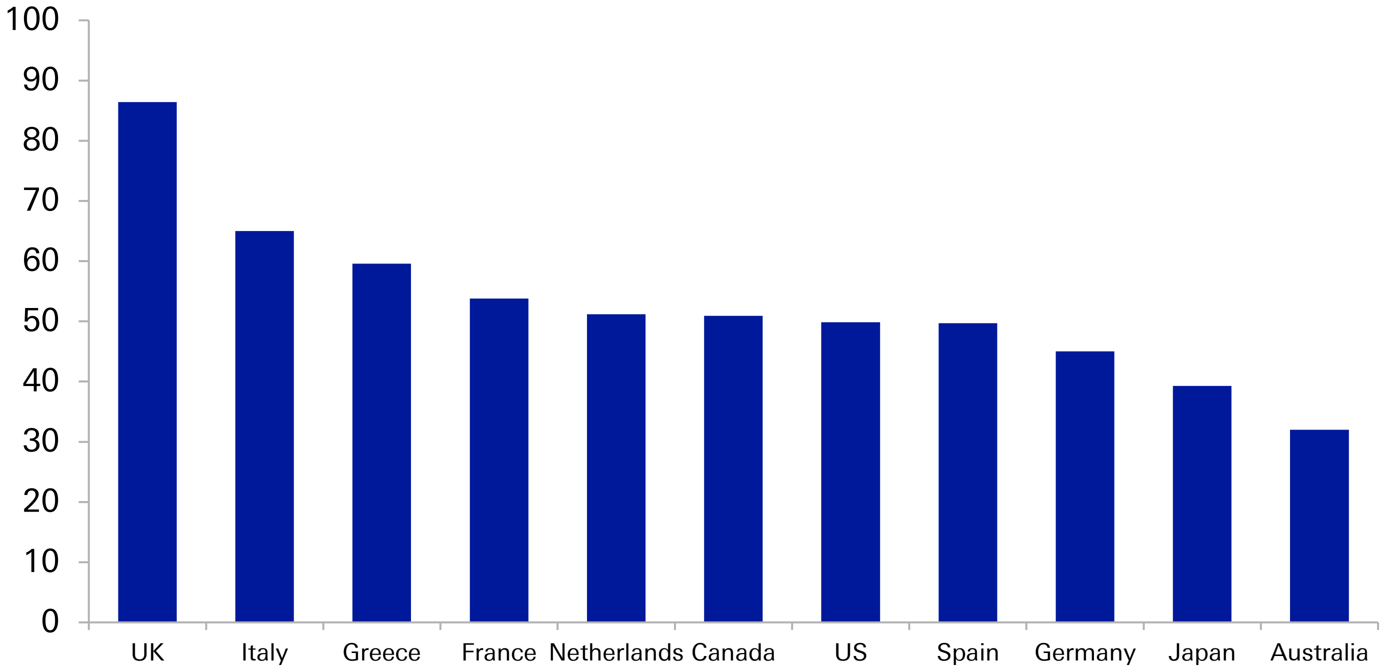
Yields have risen substantially since the conflict began a couple of months ago… which will constrain governments from providing fiscal support packages… The UK is underperforming on additional political concerns that any move to replace the PM could bring additional spending plans....

Change in 10y yield since Feb 27th (bps)



Source: Bloomberg Finance LP, Deutsche Bank, Last update May 5

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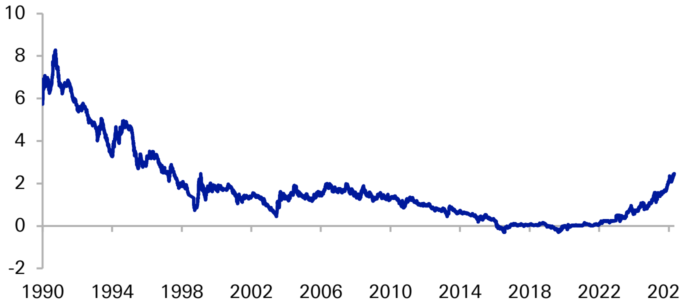
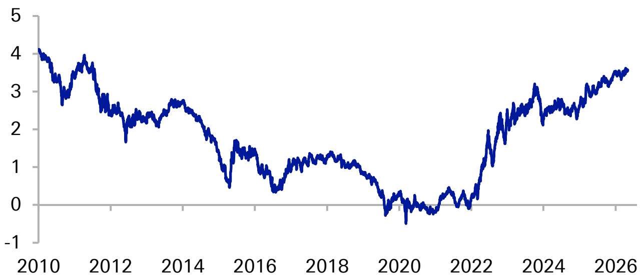
Long-term government bond yields are up to multi-year highs… Japan's 10yr yield is above 2.5% for the first time since 1997, UK 30yr gilt yields are the highest since 1998, and Germany's 30yr yield is the highest since 2011 during the Euro crisis… Even 30yr USTs are with 10bps of 18yr highs

Japan 10yr bond yield (%)

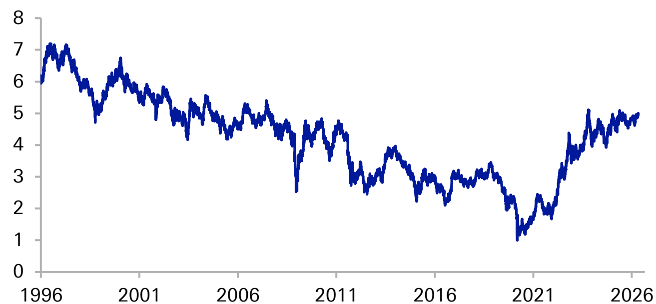


UK 30yr gilt yield (%)

Germany 30yr bond yield (%)



US 30yr Treasury yield (%)



Source: Bloomberg Finance LP, Deutsche Bank

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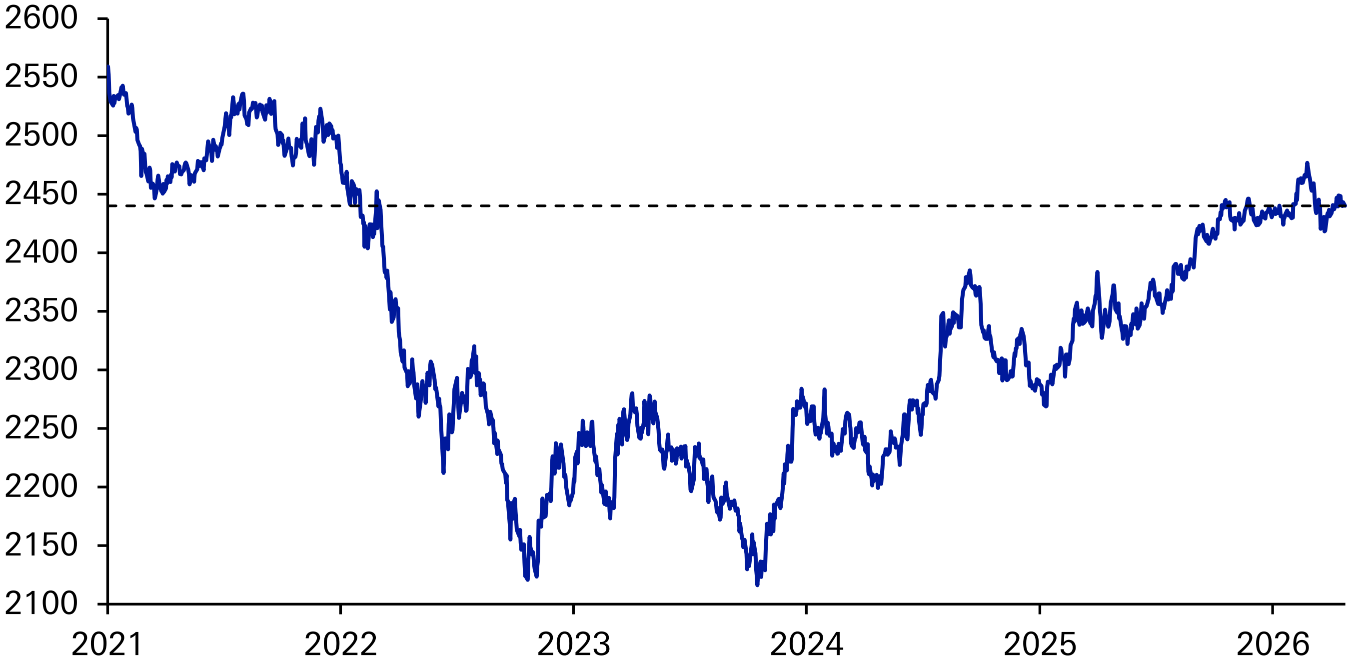
In fact, on a total return basis, US Treasuries still haven't got back to their peak before the 2021-22 inflation spike…

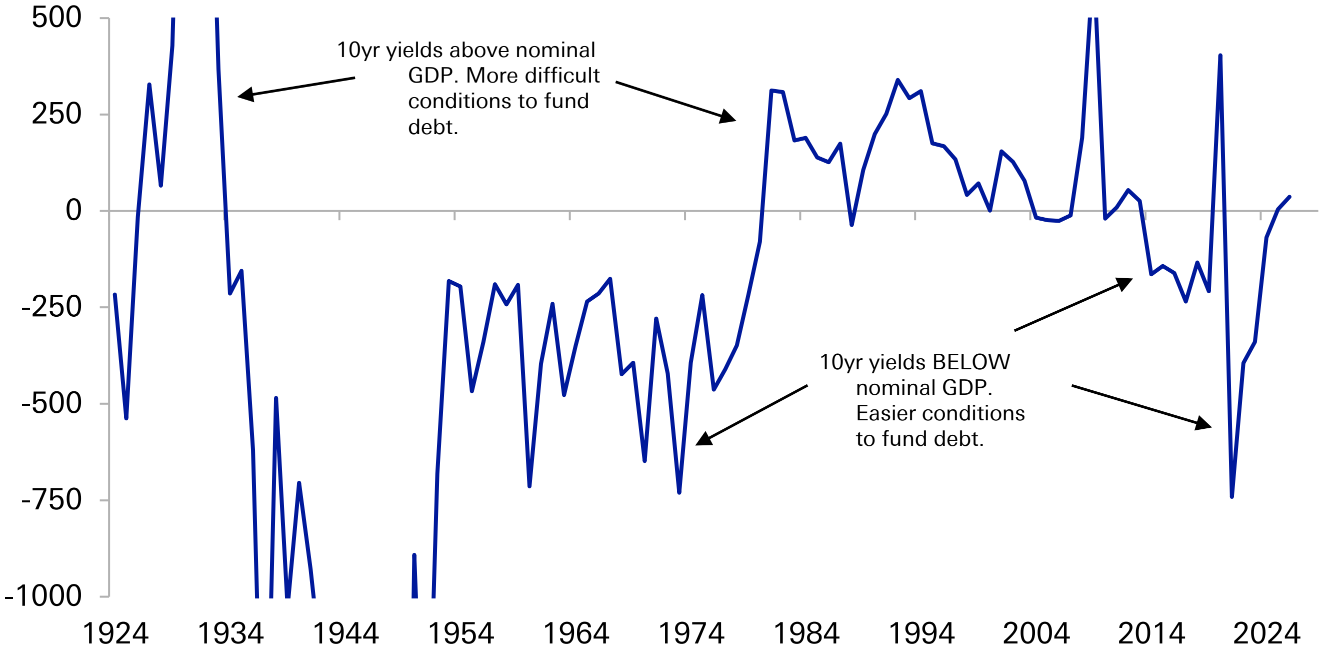
iBoxx US Treasuries (Total Return Index)



Source: Bloomberg Finance LP, Deutsche Bank

This backdrop of higher yields comes as DM Funding costs (using 10yr yields as a proxy) are now getting close to or even above Nominal GDP growth. In the post-GFC period of high debt and financial repression, yields were consistently below nominal GDP.... But that's now over, making it more difficult for governments to cushion economic shocks…

Average difference between Nominal GDP growth and 10yr yields for US, UK, Germany, France, Italy and Japan



Source : Finaeon, Deutsche Bank

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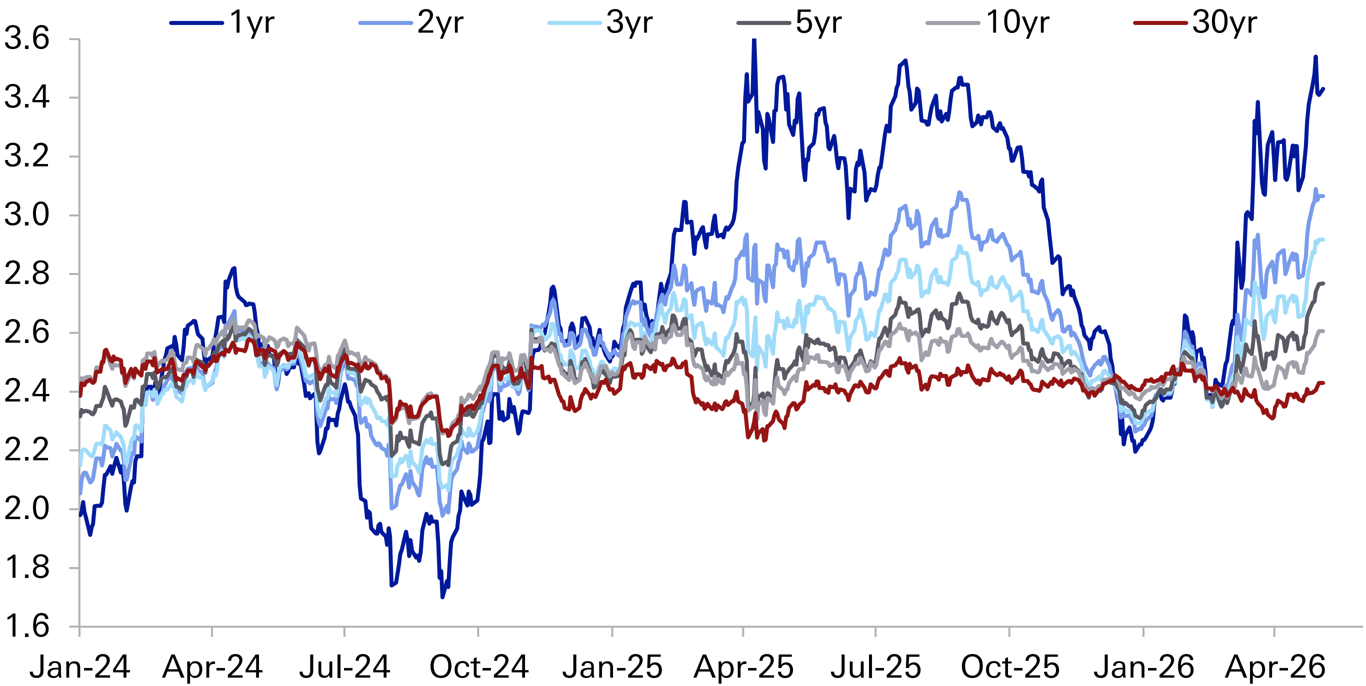
One of the problems for rates is that we've now had two US inflation expectations shocks in the last 12 months. Tariffs and now energy… this follows a period where inflation calm had been restored after the shock of 2021-22.

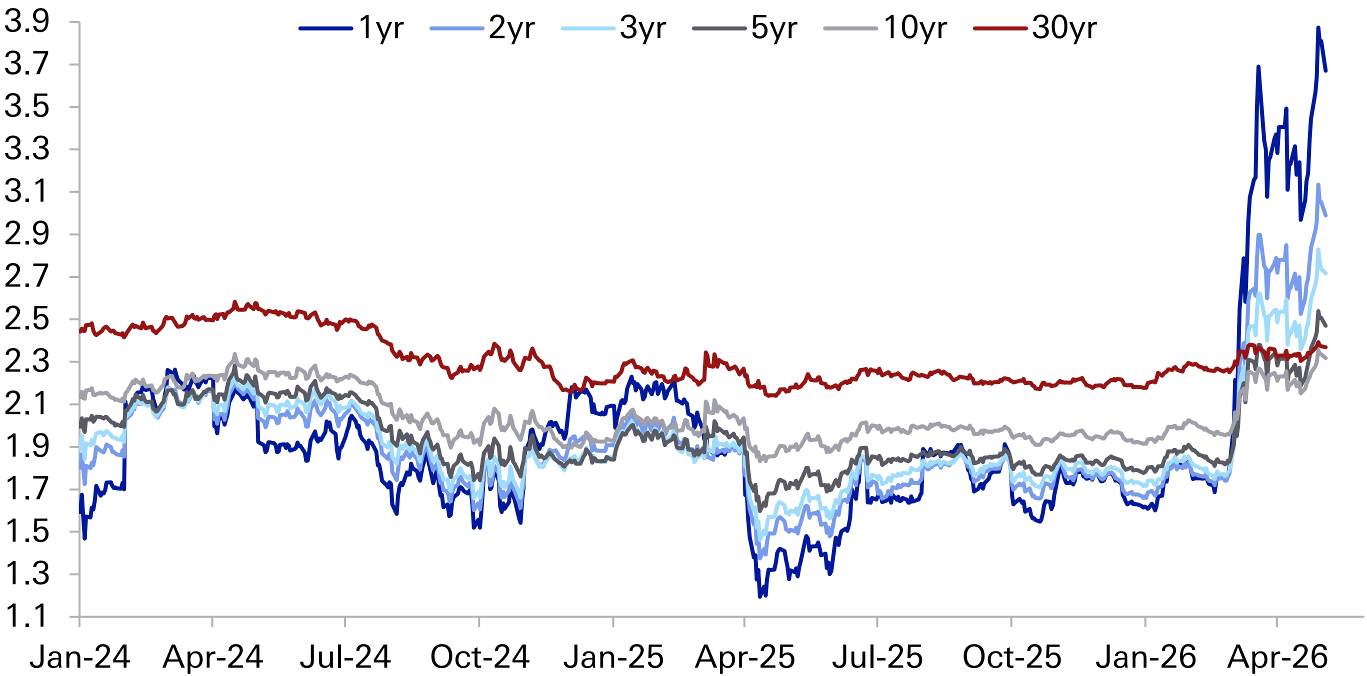
US Inflation Swaps (%)



Source: Bloomberg Finance LP, Deutsche Bank

Europe had got inflation expectations back to target levels and didn't see a shock due to US tariffs (in fact the opposite). However, that has changed since the war in Iran, and markets are now pricing in multiple ECB rate hikes this year…

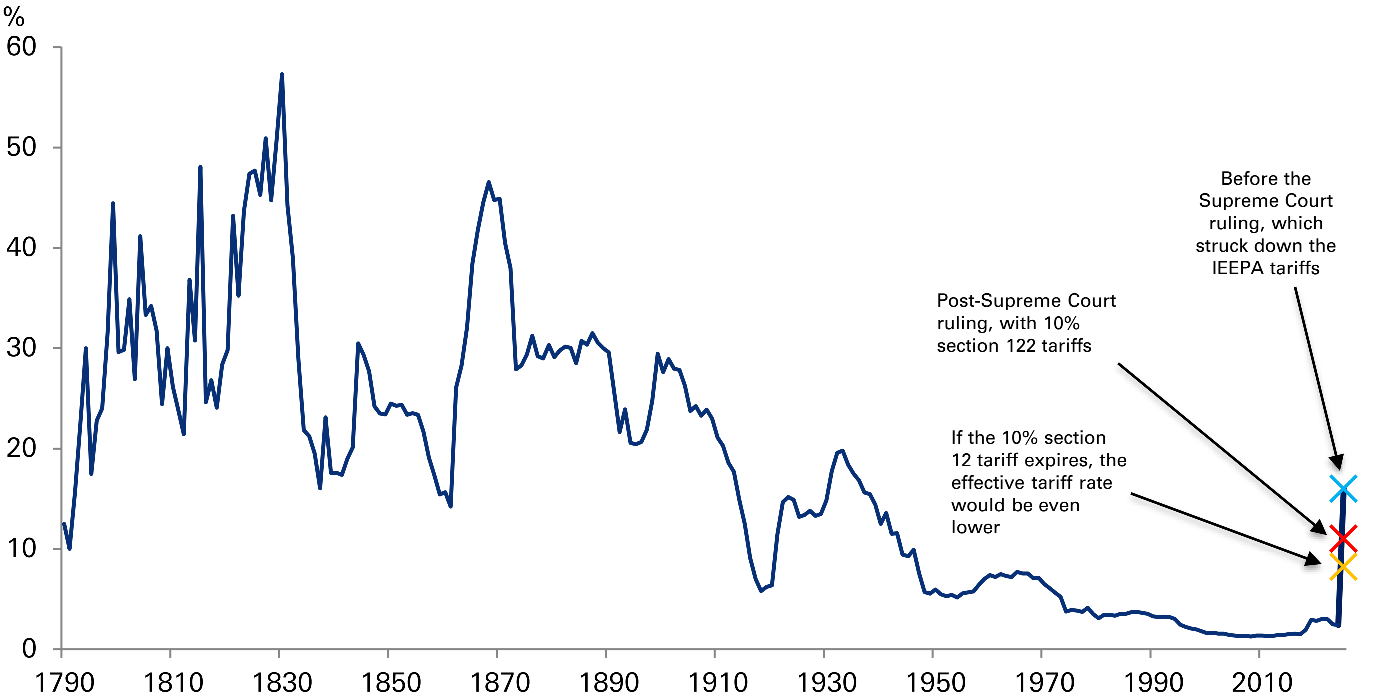
EUR Inflation swaps



Source: Bloomberg Finance LP, Deutsche Bank

But whilst many inflation pressures are on the upside right now, the tariff impact has been coming down versus last year and worst-case fears… the 10% global tariff that replaced the IEEPA tariff has brought down the effective tariff rate, and if that expires in late-July (Congress would have to extend), then the tariff rate would fall even further…

US Average Effective Tariff Rate



Source: budgetlab.yale.edu, Deutsche Bank

Rising yields aren't great for housing…

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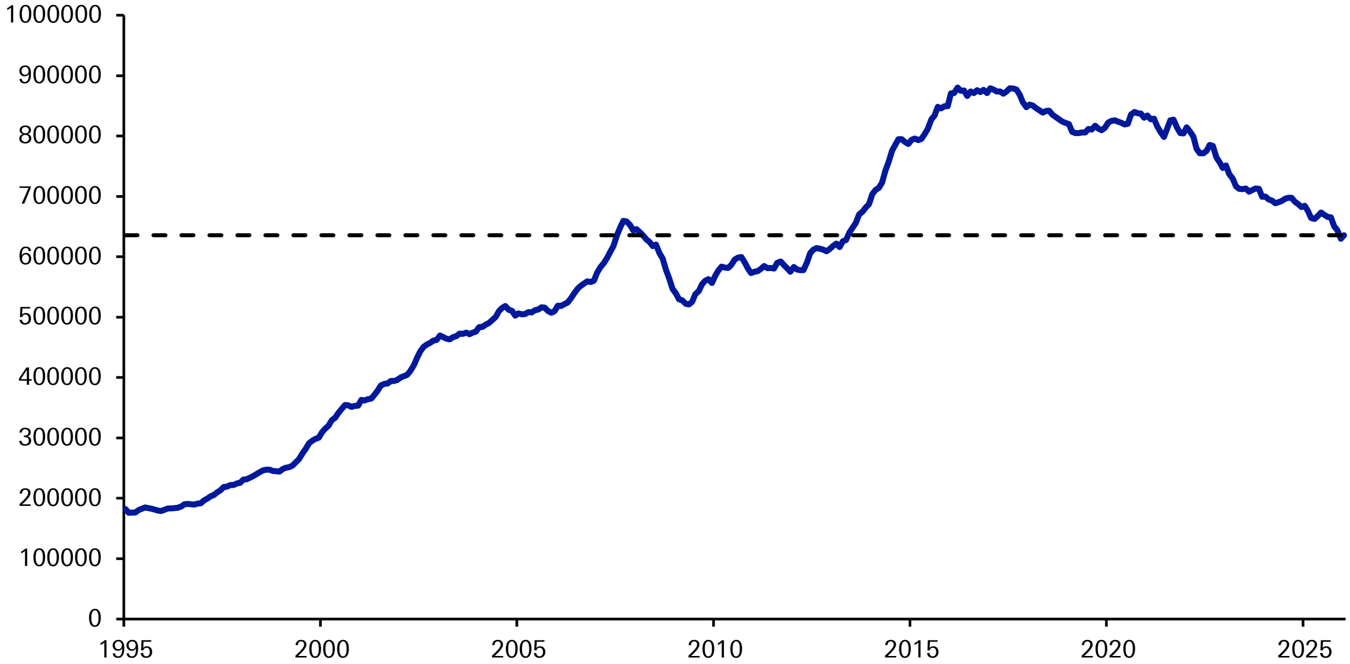
In inner London, where some of the most expensive housing in the UK is, prices have been coming down for the last decade in real terms… they're now beneath the pre-GFC peak nearly 20 years ago…

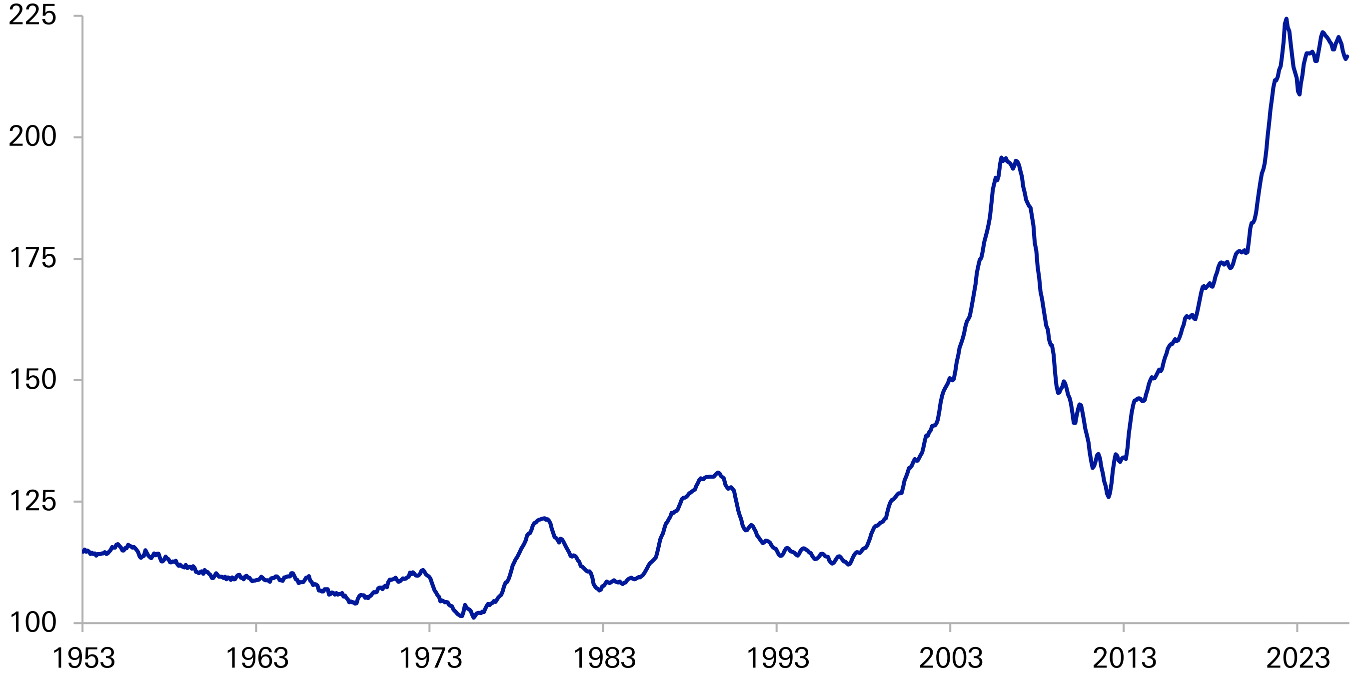
Inner London House prices in real terms (Jan 2026 prices, UK pound sterling)



Source: Haver Analytics, Deutsche Bank

In real terms, US house prices have been stagnant for 4 years… although they're still hovering around record highs…

Real Home Price Index (NSA, 1890=100)



Source: Robert Shiller, Haver Analytics, Deutsche Bank

Will the conflict impact the dollar status

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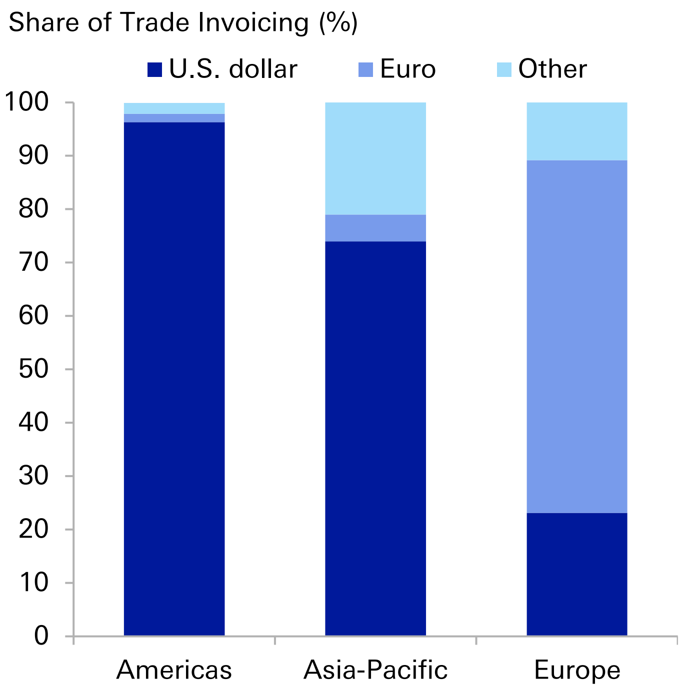
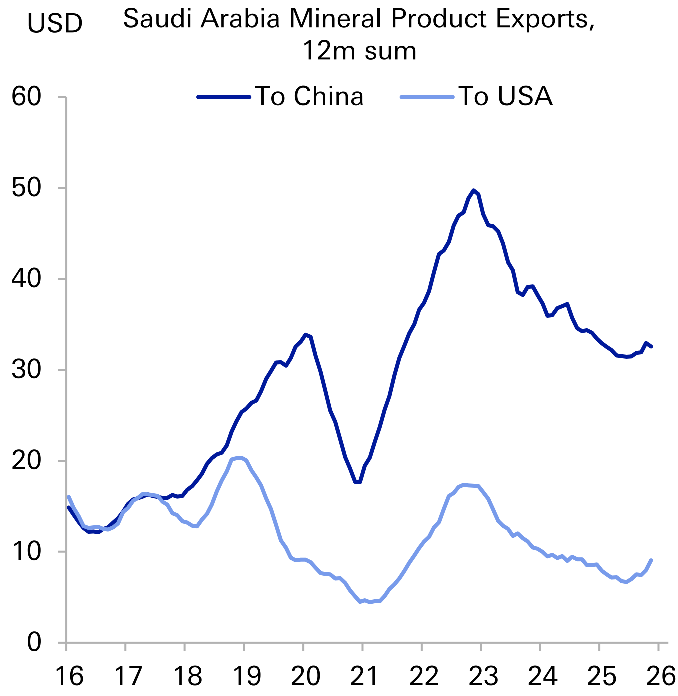
The petrodollar era saw oil priced in dollars with the US providing a security umbrella to the Middle East… the risk for the dollar is that era may be slowly fraying at the edges…. Mallika Sachdeva has written about it here.

The dominance of the dollar in cross-border trade has a lot to do with the petrodollar

There were already signs of instability to petrodollar foundations: Saudi Arabia sells four times as much oil to China now as to the US

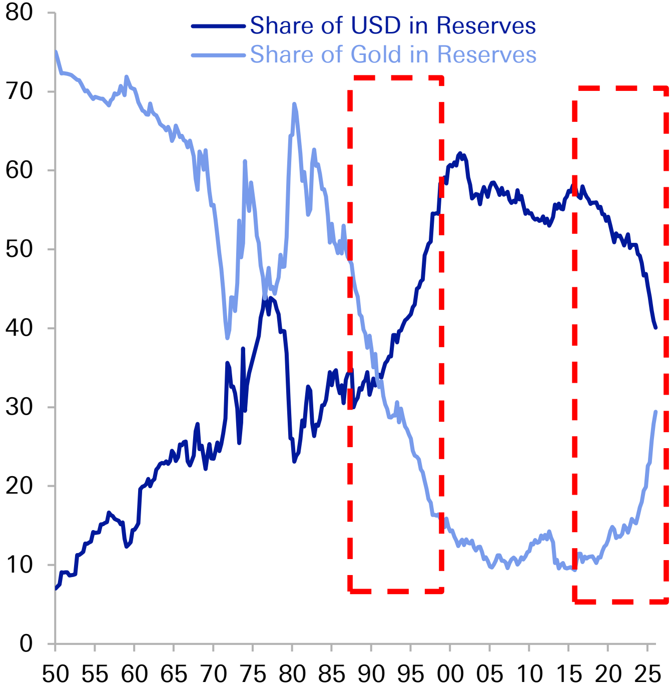


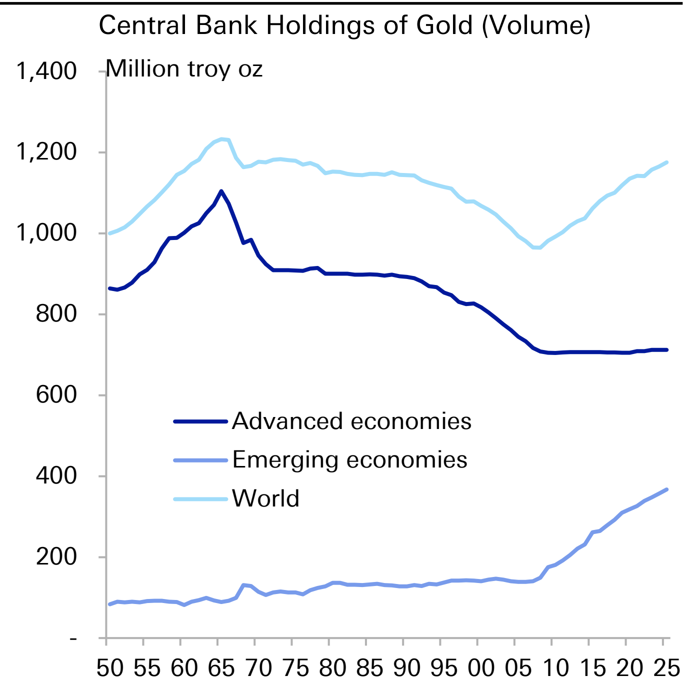


Source: Federal Reserve, CEIC, Deutsche Bank

Linked to the petrodollar theme, there is also de-dollarisation in reserves. Mostly from EM countries. Mallika Sachdeva has written about it here.

The "end of history" in the 1990s saw a sharp rise in the USD and decline in gold's share of reserves. We think history has returned, and it is emerging markets that are leading the charge for gold.





Source: Bloomberg Finance LP, Eichengreen, Chitu and Mehl (2014), IMF International Liquidity Statistics, Deutsche Bank

And finally… when the war is over we have to remember disruption….

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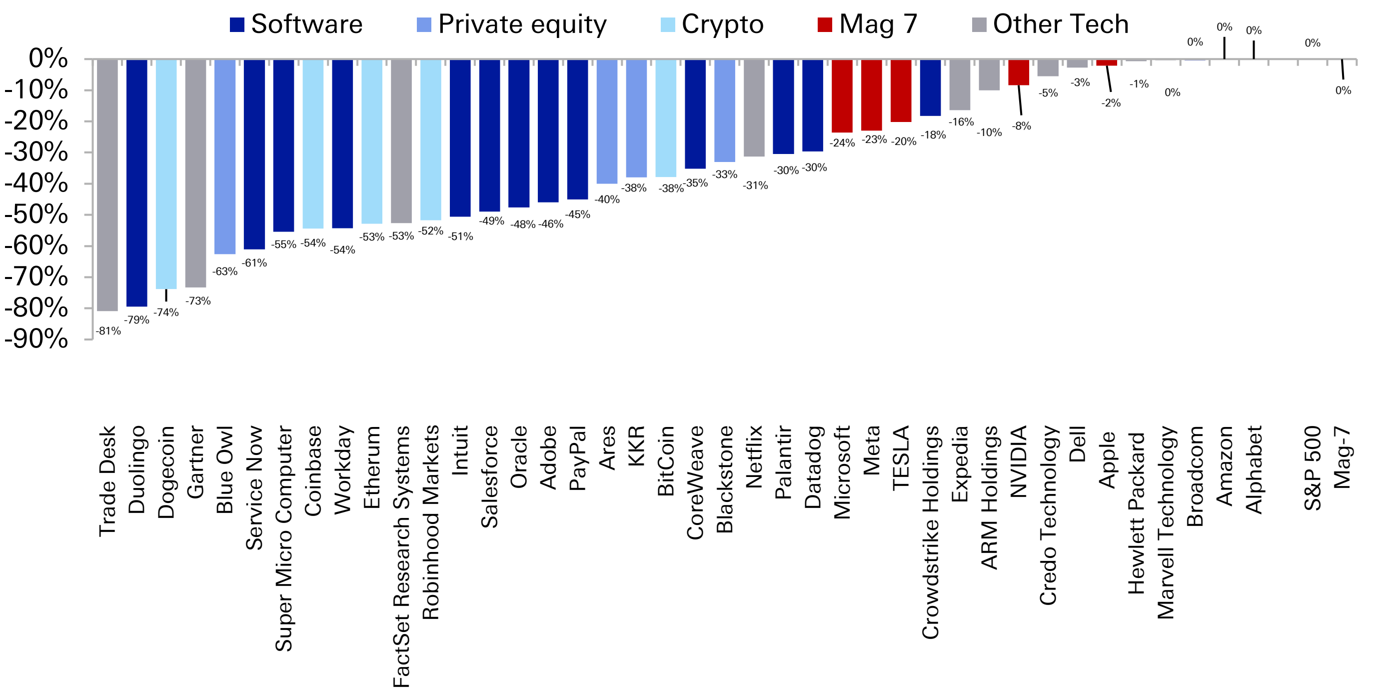
The 2026 drawdown in many tech/AI stocks and related or disrupted assets (e.g. crypto and software) has been pretty severe. Private equity has also been hit due to fears on private credit. So remember these themes if and when the war is over...

How Far Are a Selection of AI & Tech Stocks From Their highs? Drawdowns From 52-Week Highs for Selected US Tech and Related Stocks



Source: Bloomberg Finance LP, Deutsche Bank, Last update: May 1

Appendix 1

Deutsche Bank
Research Institute

Will Claude's AI finance agents change your life?

May 6, 2026

Authors
Adrian Cox
Research Analyst

Finance professionals may be quaking in their gilets today after Anthropic's latest release of Claude agents for financial services. But their alarm may be premature.

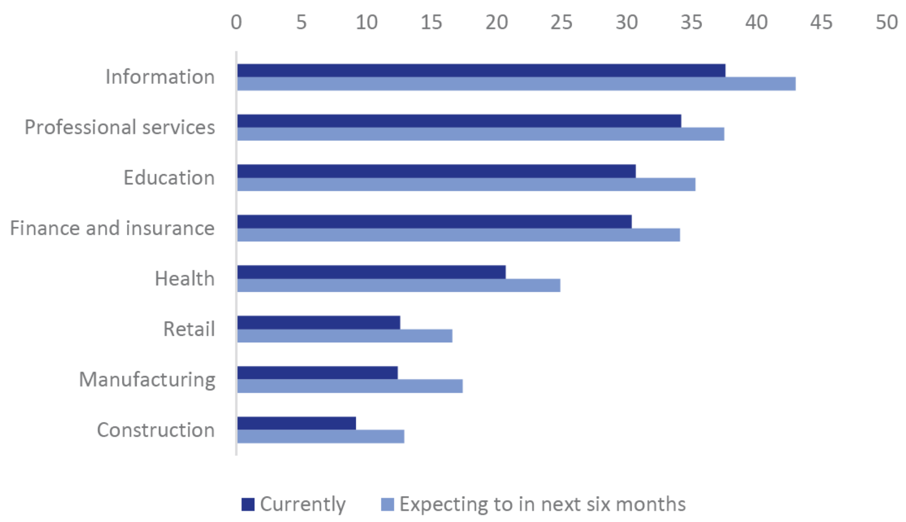
Anthropic released 10 "ready-to-run" agent templates yesterday to handle time-consuming tasks from research and client coverage to finance and operations with a webinar that included CEO Dario Amodei and JPMorgan CEO Jamie Dimon.

The templates bundle together skills, connectors (third-party market and research data) and sub-agents to help bankers build pitchbooks and models, screen KYC files, close month-end accounts and more.

While the internet was full of (AI-generated) memes of young bankers in tears this morning, the reality is that they are likely to continue to be working late nights and weekends to serve their clients for some time to come.

On the one hand, finance is the perfect industry for AI. It has abundant data; high-value, repeatable decisions often performed with manual processes; and operates in a digital, low-friction environment. US Census Bureau data shows that 30 percent of US banks and insurers were using AI in February and about 34 percent are expecting to use it in the next six months. That puts it not far behind information technology, the front-runner at 38 percent and 43 percent.

Figure 1: US companies using or expecting to use AI (%, Feb 2026)



Source: US Census Bureau, Deutsche Bank Research

But on the other hand, adoption is easier said than done, particularly among the largest organisations operating in a highly regulated industry where 99 percent accurate is not accurate enough.

Barriers to adoption include:

1. **Technology and data:** the barriers to any new tech adoption include complex integration with legacy systems; the need for tailored, secure, high-quality – and accessible – data; and issues like data privacy and cybersecurity.
2. **Governance:** barriers specific to AI include the need for heightened guardrails around hallucination, bias, intellectual property and aligning stakeholders. There is also regulatory uncertainty as policymakers take differing and rapidly evolving approaches. AI activities must not only be understood but also explainable.
3. **People:** organisations need to rely on a limited pool of technology experts experienced in implementing a fast-evolving technology. They also must deal with a wide range of capabilities – and support or resistance – from managers and employees. At the very least, that requires training and cultural change.
4. **Customers and clients:** it is far from a given that customers and clients will be universally supportive of having their financial affairs handled by AI or dealing directly with AI agents, let alone giving enough data to the systems to make them valuable.

Diffusion is "much slower than the technology is capable of"

Amodei acknowledged the so-called capability overhang in the webinar, saying: "Our ability to commercialise this technology… is held back not by the power of the models and the economic value you can generate in principle but by the diffusion in the workplace... Diffusion is faster than we've seen in any technology previously in the world but it's still much slower than the technology itself is capable of."

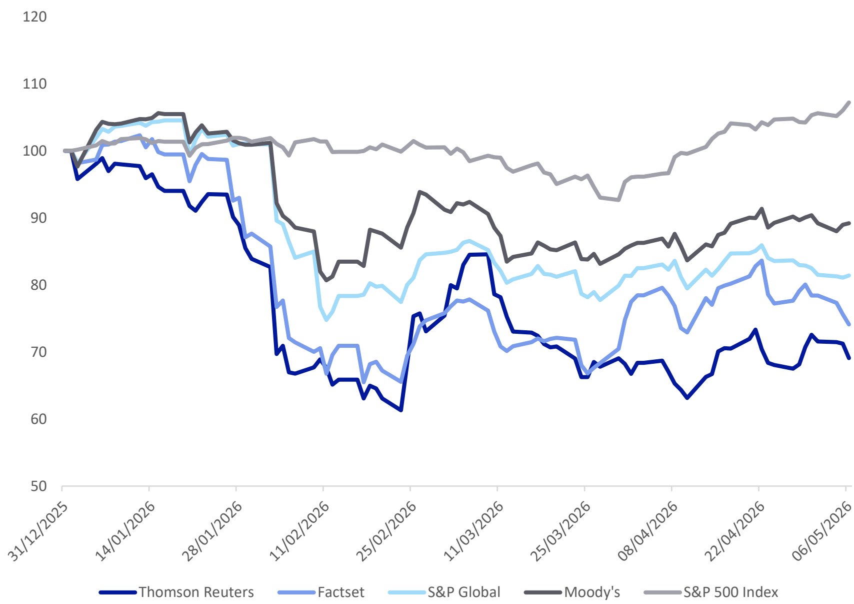
Anthropic and its rival OpenAI are seeking to increase adoption by creating teams to help enterprises adopt AI – a crucial step in monetising the technology and paying for the rapid increase in demand for compute – not least to service the all-but-free service available to consumers.

On Monday, Anthropic announced a joint venture focusing on deploying enterprise services, backed by companies including Blackstone, Hellman & Friedman and Goldman Sachs. On the same day, OpenAI was reported to be raising funds for a similar venture called The Development Company.

The ventures will reportedly raise money from the alternative asset managers in return for sales access to their investors' portfolio companies. It echoes the "forward-deployed engineer" model pioneered by Palantir, where engineers are embedded directly within client teams.

The news has had knock-on effects in data industry stocks, including Thomson Reuters and Factset. They had already been dented by the "SaaSpocalypse" earlier this year, when the launch of Anthropic's Cowork led investors to question whether AI agents would disintermediate providers of traditional subscription software – or give them an opportunity by deploying AI themselves or being the golden source for leading AI providers.

Figure 2: Data providers and S&P 500 Index share price YTD, indexed to 100



Source : Bloomberg Finance LP, Deutsche Bank Research

Two life-changing scenarios?

Despite the challenges of adoption, there is no doubt that life for junior bankers in particular will change over time.

Anthropic described two scenarios.

In one, a natural resources group banker responds to a client who is considering taking their company private by forwarding a message to Claude using voice mode and Cowork Dispatch messenger. The tool then runs a pitch builder, including comps (comparable company) analysis, drawing in information from third-parties such as Standard & Poor's and Factset; creates an adjustable spreadsheet and an interactive slide deck; and prepares a draft to mail to the client.

In another scenario, a fund accountant uses a valuation review agent to pull tailored quarterly financial information before handing over to a statement auditor agent and then to a client.

The finance agents are available as plugins for users of Claude Cowork – which executes multi-step office tasks on a user's behalf – and Claude Code – an AI-powered coding assistant – running alongside Microsoft Excel, Powerpoint, Word and (soon) Outlook.

They are also available as a so-called cookbook for Claude Managed Agents, running autonomously on the Claude Platform for more in-depth work. They run best on Claude's latest Opus 4.7 model, Anthropic said. OpenAI and Google offer their own AI finance tools to perform some of the same tasks.

Three levels of adoption

Longer term, there are likely to be three levels of adoption of AI in financial services, with the first and parts of the second well-advanced, but the third still nascent:

1. **Individual productivity augmented:** tools like Cowork and Microsoft 365 Copilot.
2. **Processes automated:** streamlining operations and increasing efficiency, notably in back-office functions. Tasks like triaging incoming emails, and processes like onboarding, credit scoring and claims processing, may be among those that can be enhanced.
3. **Systems transformed:** building on AI platforms to create new workflows, rather than automating parts of existing workflows, and creating new revenue streams and business models. This may include autonomous agents running areas like trading and operations end-to-end; 24/7 market monitoring, client service and trade execution; and agents using multimodal data to update in real time.

Some areas are likely to remain elusive for longer still. Handing the keys to AI to trade the markets, the Holy Grail of capabilities, continues to be risky. Bloomberg reported today on a series of trading contests including one on Alpha Arena, run by Nof1, where a portfolio run by eight major frontier systems lost about a third of its capital in two weeks.

Obstacles to extracting AI value

Getting the most out of the remarkable capabilities of AI will take time and depends on factors including:

1. **Adoption:** as mentioned above, only about a third of US finance companies are using AI in their business functions.
2. **Intensity:** most AI users still only dabble, with only 12 percent using it daily, according to St Louis Fed survey data.
3. **Suitability:** most jobs are a bundle of tasks, with some studies suggesting only one fifth of all US tasks can be performed by AI.
4. **Economic threshold:** even where tasks can be performed by AI at all, it may still be cheaper for humans to do them. Two years ago, admittedly a lifetime in AI terms, Nobel Prize-winning economist Daron Acemoglu's Simple Macroeconomics of AI paper cited data suggesting only a quarter of AI-liable tasks would be able to be automated.
5. **Overall cost:** while the capabilities of AI are increasing by the day, so is the cost of using more and more (albeit cheaper) tokens to execute more and more complex operations. At some point, companies will need to rein in token use and consolidate rather than letting every high-rolling employee develop an army of their own agents.

(These still low levels of deployment suggest that there could be significant latent demand justifying US hyperscaler capital expenditure on data centres reaching $725bn this year. Shares in AMD, the No. 2 AI chipmaker, some way behind Nvidia, surged as much as 21 percent today after it boosted its sales forecast for the second quarter and said the market for generalist Central Processing Unit (GPU) chips will grow at greater than 35 percent a year to reach over $120bn by 2030.)

What about us?

Humans still have a lot to offer. Beyond physical dexterity, most finance professionals will have an edge in qualities that clients are likely to want to pay for in the future:

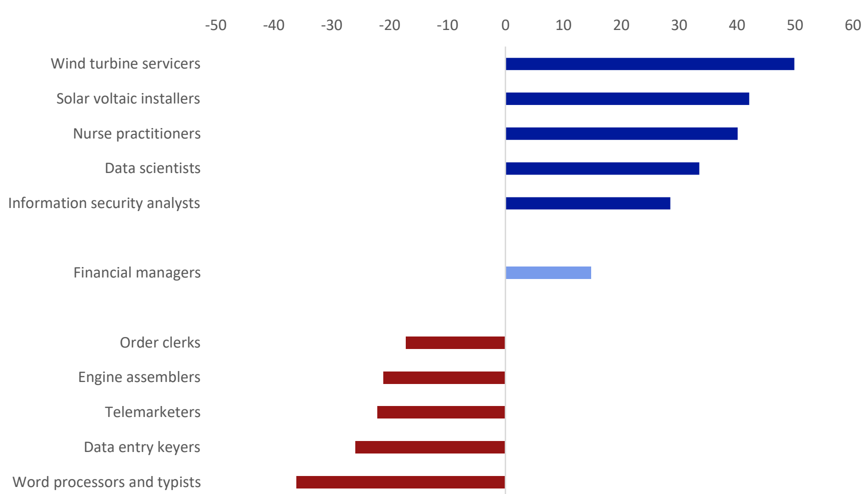
1. **Judgement** in defining problems and assessing outcomes, particularly unusual and risky edge cases;
2. **Genuine creativity**, rather than safe, centre-of-the-bell-curve amalgamations of what has gone before;
3. **Emotional intelligence**, including rapport, common sense and ethics.

An open question is how humans can develop these qualities if AI takes away much of the early-career grunt work where they are forged.

AI agents can boost those qualities while outperforming on aspects they do better and faster: analysing vast amounts of data; generating content; and executing tedious multi-step processes, with lower operational risk, an auditable workflow and humans in the loop only where necessary.

Consequently, the US Bureau of Labor Statistics predicts that financial managers will see a 15 percent increase in numbers over the coming decade.

Figure 3: Fastest growing and (selected) fastest declining occupations in US, 2024 to projected 2034 (% change)



Source : US Bureau of Labor Statistics, Deutsche Bank Research

That puts them among the winners in a list led by wind turbine servicers and solar voltaic installers, themselves benefitting from the need for energy to power the mushrooming of data centres. After nurse practitioners, another two occupations are also likely to be direct beneficiaries of AI: data scientists and information security analysts.

The larger of the fastest declining occupations will include word processors and typists, down by more than one third, the Bureau predicts, as well as data entry keyers, both performing tasks squarely in the sights of AI agents.

Recent relevant research

Deutsche Bank Research Institute: Technology

AI, Iran and the Gulf 101 (April 13, 2026)

AI is not convinced AI is a major disinflationary force (April 9, 2026)

Tracking the effects of AI on the US labor market (March 10, 2026)

What AI says about AI eating itself and the world… (Feb 16, 2026)

AI Q&A: Why have market vibes suddenly shifted on AI? (Feb 16, 2026)

Three AI themes for 2026: the honeymoon is over (Jan 20, 2026)

Appendix 1

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The significance of the UAE

May 6, 2026

Authors

Michael Hsueh
Research Analyst

— The significance of the UAE extends beyond its oil production share within OPEC. The UAE is second only to Saudi Arabia with regard to production flexibility, both for reducing output (discipline) and increasing it (spare capacity). Notably, the UAE also played a larger role in production cuts during the GFC than Qatar, another former "OPEC 'Core'" member, which exited in 2019. Therefore, with the UAE's absence from May, OPEC and the OPEC+ coalition will have a diminished ability to manage market surpluses and deficits.

— The economic and fiscal motivations for the UAE's decision appear obvious, quite apart from the well-known political issues. The UAE stands out among much of its OPEC brethren due to its lower fiscal breakeven oil price. In fact, amongst oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, while Iran (USD 165/bbl) is at the higher end of the spectrum.

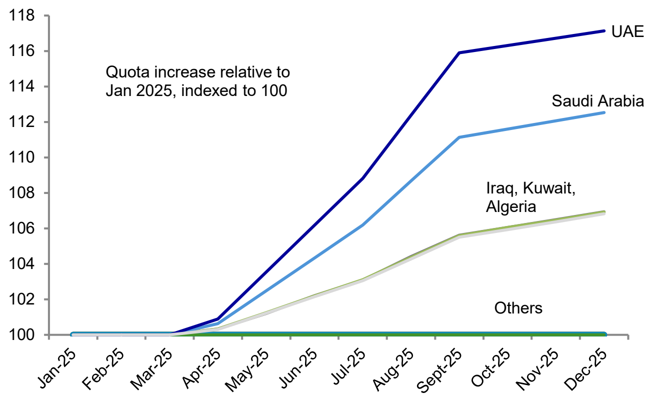
— In light of the UAE's pledge to "continue to act responsibly, bringing additional production to market in a gradual and measured manner", we anticipate that the UAE will most likely increase its production towards sustainable capacity over a period of a year following the end of commercial shipping restrictions.

UAE exit preceded by policy dissents

The UAE exit from OPEC follows several dissents from group production decisions, notably in November 2020 and July 2021 when these disagreements became public knowledge, and its possible departure from OPEC was discussed in the media as a "trial balloon".[1] The exit also occurred despite some OPEC recognition and accommodation of the UAE's increased production capacity to 4.85 mmb/d, announced in May 2024.[2] In 2024, the UAE successfully lobbied for a higher production quota to be phased in over the course of 2025, resulting in the largest percentage increase among all OPEC-9 countries subject to a quota (Figure 1).

[1] UAE gets higher OPEC+ crude production quota", S&P Global, 4 Jun 2024, {https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/060424-uae-gets-higher-opeccrude-production-quota }.
[2] UAE's ADNOC ups crude production capacity to 4.85 million b/d", S&P Global, 2 May 2024, {https://www.spglobal.com/energy/en/news-research/latest-news/crude-oil/050224-uaes-adnoc-ups-crudeproduction-capacity-to-485-million-bd}.

Figure 1: UAE saw the largest proportional quota increase in 2025 (Jan'25=100)

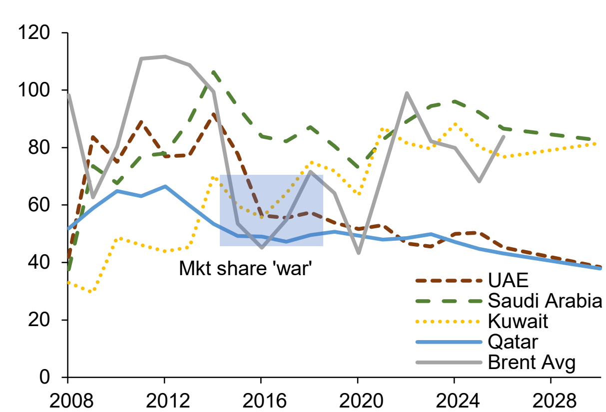


Source : OPEC, Deutsche Bank

UAE and Qatar share low fiscal breakeven oil prices

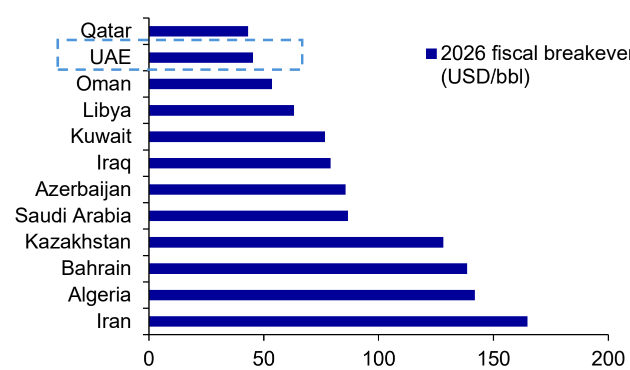
The economic and fiscal context for the UAE's decision appears obvious, quite apart from the well-known political issues.[3] The UAE stands out among many of its OPEC counterparts by its lower fiscal breakeven oil price. Since the market share "war" starting from the end of 2014 through 2019, the UAE's fiscal breakeven has diverged from those of Kuwait and Saudi Arabia (Figure 2). In fact, amongst the oil-exporting countries surveyed by the IMF, the UAE (USD 45/bbl) is matched in its low fiscal breakeven only by Qatar (USD 43/bbl) in 2026, with Iran (USD 165/bbl) at the opposite end of the spectrum (Figure 3).

Figure 2: UAE diverged from Saudi Arabia and Kuwait in fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

Figure 3: UAE and Qatar (2019 exit from OPEC) have lowest fiscal breakevens (USD/bbl)



Source : IMF, Deutsche Bank

High contribution to supply discipline

The UAE's contribution to OPEC supply discipline extends beyond its share of oil production falling under the OPEC umbrella. Along with OPEC founding members

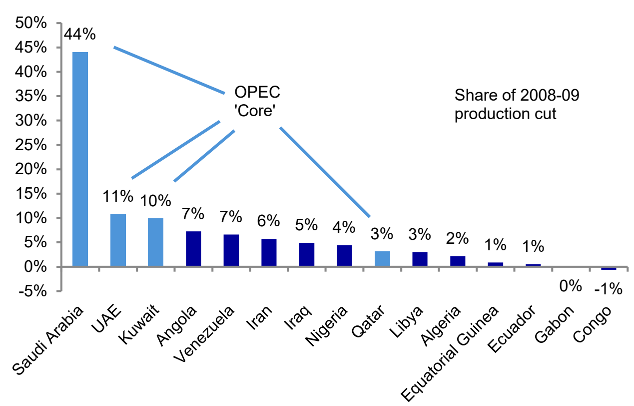
3 "The Saudi Arabia-UAE Dispute Is About More Than Just Yemen", Foreign Policy Magazine, 8 Jan 2026, {https://foreignpolicy.com/2026/01/08/saudi-arabia-uae-dispute-yemen-sudan/}.

Saudi Arabia and Kuwait, the UAE (joined in 1967) and Qatar (joined 1961, exited 2019) were considered to be OPEC 'Core' countries in the sense that they are "immediate neighbors of Saudi Arabia and have usually followed similar policies."[4]

In early 2008, the UAE's share of OPEC production was only 8%, yet it contributed 11% of the production cut (Figure 4). The UAE's "sacrifice" as a percentage of its own production was comparable to Saudi Arabia's (Figure 5), while non-Core countries generally made lesser sacrifices. By 2026, the UAE's share of OPEC production had risen to 12% just before the US-Iran war. While the UAE has typically produced above its quota, it has not been a remarkable standout in this regard (Figure 6), with Saudi Arabia and Kuwait also being similar or larger over-producers in recent years (2024-2025).

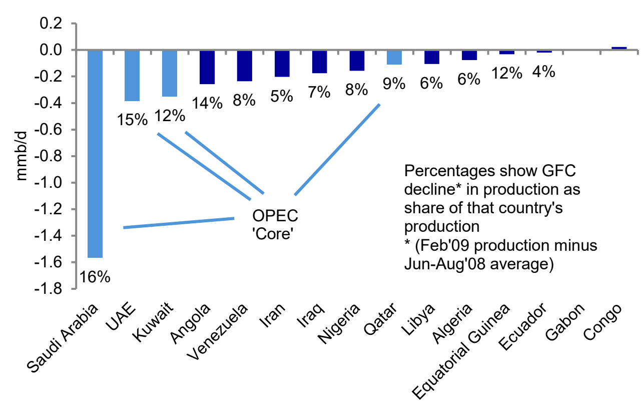
This implies that to achieve the same impact in addressing demand shortfalls, other countries would need to sacrifice slightly larger shares of production and revenue. In 2020, the lower compliance demonstrated by OPEC+ coalition partners under the Declaration of Cooperation (shown as 'non-OPEC' in Figure 7), suggests there is more room for improvement here than within OPEC proper. The nine OPEC+ coalition partners produced 13.4 mmb/d in January 2026, compared to 24.6 mmb/d from the OPEC-9 countries subject to a quota, and 30.1 mmb/d from all twelve OPEC countries including Libya, Venezuela and Iran.

Figure 4: UAE share of 2008-09 OPEC cut was second-largest



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence:www.iea.org/t&c; as modified by Deutsche Bank

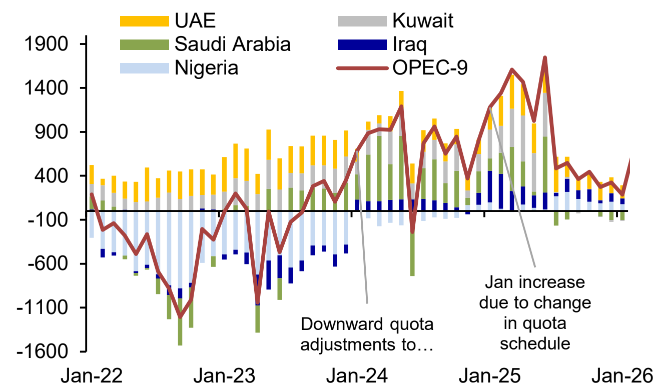
Figure 5: UAE 'sacrificed' nearly as high a share of its production as Saudi Arabia in 2008-09 (mmb/d)



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence:www.iea.org/t&c; as modified by Deutsche Bank

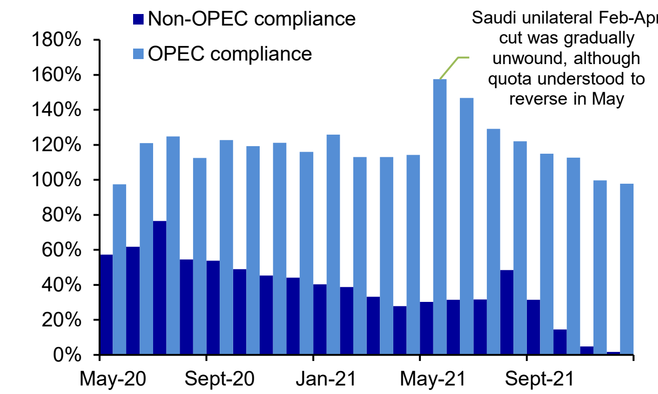
4 Gately, Dermot. "Lessons from the 1986 Oil Price Collapse", Brookings Papers on Economic Activity, June 1986, {https://www.brookings.edu/wp-content/uploads/1986/06/1986b_bpea_gately_adelman_griffin.pdf}.

Figure 6: Notable OPEC-9 countries with production above or below quota (kb/d)



Source : Bloomberg Finance LP, IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence:www.iea.org/t&c; as modified by Deutsche Bank, Kpler

Figure 7: OPEC+ coalition partners' compliance was lower than OPEC-9 countries in 2020-21



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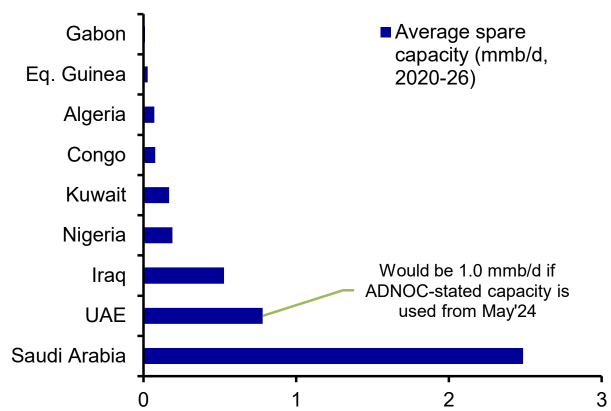
Second-highest spare capacity in OPEC-9

Regarding the capacity to raise production, the UAE is also relatively important, though not nearly as crucial as Saudi Arabia. Its average spare production capacity since 2020 has been 0.8 mmb/d, compared to 2.5 mmb/d for Saudi Arabia. If ADNOC's May 2024 estimate of sustainable capacity is used,the UAE's average spare capacity would rise to 1 mmb/d, as the IEA's estimate of sustainable capacity remained at 4.3 mmb/d in 2025. Consequently, after the UAE's departure, OPEC and the OPEC+ coalition will have less flexibility in mitigating market deficits.

This point can also be illustrated by comparing the UAE to other countries that have recently departed from OPEC (Figure 9), showing that the UAE has a greater capacity to create oversupply. However, as the Minister of Energy and Infrastructure rightly points out, "the timing now is perfect" because "the impact is going to be minimal on all of the producers", and from the consumer's point of view, "the world will need much, much more production of energy."[5]

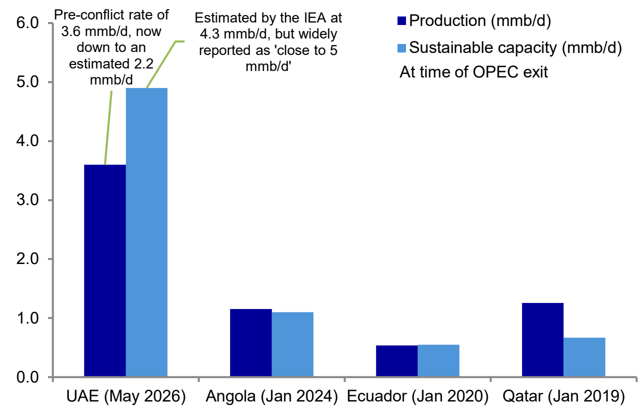
5 "Opec exit 'purely a policy move', UAE energy minister says", The National News, 29 Apr 2026, {https://www.thenationalnews.com/business/energy/2026/04/28/opec-exit-purely-a-policy-move-uae-energy-minister-says/}.

Figure 8: UAE possessed second-largest spare capacity out of OPEC-9 countries subject to a quota



Source : IEA data from Monthly Oil Data Service © OECD/IEA 2026, www.iea.org/statistics, Licence:www.iea.org/t&c; as modified by Deutsche Bank, Kpler

Figure 9: UAE has more potential to raise production than other countries at time of exit



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UAE will continue to act responsibly

Beyond these important facts of the UAE's supply flexibility, it is worth noting from the Ministry of Energy and Infrastructure's public statement that:

> "Following its exit, the UAE will continue to act responsibly, bringing additional production to market in a gradual and measured manner, aligned with demand and market conditions."[6]

Additionally,

> "This decision does not alter the UAE's commitment to global market stability or its approach based on cooperation with producers and consumers. Rather, it enhances the UAE's ability to respond to evolving market needs."

From these statements, we infer that following a Strait of Hormuz re-opening, there may not necessarily be a very rapid increase in UAE production, even considering the extreme supply deficits currently estimated. We could also infer that to demonstrate its commitment to market responsibility, the Ministry of Energy may be especially careful with its production profile after a Strait of Hormuz reopening, since its behaviour will likely be under close scrutiny by the market. Accordingly, we believe it most likely that the UAE will raise its production towards sustainable capacity over a period of a year.

6 "UAE announces decision to exit OPEC & OPEC+", Emirates News Agency, 28 Apr 2026, {https://www.wam.ae/en/article/bzxzuh7-uae-announces-decision-exit-opec-opec}.

Appendix 1

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Deutsche Bank
Research Institute

May 5, 2026

Q&A with Matthew Barnard

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As equity research adapts to rapid shifts in technology, markets and client behaviour, Matt Barnard, Head of US Equity Research, is helping steer how Deutsche Bank evolves its research offering. In this edition of our Q & A series, Matt shares his perspective on the new ways clients are consuming research, his outlook for US markets, and what it's like leading research teams through a period of significant change.

Q: You've spoken about the equity research landscape undergoing a fundamental shift. What has changed most in how clients discover, engage with and use research today?

AI is fundamentally changing how clients consume sell-side research. As information becomes more easily accessible through AI tools, the value of differentiated insights from trusted sources has moved higher up the value chain. Investors are increasingly using AI to discover new ideas and challenge consensus views more quickly and efficiently. This allows them to filter out noise and spend more time engaging in deeper, more meaningful conversations with our Deutsche Bank research analysts.

Q: Against a complex backdrop for US geopolitics and policy, how do you currently assess the outlook for US markets – and which themes matter most for clients as we move through 2026?

Geopolitical developments in the US and globally continue to be a significant driver of volatility across risk assets. Deutsche Bank research's macro and strategy teams have consistently taken bold, often counter-consensus views, which are especially valuable in this environment. While conflicts in the Middle East will likely continue to create ripple effects across markets, the underlying fundamentals for US equities remain relatively strong. The rapid acceleration of AI adoption – and the associated capital investment – remains a key thematic focus for clients, both in the US and globally.

Q: You now lead teams through a period of rapid change. What do you find most rewarding about working in research management at this point in the cycle?

At its core, the role of an equity research analyst is to form forward-looking views with imperfect information. The strongest analysts thrive in periods of uncertainty and rapid change, identifying emerging trends and uncovering new investment opportunities early. From a management perspective, the most rewarding part of my role is seeing some of the brightest minds in research stay ahead of these shifts and deliver true alpha for our clients.

Q&A with Matthew Barnard

Deutsche Bank
Research

This Month in Geopolitics: May 2026

Key events, themes and trends to watch in the month ahead

May 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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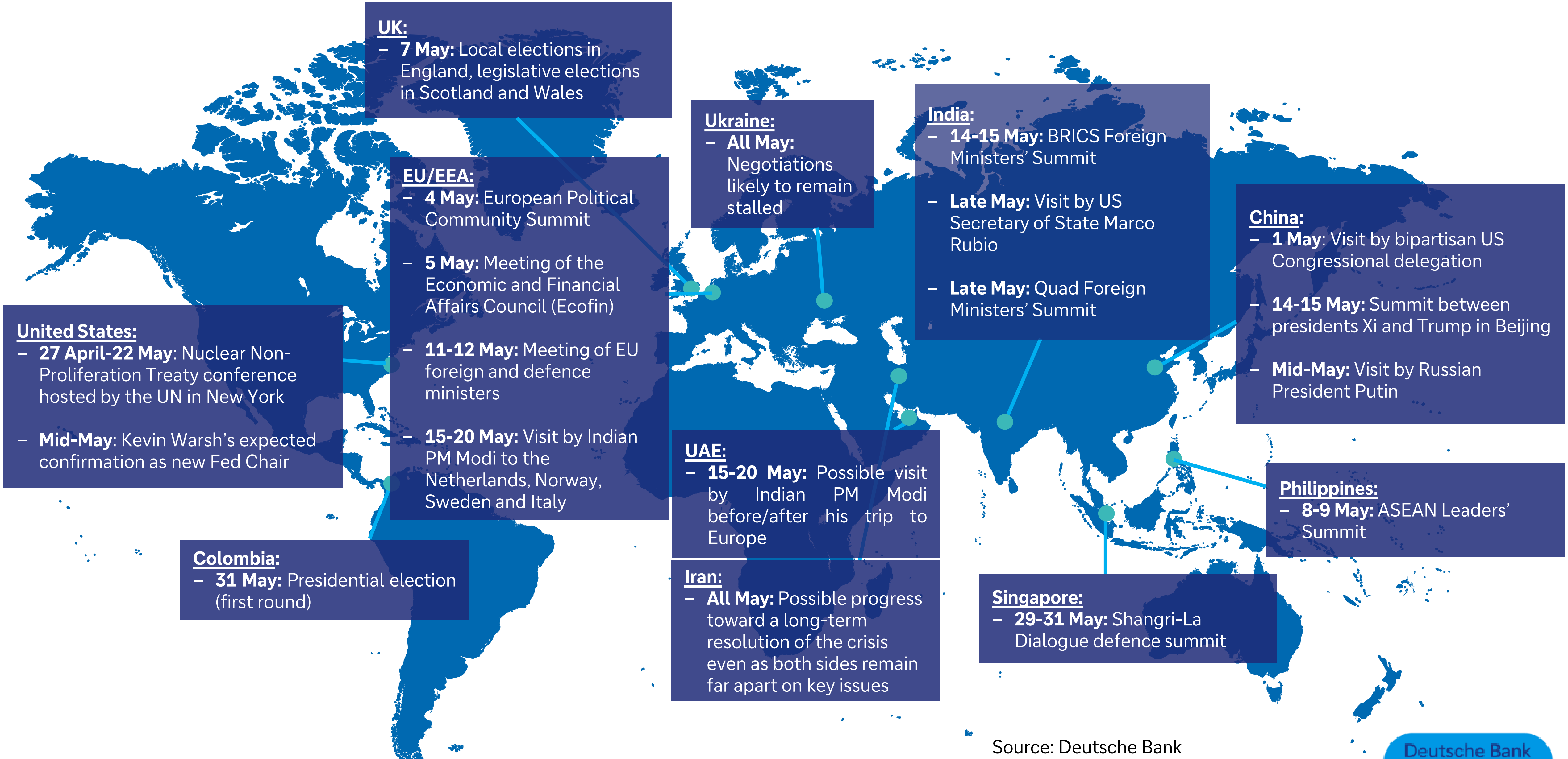
At a Glance: Geopolitical events to watch in **May 2026**

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



Source: Deutsche Bank

In focus for May: The **war in Iran** and the **Xi-Trump summit** in Beijing

The War in Iran: An End in Sight?

Key points of contention remain between the two sides, including Iran's nuclear programme, the closure of the Strait of Hormuz and sanctions relief. The US rejection of Iran's latest peace proposal on 1 May, and Iran's warning of possible military action on 4 May, underscored that both sides remain far apart on key issues. But despite the precarious ceasefire, the probability of a longer-term resolution is assessed to be strong. The US is facing diminishing returns and increasing domestic and international pressure as the economic consequences of the crisis grow, which will likely push the administration towards a settlement.

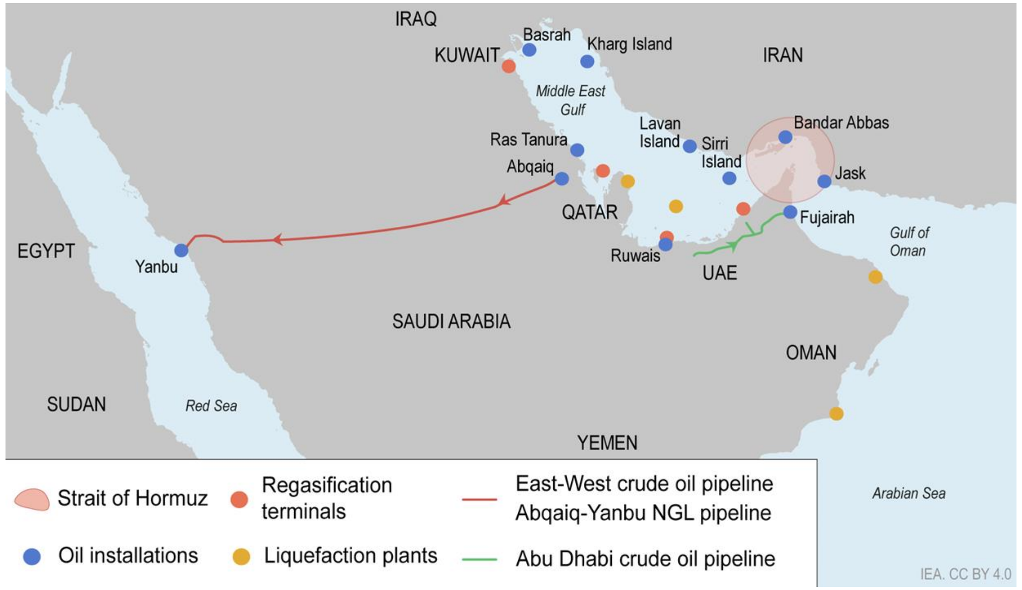
This conflict is a transformative event for the Middle East, shattering the previous geopolitical equilibrium and creating a new, unpredictable reality – as illustrated by the UAE's decision to leave OPEC on 1 May. Iran is expected to emerge with enhanced influence, while Gulf states will likely re-evaluate their security posture and further diversify their international relationships beyond the United States. Post-conflict normalization and economic recovery will be a lengthy process, likely taking months. Rebuilding critical infrastructure like Qatar's Ras Laffan gas field and restoring confidence for shipping through the Strait of Hormuz – which remains far below pre-war levels (see chart) will take considerable time, with knock-on effects like inflation likely lasting well into the second half of 2026.

Xi-Trump Summit: Toward a Tactical Deal

Barring a significant escalation in the Iran war, the summit between presidents Xi and Trump on 14-15 May will likely go ahead as planned – and deliver a package of tactical agreements. The meeting will likely coalesce around limited, but potentially more achievable, deliverables. These could include Chinese commitments to purchase up to 500 Boeing jets, US soybeans and energy, as well as Chinese requests for the US to ease export controls, including on chips and aircraft engine parts. Both sides could also agree to set up a 'Board of Trade' to increase bilateral trade in non-sensitive areas. Progress on a proposed 'Board of Investment' could be more limited owing to mutual national security concerns linked to investment, although the summit could still deliver a small number of investment deals.

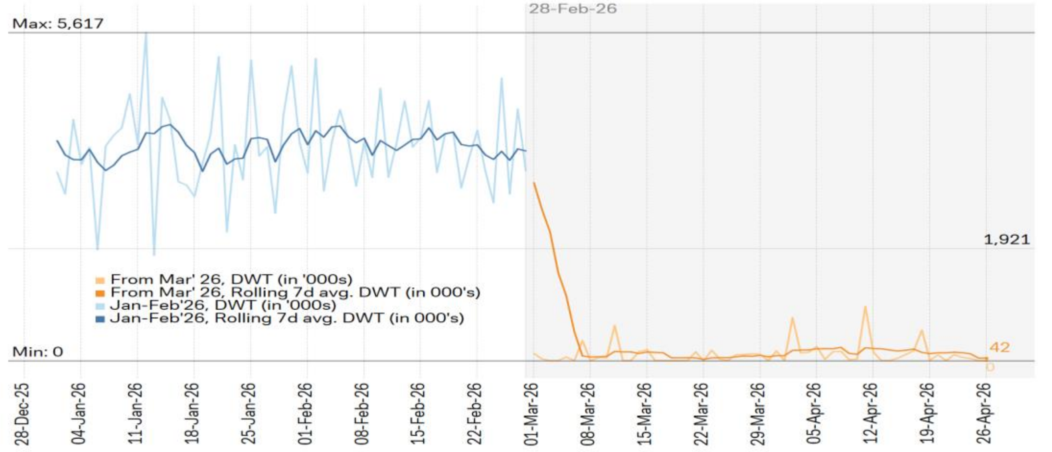
Despite recent signs of friction over Iran, both sides appear to be prioritizing bilateral stability. The threshold for another summit deferral is likely high. But a breakdown of the US-Iran ceasefire and a return to fighting would be a notable downside risk, increasing the probability of another summit delay or even a cancellation.

Oil and gas infrastructure in the Gulf



Source: International Energy Agency

Tanker activity exiting the Strait of Hormuz (in DWT'000s)



Source: dbDataInsights

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order

Ukraine war (all May)

Negotiations for a ceasefire in Ukraine will likely remain stalled during May. While there is ongoing diplomatic activity, no new rounds of ceasefire talks are publicly scheduled for May or June. Ukrainian President Zelenskyy has stated that the US wants Russia and Ukraine to reach a peace agreement by June. However, the specifics of how this would manifest in terms of scheduled meetings are unclear.

While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have implications for markets. These could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, data centres and artificial intelligence.

Nuclear Non-Proliferation Treaty conference (27 April – 22 May)

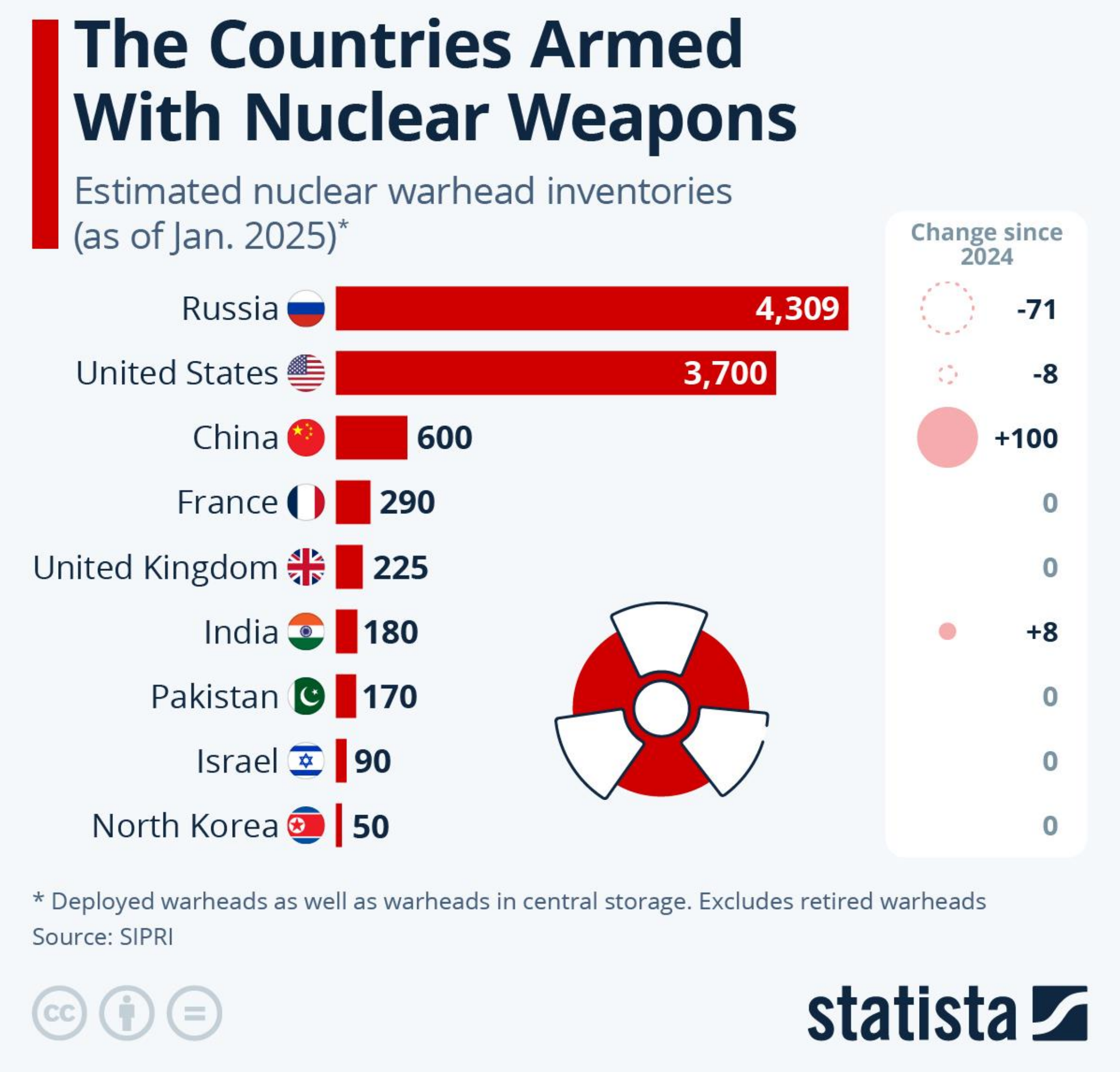
The UN-sponsored conference in New York is taking place against the backdrop of rising geopolitical tensions and the prospect of a new nuclear arms race. The expiry of the New START Treaty on 5 February marked the end of the last binding nuclear arms control agreement between the US and Russia. Both countries retain the world's largest nuclear warhead inventories (see chart). While these have shrunk slightly in recent years, the unravelling of the New START deal could reignite nuclear competition.

Meanwhile, China is pursuing a significant expansion of its nuclear stockpile. There is little evidence to suggest that either the New York conference or other recent initiatives – including a proposal by President Trump for a new arms control treaty between China, Russia and the US – are likely to translate into binding agreements in the near term.

Bipartisan US Congressional delegation visiting China (1 May onward)

The reported visit reflects continued engagement and relative stability in China-US ties ahead of the Xi-Trump summit. The five-person delegation led by Republican Senator Steve Daines reportedly visited Beijing and Shanghai. The delegation is purportedly interested in better understanding China's technological innovation and infrastructure, including its high-speed rail network.

Estimated nuclear warhead inventories, 2024-25



Source: Statista

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order

European Political Community Summit (4 May)

The summit will likely cover issues including energy security, defense, technology cooperation, and the conflicts in Iran and Ukraine. The European Political Community was established in the wake of the Russian invasion of Ukraine in 2022, with the goal of bolstering Europe-wide geopolitical cooperation. The group currently has 47 members, including non-EU members such as Türkiye, Armenia and Azerbaijan. The 4 May summit will take place in the Armenian capital Yerevan.

EU Economic and Financial Affairs Council meeting (5 May)

The meeting of the EU's financial and economic ministers will cover topics including the economic impacts of the Russian invasion of Ukraine, European economic recovery and tax fraud. The council will also hold a debate on the market integration and supervision package – a series of measures intended to strengthen the integration and efficiency of the EU's financial system.

Elections in the UK (7 May)

The elections could see a realignment in voter preferences toward the Reform and Green parties. In **England**, local elections will see more than 5,000 council seats up for grabs, as well as six directly elected mayoral posts. Recent polls suggest a surge in support for the Reform Party – which is among other policies advocating for tighter immigration curbs and lower taxation – and the Green Party. Labour and the Conservatives are facing significant seat losses.

Polls ahead of **Scotland**'s parliamentary election on the same day indicate a lead for the ruling pro-independence Scottish National Party, with Labour and Reform virtually tied for second place. The Conservative Party – which came in second with almost a fifth of all votes in 2021 – could see its support halved.

For the legislative election in **Wales**, polls suggest support for the ruling Labour party could almost halve, with Reform and pro-independence Plaid Cymru nearly tied for first place, each with around 25%-29% of the projected vote.

Source: Guillaume Périgois on Unsplash

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order

ASEAN Leaders' Summit in the Philippines (8-9 May)

The Iran crisis and its economic impacts on Southeast Asia – which include inflationary pressure, rising fiscal burdens due to energy subsidies, and jet fuel shortages – are expected to dominate discussions. Talks will also likely focus on the war's implications for energy, food prices, and for the region's large expatriate community in the Middle East, as well as critical minerals, and the South China Sea Code of Conduct.

EU foreign and defence ministers' meetings (11-12 May)

The session is expected to include discussions on the EU's response to the war in the Middle East and the management of any knock-on implications of the conflict for the EU's support for Ukraine. Ministers will also discuss inputs into the development of the upcoming European Security Strategy.

Kevin Warsh's expected confirmation as new Fed Chair (mid-May)

The US Senate is expected to confirm the nomination of Kevin Warsh as the new Chairman of the Board of Governors of the US Federal Reserve. The vote will likely be scheduled during the first half of May. Current US Fed Chair Jay Powell's term as Chair expires on 15 May, by which point Trump administration officials and Senate Republicans are likely to push for Warsh's confirmation to be complete. If confirmed, Warsh's first FOMC meeting will take place on 16-17 June.

Russian President Putin to visit China (mid-May)

Putin's visit to China will likely seek to cement the China-Russia partnership (including more energy supplies for Beijing) and coordinate US policies after the Xi-Trump summit. Media reports indicate Putin could visit during the week of 18 May. The timing could suggest an exchange of views with China on the outcomes of the Xi-Trump summit, and an effort to coordinate policies toward Washington. Putin and Xi could also seek to deepen diplomatic and security ties, and coordinate on the Iran conflict, given Tehran's status as both countries' close partner.

For Beijing, securing increased Russian energy imports may be another objective. Russia's Foreign Minister Lavrov stated on 15 April that Moscow is willing to boost exports to China. The supply of Russian crude already rose by a reported 31% y/y during 2026-Q1.

Source: Rafik Wahba on Unsplash

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order

Indian Prime Minister Narendra Modi expected to visit Europe and the UAE (15-20 May)

The expected visit to Italy, Norway, Sweden, and the Netherlands will likely seek to further strengthen trade and investment ties. This will include attendance at the India-Nordic Summit on 15 May. Talks will likely cover issues including energy, technological cooperation and defence, with the goal of deepening strategic cooperation as India pursues economic and trade diversification amid the ongoing global energy shock. Reports suggest Modi's itinerary could include a stop in the United Arab Emirates – India's key Gulf partner – for talks on topics including regional security and energy cooperation.

India to host BRICS (14-15 May) and Quad (late May) foreign ministers' meetings

The hosting of two geopolitically competing meetings reflects new Delhi's multi-aligned policy approach. Marco Rubio's visit to India will reportedly be accompanied by the first meeting of the **Quad** group of countries (India, US, Japan and Australia) since July 2025. The Quad intends to bolster cooperation in areas including maritime security, infrastructure resilience, and emerging technologies.

New Delhi will also host a meeting of the **BRICS** foreign ministers, with talks expected to lay the groundwork for the BRICS Leaders Summit in India in September. While the meeting could address the Iran war, BRICS is unlikely to adopt a coordinated response to the crisis given members' diverging views on the issue. But as we have argued, the absence of a BRICS consensus on a geopolitical issue is not unusual. It should not be interpreted as either a setback for the organisation or as a potential point of fracture (see Thematic Research: Geopolitical Crossroads: India's Strategic Balancing Act).

US Secretary of State Marco Rubio to visit India (late May)

Rubio's India visit is expected to include talks on trade, critical minerals and energy. The visit will follow in the wake of the latest round of India-US trade talks in Washington in late April. Both sides are reportedly close to finalising the trade framework agreement from early February.

Rubio's visit and the ongoing trade talks reaffirm our view that India-US ties remain largely on track despite recent trade friction. This is due to a convergence of interests, including around long-term economic cooperation and shoring up India's position as an investment and manufacturing alternative to China (Thematic Research: The US-India Bargain: Tariffs and Geopolitical Alignment).

Source: Swapnil Bapat on Unsplash

Other key events, issues and themes to watch in **May 2026**

Listed in chronological order

Shangri-La Dialogue defence summit in Singapore (29-31 May)

Singapore will host the annual Shangri-La Dialogue defence summit from 29-31 May. The event will bring together military and government officials from across the Asia Pacific and outside the region. The event can provide insights into how countries such as China and the US intend to approach major geopolitical challenges, including second-order security impacts from the Iran war.

Presidential election in Colombia; first round (31 May)

Colombia will hold the first round of its presidential elections on 31 May. A second round, if no candidate secures more than 50% of the vote, is expected and scheduled for 21 June.

Left-wing candidate Iván Cepeda is currently leading in most polls, with a tight race expected between two centre-right/right candidates, Paloma Valencia and Abelardo de la Espriella, who are competing for a position in the second-round runoff.

Source: Random Institute on Unsplash

Appendix 1

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Deutsche Bank
Research

Q2 Corporate Bank Quarterly

A guide to Macro, Markets, Geopolitics & Tech for CFOs and Corporates

April 2026

Marion Laboure | Camilla Siazon | Luke Templeman,
Adrian Cox | Helen Belopolsky | Miha Hribernik | Jim Reid

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

Introduction: Macro, Markets, Geopolitics & Tech

A guide for CFOs & Corporates

We're pleased to share our April 2026 Guide for CFOs and Corporates, providing essential insights into macroeconomics, markets, geopolitics and technology. This report offers critical analysis and perspectives to help corporate clients navigate today's complex economic environment.

Key highlights:

- Macroeconomic outlook: The Iran War is driving an energy price shock that threatens a global inflation shock, despite growth remaining resilient outside the euro area.
- Market analysis: Higher energy costs and rates are pulling on corporate earnings growth. Brent crude averages $84.80/bbl in our baseline. Dollar weakness narrative resumes.
- Geopolitics: A long-term solution between the US and Iran is likely, but post-conflict normalization will take months. Key Q2 events to watch: Xi-Trump summit (14-15 May) and Ukraine ceasefire talks.
- Artificial Intelligence: AI disruption concerns have waned somewhat, however, the software sector remains under intense scrutiny and Q1 outlook announcements will be critical.
- The future of monetary policy: The energy shock has materially shifted central bank trajectories. Fed on hold through 2026; ECB hiking twice. The US continues to lead stablecoin adoption.

Upcoming key macro events

04 April

27-28	JN	Bank of Japan decision
28-29	US	Federal Reserve meeting
29-30	EZ	ECB decision
30	UK	Bank of England decision

05 May

06 June

10-11	EZ	ECB decision
14-16	G7	G7 summit in France
15-16	JN	Bank of Japan decision
16-17*	US	Federal Reserve meeting
18	UK	Bank of England decision
18-19	EU	European Council meeting

07 July

01	IR	Ireland holds EU Council presidency
22-23	EZ	ECB decision
28-29	US	Federal Reserve meeting
30	UK	Bank of England decision
30-31	JN	Bank of Japan decision

08 August

09 September

-	FR	France Senate election
09-10	EZ	ECB decision
15-16*	US	Federal Reserve meeting
17	UK	Bank of England decision
17-18	JN	Bank of Japan decision
30	US	Fiscal-year ends- multiple agencies' funding expires

10 October

04-25	BR	Brazilian general election
27-28	US	Federal reserve meeting
28-29	EZ	ECB decision
29-30	JN	Bank of Japan decision

11 November

03	US	US midterm elections (House & Senate)
05	UK	Bank of England decision
09-20	COP31	COP31 in Türkiye

12 December

-	CH	China Central Economic Work Conference
08-09*	US	Federal reserve meeting
14-15	G20	G20 summit in US
16-17	EZ	ECB decision
17	UK	Bank of England decision
17-18	JN	Bank of Japan decision

Source: The House View: Infographic - 2026 Global Macro Events Calendar – 06-Jan-2026

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DB forecasts

GDP Growth (%)	2024	2025	2026F	2027F
Global	3.4	3.4	3.3	3.3
US	2.8	2.1	2.4	2.2
Eurozone	0.9	1.5	0.5	1.1
Germany	-0.5	0.2	0.5	1.3
France	1.1	0.9	1.0	1.1
Italy	0.6	0.7	0.8	1.0
Spain	3.5	2.8	2.2	2.1
Japan	-0.2	1.2	0.8	1.0
UK	1.1	1.4	0.9	1.2
China	5.0	5.0	4.9	4.5
India	7.2	7.5	6.7	7.2
Russia	4.9	1.0	0.8	1.3
Asia (ex Japan)	5.4	5.5	5.2	5.1
EEMEA	3.4	3.0	2.9	3.3
LatAm	2.5	1.9	2.0	1.8
EM	4.6	4.5	4.3	4.4

- *CPI (%) forecasts are period averages. **Germany National CPI taken.
  EEMEA: Czech Rep., Israel, Egypt, Hungary, Poland, Russia, Saudi Arabia, South Africa, Turkey, UAE
- LATAM (ex Venezuela): Argentina, Brazil, Chile, Colombia, Mexico, Peru
- ASIA (ex Japan): China, HK, India, Indonesia, Korea, Malaysia, Philippines, Singapore, Sri Lanka, Taiwan, Thailand, Vietnam
- Current prices as of April 28, 2026.
- *China rates are 7d OMO rates.
- **Gold, Brent and WTI forecasts are for Q2 / Q3 / Q4 2026.

CPI Inflation, YoY* (%)	2025	2026F	2027F	2028F
US	2.7	3.3	2.5	2.5
Eurozone	2.1	2.8	2.2	2.2
Germany**	2.2	2.9	2.4	2.9
Japan	3.2	1.8	2.2	2.2
UK	3.4	3.1	2.6	2.0
China	0.1	1.5	2.0	2.0
India	2.2	4.6	4.2	
Russia	8.7	5.7	5.4	

Central Bank policy rate (%)	Current	Jun 26F	Sep 26F	Dec 26F
US	3.625	3.625	3.625	3.625
Eurozone	2.00	2.25	2.50	2.50
UK	3.75	3.75	3.75	3.75
Japan	0.75	0.75	1.00	1.00
China*	1.40	1.40	1.40	1.40
India	5.25	5.25	5.25	5.25

Key market metrics	Current	Jun 26F	Sep 26F	Dec 26F
US 10Y Yield (%)	4.34	4.30	4.45	4.45
EUR 10Y Yield (%)	3.03	2.90	3.00	3.10
EUR/USD	1.17	1.20	1.22	1.25
USD/JPY	159	155	152	150
USD/CNY	6.83	6.80	6.80	6.70
S&P 500	7174	7450	7675	8000
**Oil WTI (USD/bbl)	97.51	90	82	73
**Oil Brent (USD/bbl)	109.56	96	87	78
**Gold	4669	5,100	5,500	5,800

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Source: Deutsche Bank Research, Bloomberg Finance LP.

01.

Macroeconomics

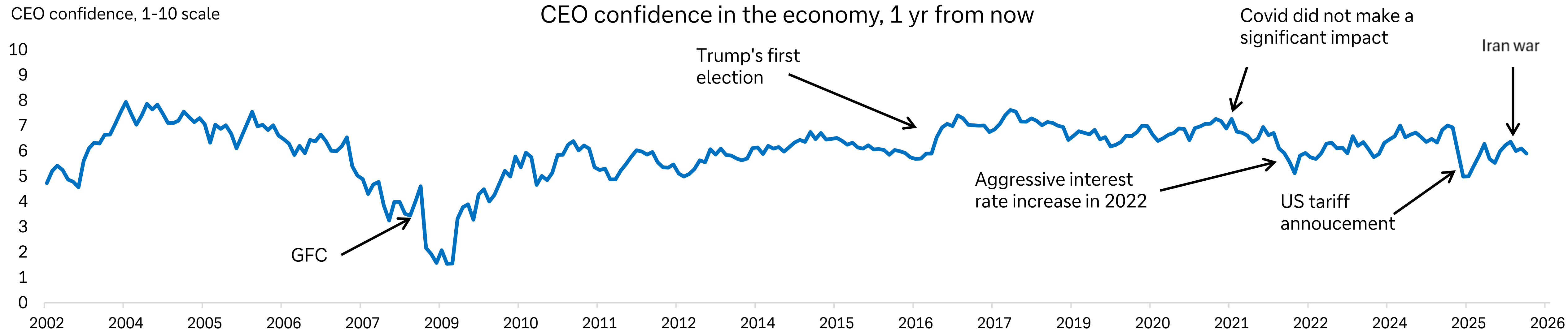
2026 Global growth

Energy shock weighs on growth, especially in the Euro Area

	View	Rationale
	Growth at 3.3% in 2026 and 2027.	– The energy price shock from the Iran war is reverberating through the global economy, although the impact varies across regions.
	Growth revised to 2.4% in 2026 (2.3% q4/q4) and 2.2% in 2027 (2.2% q4/q4).	– The downgrade reflects the drag from higher oil prices and softer consumer spending, counterbalanced by continued tailwinds from supportive fiscal policy, and strong AI investments.
	Euro area growth decreased to 0.5% in 2026 and 1.1% in 2027. German GDP downgraded to 0.5% in 2026 and 1.3% in 2027.	– The energy shock is impacting the region at a time when growth was already softening, lowering the bar to stagnation or even recession.

	View	Rationale
	Growth increased to 4.9% in 2026, 4.5% in 2027.	– Strong performance driven by a +15% y/y export surge in Q1, rebound in domestic investment, and some stabilization in the property sector.
EM	Notable downward growth revisions due to Iran war, including India (FY27 growth 6.7% from 7.5%).	– In Asia, fuel price controls have limited immediate inflation rise, but full effects will emerge as domestic prices adjust over time to higher imported input prices. – CEEMEA has largest upward inflation revisions, but more limited drag on activity and sentiment compared to Asia. LatAM impact less pronounced, electoral cycles remain in focus.

The drop in corporate sentiment from the Iran war is not as steep as one may think



Read: Global Economics: Monthly Flyover (April 2026) - Deutsche Bank Research

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3 key risks for the global economy

The growing economic effects of the war in the Middle East are raising further questions about the government response, not just in the US but also in Europe.

1. Iran conflict

- Oil-driven energy crisis risks global stagflation, leading to higher prices and slower growth for corporates.
- Despite volatile environment, the probability of a long-term solution is strong.

2. Private credit

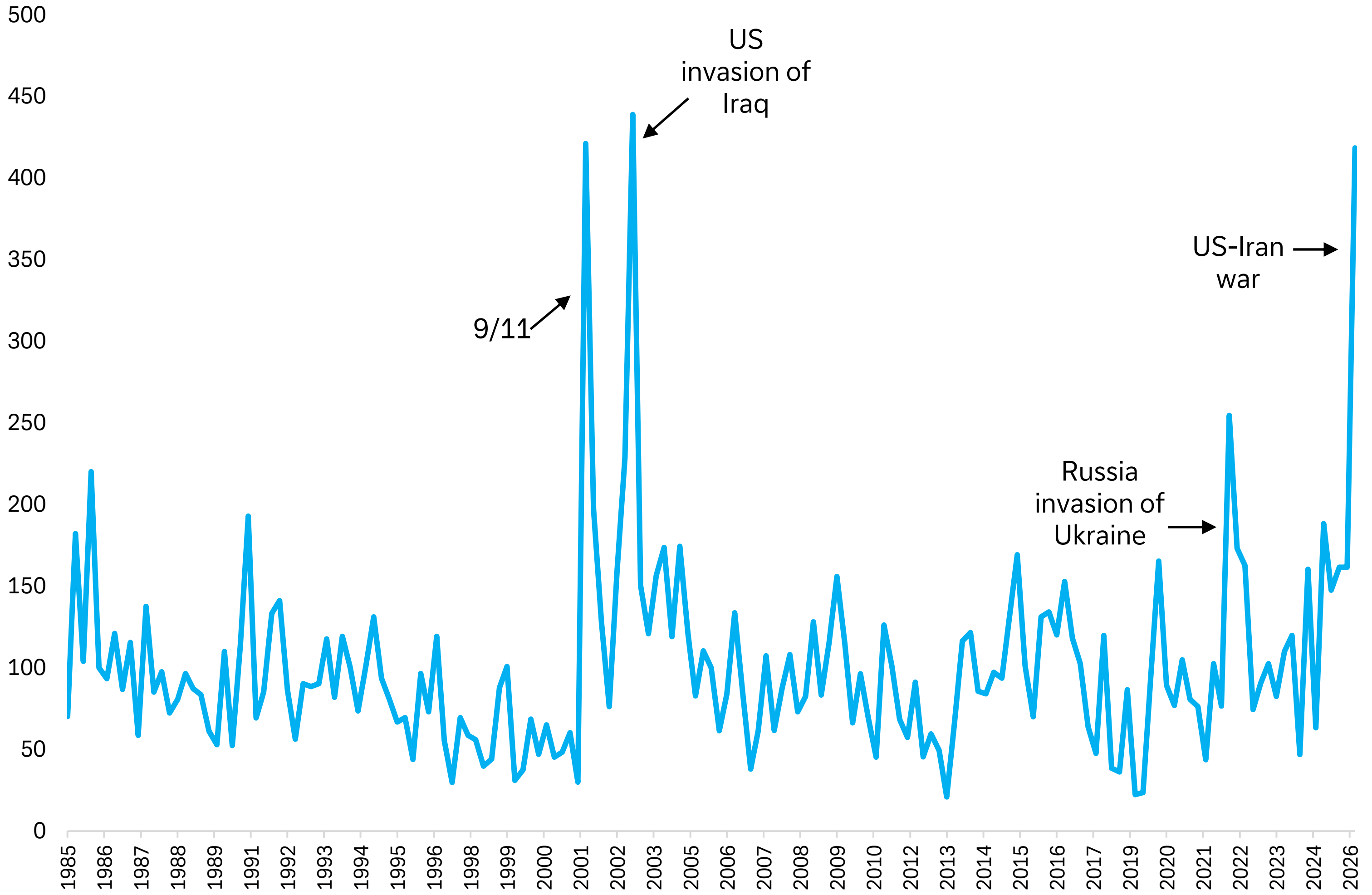
- Liquidity pressures are building but default rates remain low while the most material exposures are with larger managers with more buffer.
- There are expectations of a severe shock (BDCs' discount to NAV is about 20%) however, this fear has been relatively muted in broader public credit markets.

3. AI disruption

- Concerns that AI will disrupt the labour force are, so far, unfounded in aggregate. The most likely scenario remains that job losses will be limited to specific roles and most will use AI to amplify existing roles.
- The Nasdaq has recovered from another AI-related sell-off.

Geopolitical uncertainty is now at its highest level since the US invasion of Iraq

Caldara Iacoviello Geopolitical Risk Index, quarterly uncertainty



Source: Deutsche Bank Research, Caldara, Iacoviello Geopolitical Risk Index. Takes automated text-search results of the electronic archives of newspapers

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Central banks

The energy shock has shifted central bank trajectories

Fed

- Fed to remain on hold near neutral through 2026.
- Core PCE (2.9% q4/q4) set to remain above target, coupled with labour market stabilization, makes chances of easing unlikely.

ECB

- 25bp hikes in Jun and Sep to 2.50% year-end, previously on hold.
- 2.5% at the upper end of neutral; ECB is sending signal on their commitment to price stability.

BoE

- On hold at 3.75% through 2026. Upside risks stem from energy prices trickling down into core goods and food.

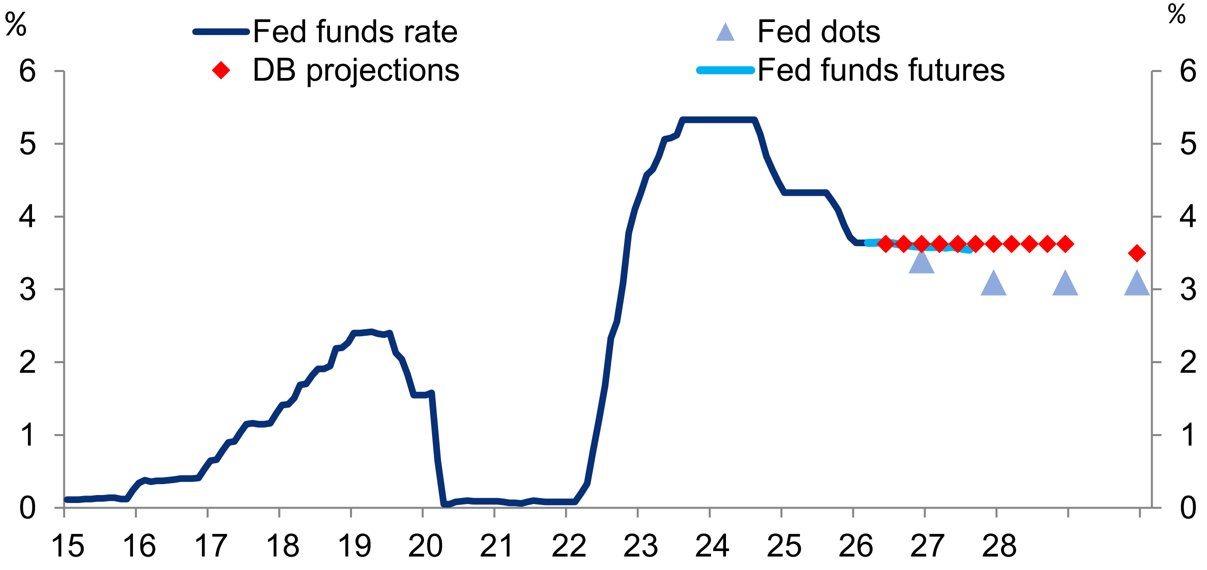
BoJ

- 25bps hikes in Jul and Jan 27, 1.25% by Jan 2027.

PBoC

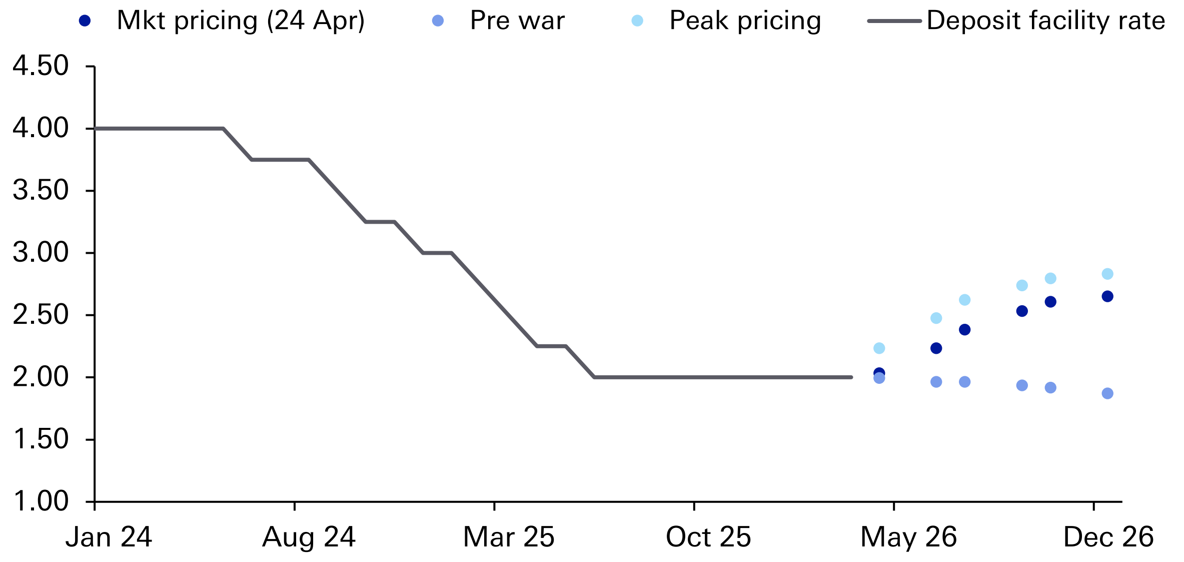
- Hold at 1.40% through 2026.

FED: Central bank is done cutting interest rates from here



Source: FRB, Bloomberg Finance LP, Haver Analytics, Deutsche Bank Research. Updated April 24, 2026

ECB: 2.50% YE, previously 2.0%



Source: Deutsche Bank Research, ECB. Updated April 24, 2026

Read: Focus Europe: ECB Preview: Tough talk, tough decisions - Deutsche Bank Research and Fed Notes: FOMC preview: Powell's last dance? - Deutsche Bank Research

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02.

Geopolitics

Iran conflict

An end in sight?

While diplomacy is continuing, the situation remains extremely fragile. The two sides' postures continue to diverge on Iran's nuclear programme, the pace of sanctions relief, potential reparations, Iranian support for its proxies, and long-term control of the Strait of Hormuz. While the ceasefire has been extended, the crisis remains unresolved and we should expect continued escalations and bellicose rhetoric by all parties to the conflict.

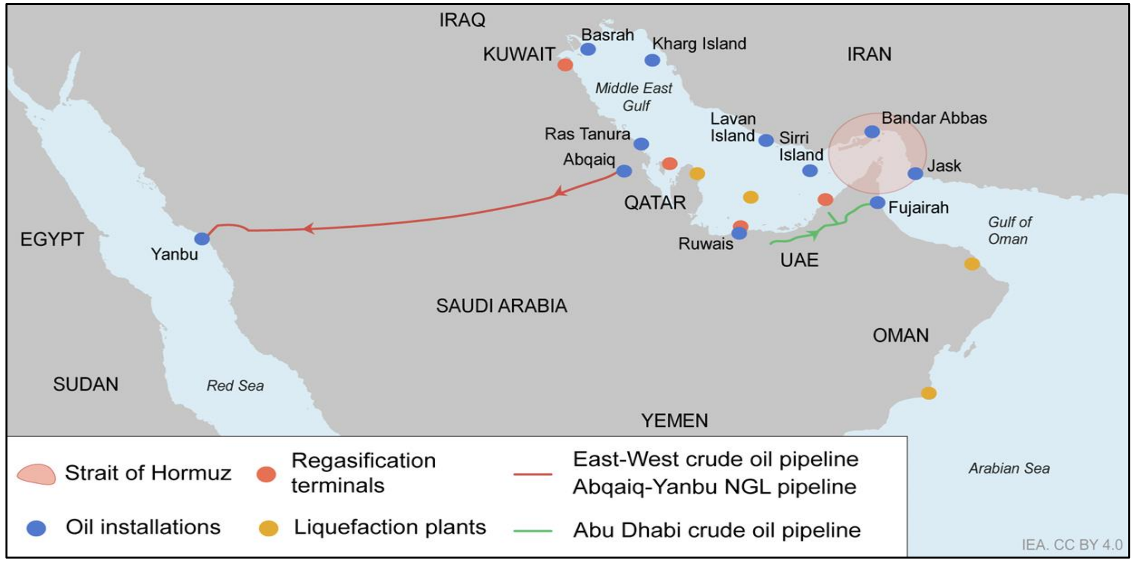
Despite the precarious nature of the ceasefire, and the added uncertainty due to the US blockade of the Strait of Hormuz, we assess that the probability of a longer-term solution is strong. The US is facing diminishing returns and growing costs. We have already witnessed increasing domestic and international pressure on Trump, which we expect will only increase as the economic fallout of crisis persists and expands.

However this ends, it will be a gamechanger for the Middle East. The long-standing Middle East geopolitical equilibrium has been shattered. Iran will likely walk away from this conflict with enhanced influence over the Strait of Hormuz, potential sanctions relief, and with greater political leverage having withstood the US and Israeli attacks. Meanwhile, the conflict illustrates that the Gulf is no longer buffered from conflict. Consequently, its relationship with the US will inevitably be impacted. We expect to see a diversification in Gulf relations in the aftermath of the acute crisis.

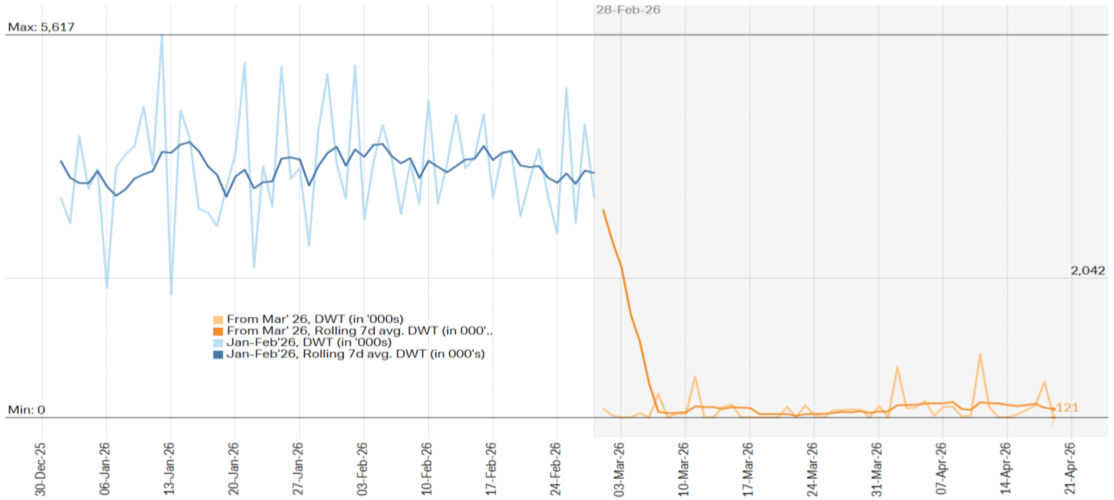
Post-conflict normalization could take months. Even if the war concludes in the near term, rebuilding critical infrastructure and restoring shipping and energy flows will take significant time. For example, repairs to Qatar's Ras Laffan natural gas field – the world's largest – could take months, inevitably delaying a rebound in global supply.

A rebound in shipping (see chart) will also be contingent on confidence – both by shippers and insurers – that the Strait of Hormuz is safe and clear of mines. This could take weeks beyond an end to the conflict. Significant knock-on effects, including for inflation, could continue well into 2026-H2 even with a near-term peace deal, including in the form of jet fuel and fertilizer shortages.

Oil and gas infrastructure in the Gulf



Tanker activity exiting the Strait of Hormuz (in DWT'000s)



Source: Deutsche Bank Research, International Energy Agency, dbDataInsights.

Other geopolitical flashpoints

Key topics to monitor during 2026-Q2

- Trump-Xi Summit: Barring a significant escalation in the Iran war, the summit between presidents Xi and Trump on 14-15 May will likely go ahead as planned – and deliver a package of tactical economic agreements. Despite recent signs of friction over Iran, both sides appear to be prioritizing bilateral stability for 2026, and the threshold for another summit deferral is likely high. However, a breakdown of the US-Iran ceasefire and a return to fighting would be a notable downside risk, which would increase the probability of another summit delay, or even a cancellation.

- Putin's visit to China: It will likely aim to cement the China-Russia partnership (including more energy supplies for Beijing), and possibly to coordinate US policies after the Xi-Trump summit. Unconfirmed Russian media reports suggest Putin could visit during the week of 18 May. Putin and Xi could also seek to deepen diplomatic and security ties, and coordinate on the Iran conflict, given Tehran's status as both countries' close partner.

- Ukraine ceasefire talks: Negotiations for a ceasefire in Ukraine are largely stalled. While there is ongoing diplomatic activity, no new rounds of ceasefire talks are publicly scheduled for May or June. Ukrainian President Zelenskyy has stated that the US wants Russia and Ukraine to reach a peace agreement by June. However, the specifics of how this would manifest in terms of scheduled meetings are unclear.

- While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have implications for markets. These could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, data centres and artificial intelligence.

For more on geopolitical flashpoints to watch out for, read our recent publications here:
Iran Ceasefire: An End in Sight? ; This Month in Geopolitics: April 2026 ; Geopolitical Crossroads: India's Strategic Balancing Act ; High-Stakes Diplomacy: Navigating the Xi-Trump Summit in the Shadow of Iran

Source: Weichao Deng on Unsplash

Selected geopolitical events in April - June

- **7 May:** UK local elections and Scottish and Welsh parliamentary elections.
- **8-9 May:** The Philippines will host the ASEAN Leaders' Summit.
- **11-12 May:** EU foreign and defence ministers meetings.
- **14-15 May:** Presidents Xi and Trump are expected to meet in Beijing.
- **Mid-May:** President Putin is expected to visit Beijing.
- **Mid-May:** Indian Prime Minister Narendra Modi is expected to visit the Netherlands, Norway and Italy.
- **22 May:** Nuclear Non-Proliferation Review Conference concludes in New York.
- **29-31 May:** Singapore will host the annual Shangri-La Dialogue defence summit.
- **31 May:** Colombia Presidential election first round
- **Late May:** US Secretary of State Marco Rubio will visit India for talks.
- **Late May/Early June:** The OECD Ministerial Council Meeting is expected to take place in Paris.
- **11 June:** FIFA World Cup begins in US, Canada and Mexico
- **15-17 June:** France will host the G7 Leaders' Summit in Évian.
- **19 June:** European Council meeting
- **1 July:** The first review of the US-Mexico-Canada (USMCA) trade agreement begins.

Source: aboodi vesakaran on Unsplash

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03.
Markets

Commodity markets

The key question: When do the stresses in financial assets directly affected by the war begin to catalyse confidence problems in broader markets?

Oil: Brent $96/bbl (Q2'26), $84.8/bbl (2026) average, assuming the Strait of Hormuz will re-open in May.

- Improving but uncertain backdrop, thanks to (i) supply diversion and remaining flows limiting the magnitude of oil supply disruption; and (ii) significant demand reduction rising to -2.3mmb/d y/y in April, according to the IEA.
- Risks: Longer suspension of the SoH (reopening beyond May) could accelerate the run-up in Brent well above $100/bbl near term. This would translate into higher-for-longer inflation.
- Central banks' ability to look-through supply shocks is tested.

Gold: moderate YE target to $5,000/oz (prevs. $6,000/oz)

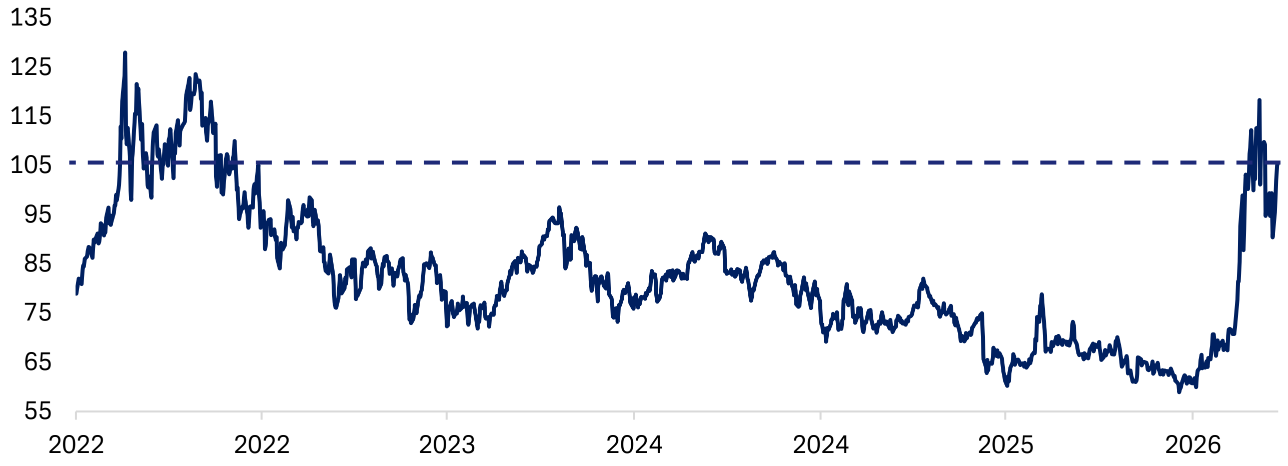
- Forecast based on belief that dollar weakness will resume.

Latest oil price forecasts

USD	2025	Q1 2026	Q2 2026	Q3 2026	Q4 2026	2026	2027
WTI (bbl)	64.9	72.7	90.0	82.0	73.0	79.4	71.0
% change		-0.5%	12.5%	9.3%	4.3%	6.6%	4.4%
Brent (bbl)	68.20	78.10	96.00	87.00	78.00	84.80	75.00
% change		0.1%	12.9%	8.7%	4.0%	6.6%	4.2%

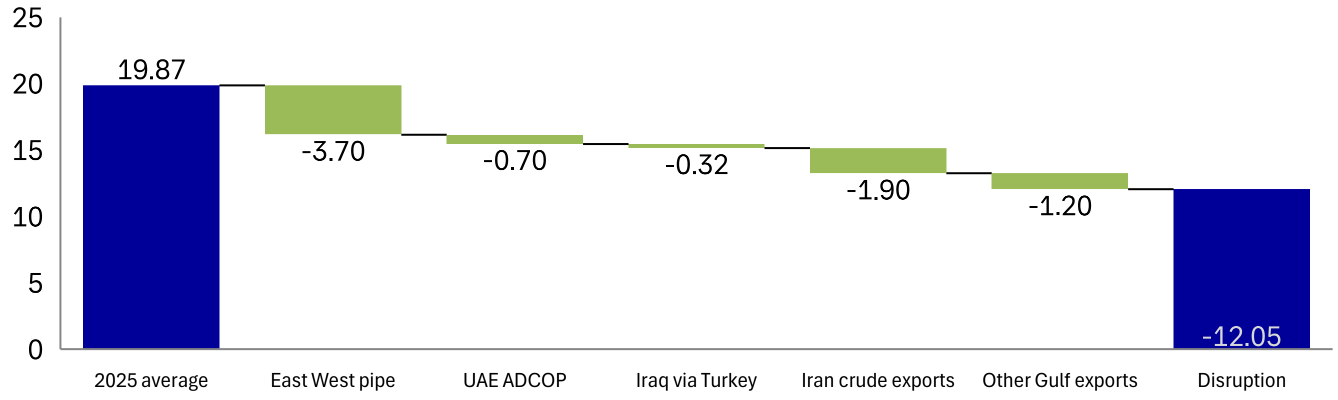
Reports: Hsueh On Oil: Problem solved? - Deutsche Bank Research and Precious Special Report: Gold investors to emerge from war bunker - Deutsche Bank Research

Brent crude oil prices ($/bbl) have risen but are clearly lower today than they were in 2022



Source: Deutsche Bank Research, Bloomberg Finance LP

Strait of Hormuz April supply disruption down to 12mmb/d



Source: Deutsche Bank Research, Bloomberg Finance LP, IEA, Kpler

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Rates & Credit markets

Dual shock of higher rates and energy costs introduces some uncertainty whether strong corporate growth forecasts will continue into year-end

Private credit outflows have had some effect on broader leveraged loans and some larger US money centres/regional banks, tightening financial conditions somewhat.

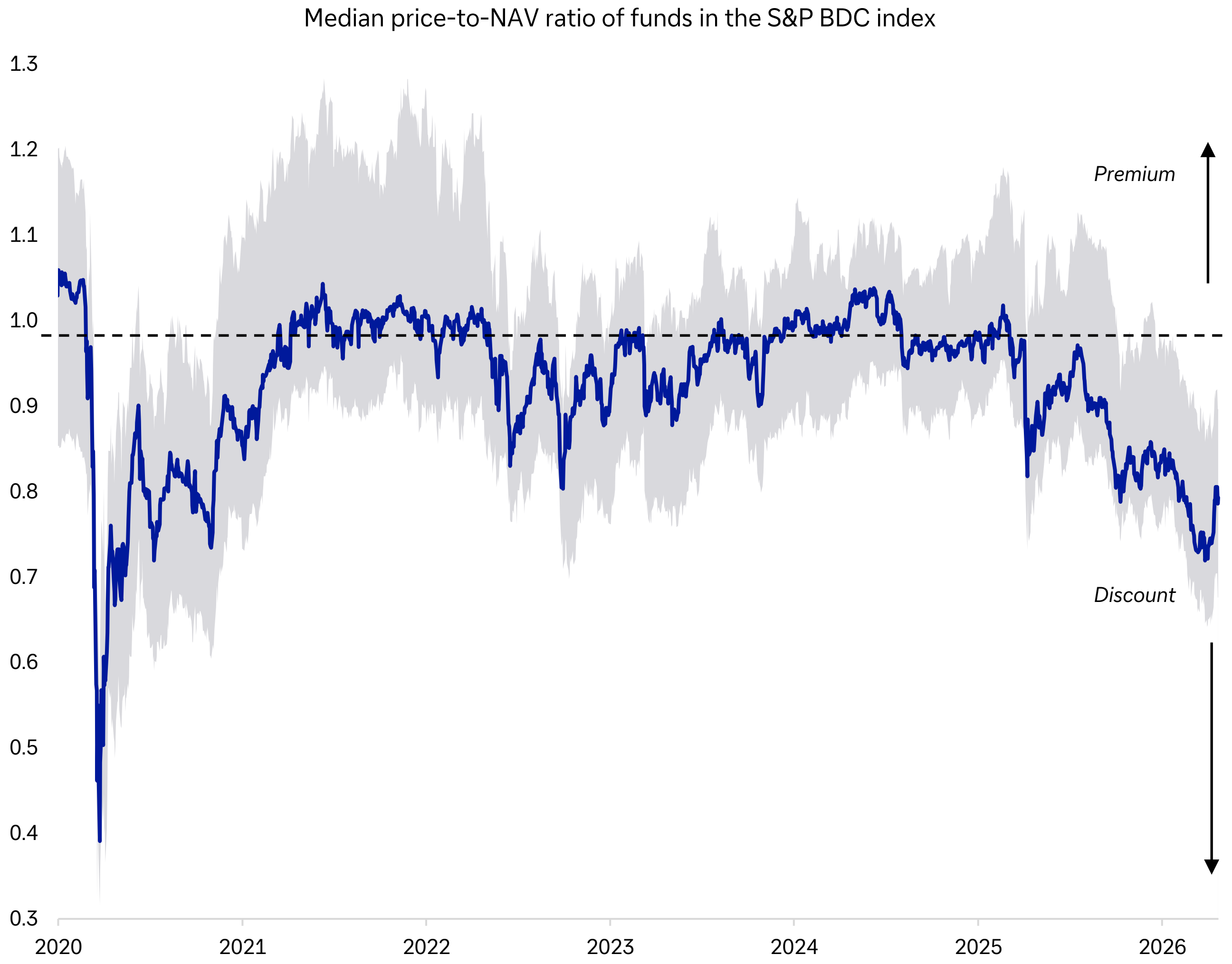
– Private credits remain centred on AI disruption, particularly in the software sector, rather than the ongoing energy shock.
– We see credit spreads to widen throughout 2026, with €HY 420bps, $HY at 410bps YE and €IG at 110bps, $IG at 110bps YE.
– In Europe, weaker macro fundamentals plus energy shock driven restrictive policy rates also account for wider spreads. Political risks in Europe are growing.

We retain our conviction that the 10Y US Treasury Yield will continue to fall, impacting corporate funding costs.

– Difficult to justify further Fed rate cuts given (i) unemployment rate is broadly stable; (ii) inflation is sticky above 2% and; (iii) policy rates are unlikely to be restrictive.
– AI tailwinds (either bubble or labour market impact) potentially challenge our bearish view on 10Y UST (4.45% by YE).

Reports: IG & HY Strategy: The Narratives Are Turning Upside Down - Deutsche Bank Research and IG & HY Strategy: Private Credit: The gates are up, but the problem is within - Deutsche Bank Research and Global Fixed Income Weekly: Strategy Update - Deutsche Bank Research

US business development companies are a key proxy for the market‘s private credit concerns. The current discount to NAV of about 20% suggests investors expect severe stress events.



Source: Deutsche Bank Research, S&P Global. See: Thematic Research: Private capital monitor: Fear and loathing - Deutsche Bank Research

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Foreign exchange markets

The dollar bullish narrative has eroded, staying dollar bearish

Despite some reprieve during war, big picture remains dollar bearish

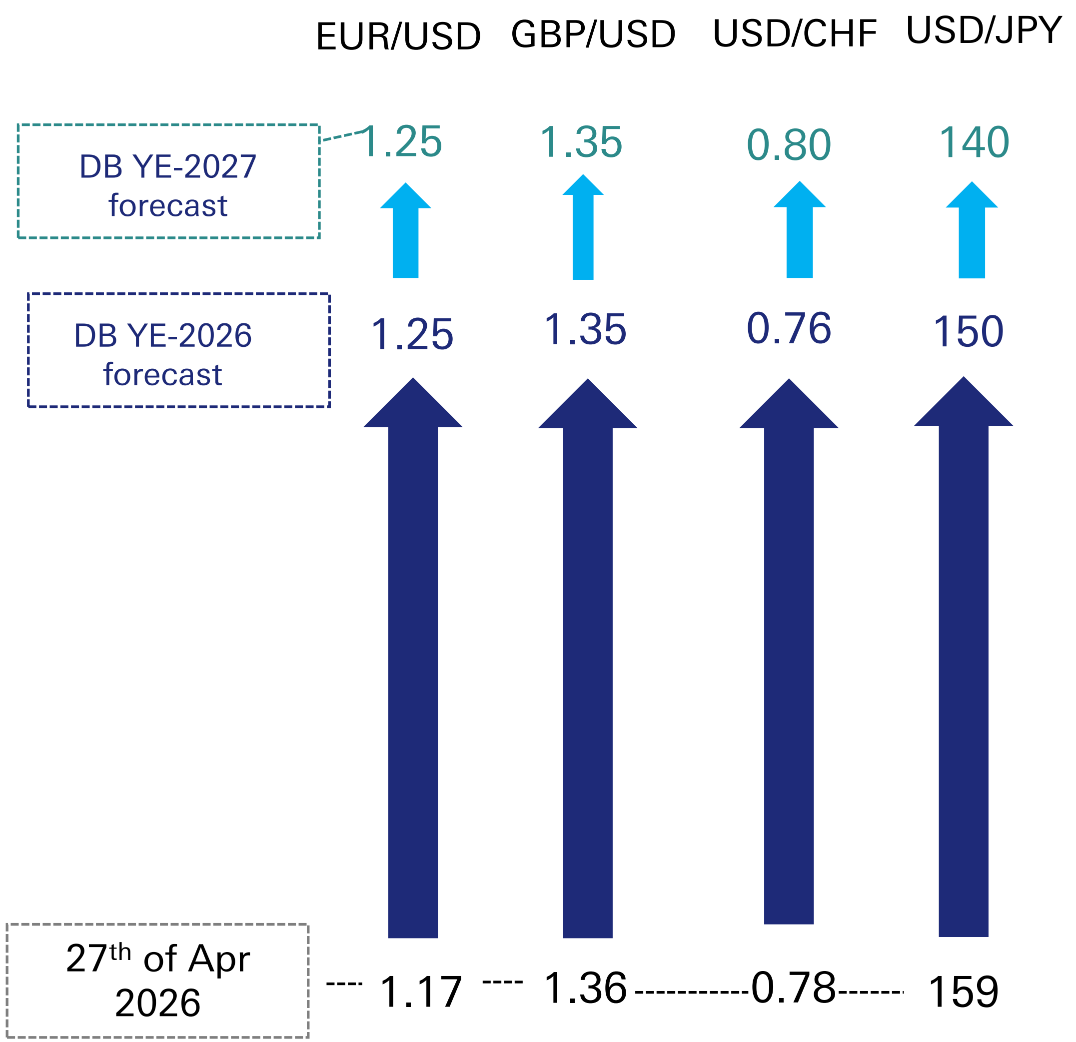
- Usually, we would expect the dollar (as a haven currency) to have rallied more than it did during the Iran war. That highlights some weakness.
- Strengthens the argument that the USD is still no longer as exceptional as a high-yielder and as a global growth outlier.
- The Iran war exacerbated dollar weakness due to Asia and the Middle East running down FX reserves and excess savings to finance higher energy costs. Countries were already moving away from the USD into smaller, unspecified reserve currencies (up from 3% to 6% of these assets in the last 3 years).

Currency outlook

- EUR/USD: Rise to $1.25 by year-end. While the energy price spike complicates the Euro Area's growth picture, it has also brought forward the ECB rate hike cycle, leading to a stronger Euro.
- USD/JPY: Raised end-2026 to 150. JPY remains very cheap as the BOJ remains unlikely to tighten policy rates this year.
- RMB: Supported by de-escalation in US-China tensions and the government's continued aims to internationalise the yuan. RMB remains cheap but a stronger RMB would increase the appeal for global corporates to transition to using and saving in the yuan, especially if most Middle East energy continues to travel to Asia. Corporates continue to have scope to increase conversion of their large stock and flow of FX into RMB.

Read: FX Blog: Time to sell USD - Deutsche Bank Research and The Big FX View: War and Peace - Deutsche Bank Research

Currency movements and DB forecasts for YE-2026 and 2027



Source: Deutsche Bank Research, Bloomberg Finance LP.

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04.

Technology

Artificial intelligence

AI disruption concerns are rising in 2026, but there is no conclusive relationship between modest job declines and substitution with AI

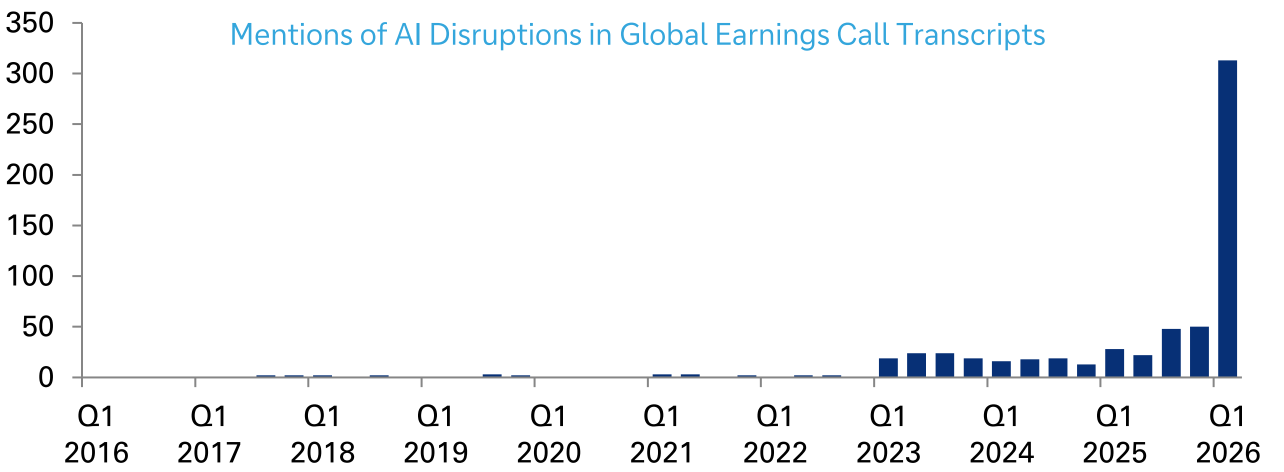
Job displacement from AI remains a concern, but the aggregate evidence so far is encouraging

- A Dec 2025 NBER study suggests that AI, by substituting primarily cognitive tasks, can shift relative demand away from high-skilled roles toward jobs with lower education, lower wages and more male workers.
- The evidence is still inconclusive, as noted by our US analysts. A survey by Indeed found no noticeable deterioration amongst roles of recent market concerns, such as legal, marketing, accounting and management.

The case for AI's positive benefits is growing

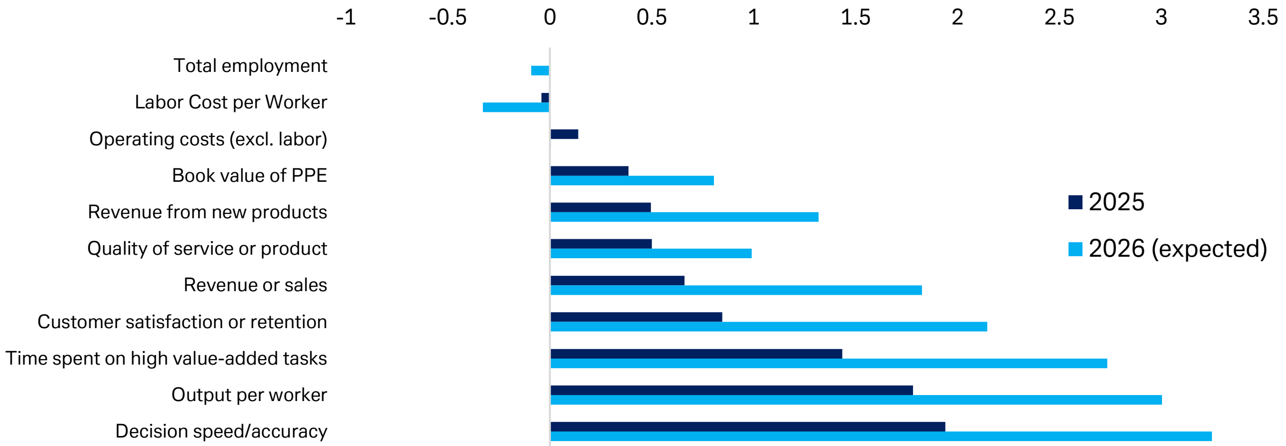
- According to an Atlanta Fed survey, business executives are already seeing labour productivity gains from AI and anticipate it to double in 2026. Firms in high-skill services are seeing the greatest gains. Finance, for example, saw productivity growth of 0.8% last year, implied by revenues and employment, a figure which is set to exceed 2% in 2026.
- Firms in manufacturing and construction saw smaller but still positive implied gains of roughly 0.4 percent in 2025.
- The study found that productivity gains were associated with innovation and demand-orientated channels rather than cost reduction alone.

In Q1 26, mentions increased more than sixfold from Q4 2025 in earnings calls.



Source: Deutsche Bank Research, Bloomberg Finance LP.

Impact of AI usage on firm outcomes



Source: Deutsche Bank Research, The CFO Survey, Federal Reserve Bank of Richmond, Federal Reserve Bank of Atlanta. Question asks for likert scale options that are mapped to percentage outcomes (i.e. increased moderately, 5.1 to 10%. Above chart uses midpoint of ranges provided and +/- 5% above/below highest/lowest options to calculate numeric averages across respondents.

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Artificial intelligence

Companies will continue to invest in AI to varying degrees, but lack of trust remains a key barrier

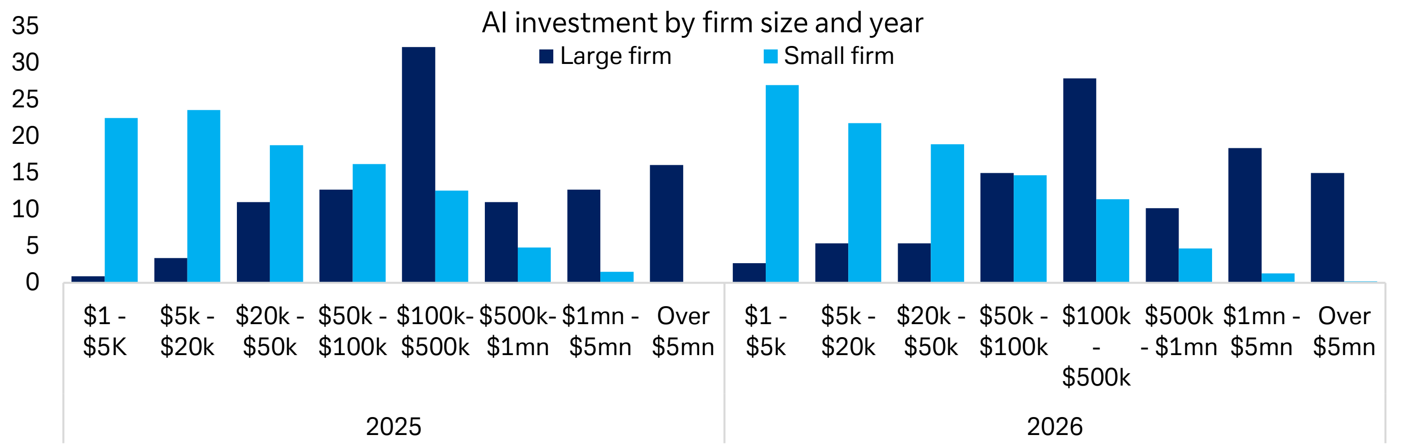
Company adoption continues to be underway, with more pickup in 2026

- Large firms led corporate AI adoption in 2025; smaller firms are only beginning to invest in AI now, according to a survey led by the Atlanta Fed and Richmond Fed.
- Around 30% of large firms expect to invest more than $1mn in AI in 2026 (vs 1% of small firms). But nearly 60% of smaller firms plan to invest less than $20,000 in AI in 2026 (vs 14% of larger firms).

Western economies lag in AI trust and adoption

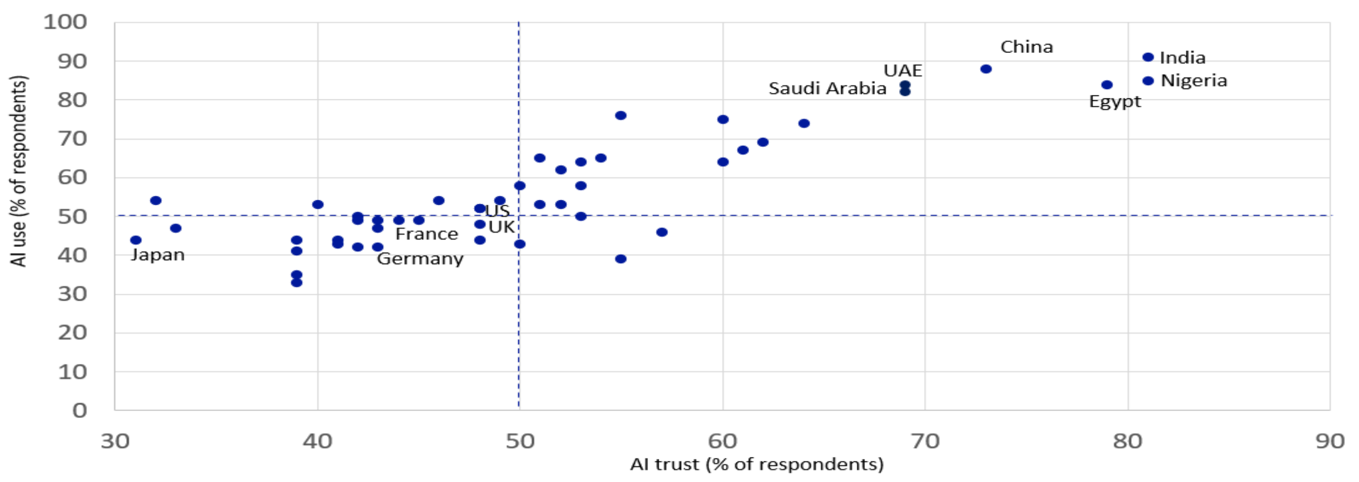
- Barriers to adoption continue to be lack of workforce training, belief AI is not yet sufficiently mature and privacy concerns (see here)
- While the US leads in the most advanced models and chips, and accounts for half of the world's data centres, US consumers are more suspicious of AI than their peers in markets such as India, the UAE, China and Saudi Arabia. Western consumers also lag behind in adoption.
- 48% of US consumers say they trust AI for work purposes, and only 52% say they use it on a regular basis, according to a survey.
- That compares with well over two-thirds trusting AI for work in the leading Asian and Gulf markets and around 85 to 90 percent using it.

80% of firms will invest in AI in 2026, with large firms to invest the most, according to a CFO survey led by the Atlanta Fed and Richmond Fed



Source: Deutsche Bank Research, The CFO Survey. Large firms have > 500 employees. What do you expect your company's total expenditure and financial investment in AI technology/solutions will be over the next 12 months? Federal Reserve Bank Richmond, Federal Reserve Bank Atlanta.

Western economies lag behind their peers in trust in AI and intentional use at work



Source: Deutsche Bank Research, University of Melbourne, KPMG.

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Digital currencies

The digital euro is coming faster than most CFOs realise; Stablecoins are becoming a corporate treasury tool

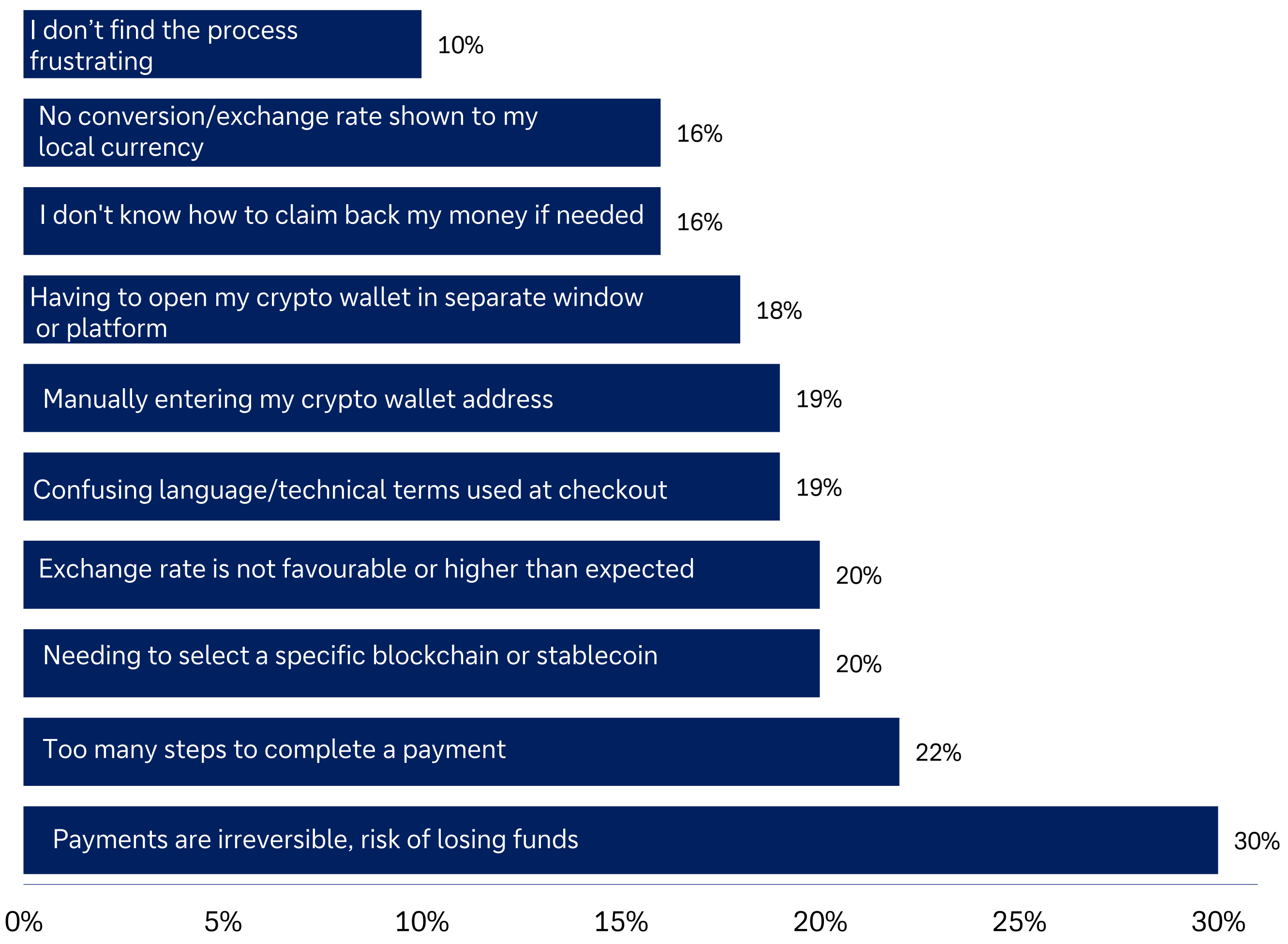
Stablecoins

- Over 80% of transitions occurred outside the US in 2025. Use cases expanding beyond crypto trading into treasury management, payments & settlements, banking & fintech, e-commerce & services.
- Top CFO risks: irreversible payments (30%), too many steps to complete a transaction (22%), fragmented wallet infrastructure.
- In Europe, political debate on permissibility of multi-jurisdictional stablecoins – agreement pending between ECB and European Commission.
- US CLARITY Act still pending. Key debate includes stablecoin yield and bank lending impact.
- March 2026: The OCC proposed stricter stablecoins rules, including a minimum capital floor of $5mn and a ban on interest payments to holders. This favours established payment giants and raises barriers for new entrants. See here.

CBDCS

- Wholesale: ECB's Project Pontes – a settlement solution for DLT-based large-value transaction – launches Q3 2026.
- Retail: European Parliament vote scheduled 23 June 2026. Pilot expected to begin in 2027; retail issuance targeted for 2029.

Challenges with stablecoin payments experience (BVNK Survey)



Source: Deutsche Bank Research, BVNK Survey (March 2026).

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Appendix 1

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Deutsche Bank
Research Institute

The return of history: gold, the dollar, and the monetary future

April 27, 2026

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In 1989, Francis Fukuyama argued that humanity had reached “the end of history”. In the years that followed, the US became the uncontested hegemon, global trade exploded in a US-defined liberal order, developed market central banks sold gold, while emerging markets accumulated vast amounts of US dollar FX reserves. We argue that the end of history has come to an end. The world is back in a superpower struggle; the US is retreating from free trade, alliances, and security provision; the Great Economic Moderation is behind us; and the dollar banking system has been weaponized. The “return of history” has big implications for gold and the dollar.

Contrary to conventional thinking, we argue that the share of gold in central bank reserves is not driven by the global monetary system, but by the global geopolitical environment. Gold’s decline as a share of reserves did not happen with the fall of Bretton Woods in the 1970s, but the fall of the Berlin Wall and the assertion of US hegemony in the 1990s. As tectonic geopolitical plates shift again, the share of US dollars in central bank reserves is once more in decline. It has fallen from over 60% to just 40%, while gold’s share has tripled from its lows to 30% today.

We create a framework for the share of gold in central bank reserves as a function of: (1) the volume of gold held by central banks; (2) the price of gold; and (3) the amount of global FX reserves. We see all three pillars on the move, driven by EM. EM central banks have been actively buying gold and driving upward pressure on prices; crucially - their FX reserves may also now begin to structurally decline.

A “return of history" would be consistent with gold getting to at least a 40% share of global reserves. There is significant scope for EM to add towards this. We find that EM countries with closer non-Western defence ties hold more gold. If the world diversifies trade and security dependence away from the US, this would be consistent with less USD and more gold in reserves.

We simulate a range of different outcomes for gold prices depending on the level of FX reserves EM central banks end up with, and the share of gold they target. Even in an environment where EM FX reserves decline to USD5tn, gold prices could still rise to $8000 over the next five years, if EM countries all target a 40% gold share.

For now, EM central bank gold buying likely has to do with preserving the value and accessibility of foreign savings in a changing geopolitical climate. But in the long-run, we consider how gold may one day play a role in anchoring a monetary order that builds independence from the dollar.

Deutsche Bank
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All that glitters

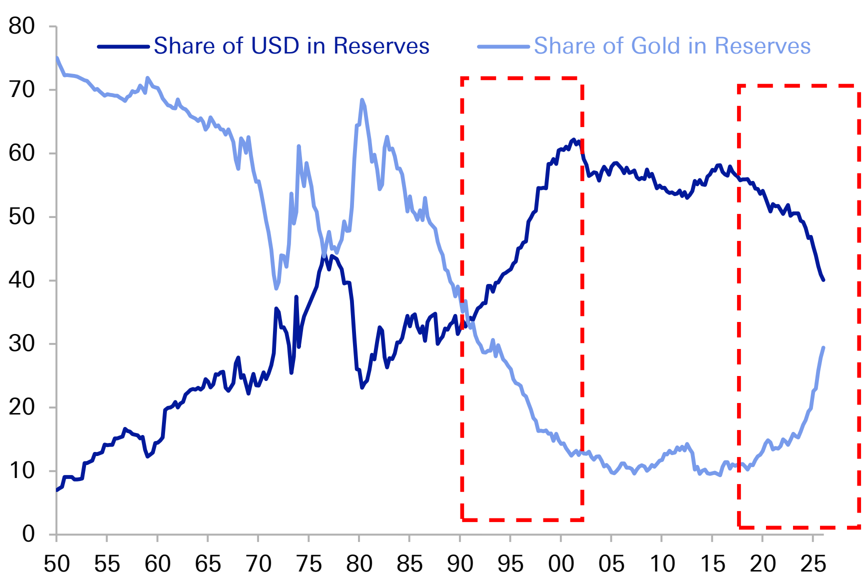
The reserves baton is passing back to gold from the dollar

The share of the USD in global central bank reserves has dropped sharply from around 60% at its peak to just 40% today, with attrition accelerating in the past few years. As Figure 1 illustrates, the USD's share of reserves peaked at the start of this century and sustained those levels for the next two decades before recent losses Importantly, the dollar's losses as a share of central bank reserves have not gone to other fiat currencies, but to gold.

Gold's share in global central bank reserves has doubled in the past four years to nearly 30% today. The fact that the gap between the dollar and gold as a share of reserves is now just 10% is extremely notable. As Figure 1 shows, there appears to be a marked reversal underway of the 1990s trend when central banks moved away from gold and towards the USD in their reserves. Before the 1990s, gold had consistently been a larger share of central bank reserves than the fiat dollar. But by the end of the 1990s, the dollar was over four times the share of gold. This seems to now be going in reverse with gold clawing back its share rapidly. What happened in the 1990s and why is this unwinding today? How far can it go and to what end? These are the questions which motivate this paper.

The 1990s began with a declaration by historian Francis Fukuyama that humanity had reached "The End of History." We argue in this paper that history has returned, but the contest and its leaders will be different. This is the lens through which we think about the resurgence of gold, the decline of the dollar, and the international monetary architecture that may await us this century.

Figure 1: The "end of history" in the 1990s saw a sharp rise in the USD's share of global central bank reserves, with gold's role declining sharply. We argue that history has returned, with gold clawing back its share from the dollar.

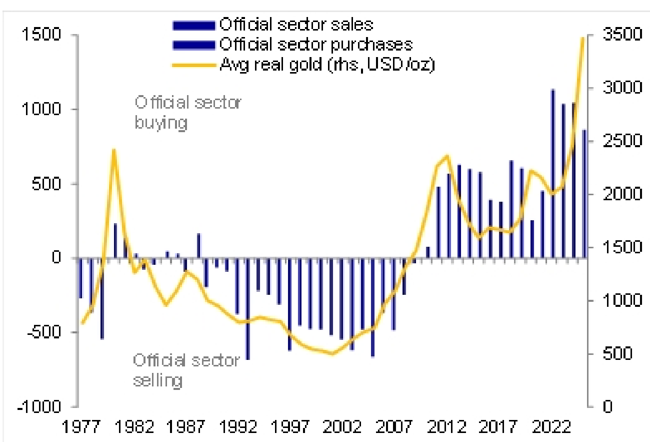


Source :Deutsche Bank, Bloomberg Finance LP, Eichengreen, Chitu and Mehl (2014)

Let's address the skepticism. Skeptics may say the rising share of gold in central bank reserves is simply reflective of gold price increases. Indeed, around 80% of the rise in gold's share has been on account of prices. But there is a genuine volume driver underlying this: central bank purchases have arguably themselves been behind significant price momentum. There is indeed a close relationship between official purchases and sales of gold and the change in the real gold price (Figure 2). Volume and prices are thus endogenously related and are both doing the legwork of gold's rising share.

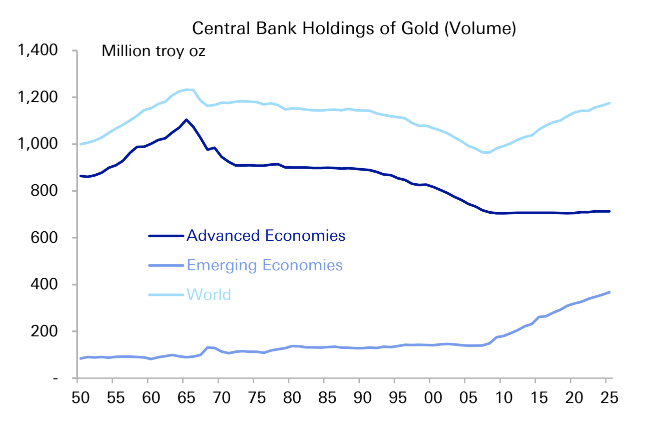
Crucially, all central bank purchases are occurring in emerging markets. As Figure 3 illustrates, it is EM central banks that have been steadily purchasing gold since the 2008 GFC, adding over 225mn troy oz over the past 17 years. Importantly, this is more than advanced economy central banks sold in the 1990s. As we discuss in depth in this paper, we think there could be a long way to go in the trend of EM central bank buying of gold.

Figure 2: Official sector purchases and sales have been closely associated with real price movements in gold



Source : Deutsche Bank, Bloomberg Finance LP, WGC

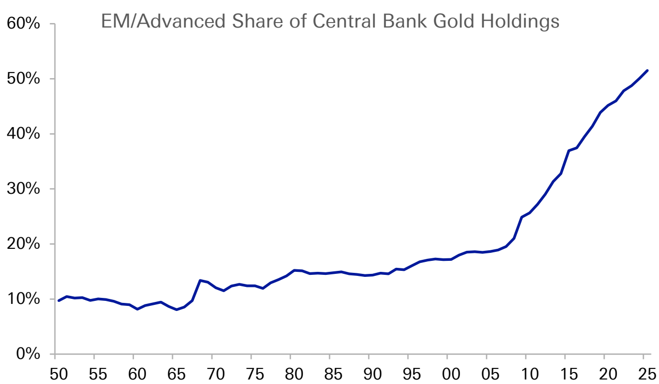
Figure 3: All central bank gold purchases since 2008 have been by emerging markets, reversing the gold sales by DM central banks in the 1990s



Source : Deutsche Bank, IMF International Liquidity Statistics

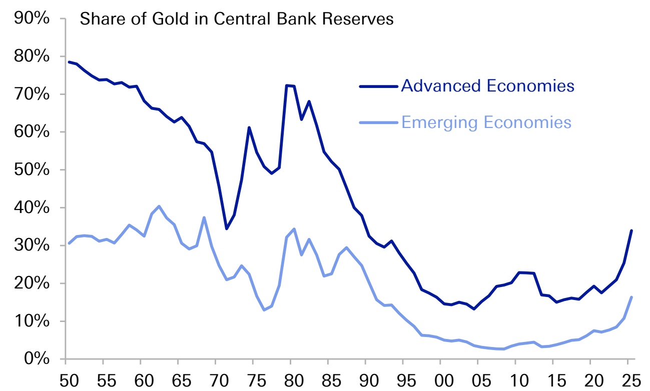
EM central banks still only hold half the amount of physical gold of developed markets. In stock terms, EM central banks held 367mn troy oz at the end of 2025 compared to 712mn troy oz by Advanced Economy central banks, according to IMF classification. This has however been on a steadily rising trend. The ratio of EM/DM central bank gold holding is at around 52%, having risen from just 20% before the 2008 GFC (Figure 4). As a share of total reserves (including foreign exchange holdings), which is where our focus in this paper lies, EM central banks had just 16% of total reserves in gold compared to 34% for DM central banks by end-2025. There thus remains a significant gap to close, if not ultimately exceed.

Figure 4: EM central banks still only own half the gold of DM central banks, but their share has been steadily increasing



Source : Deutsche Bank, IMF

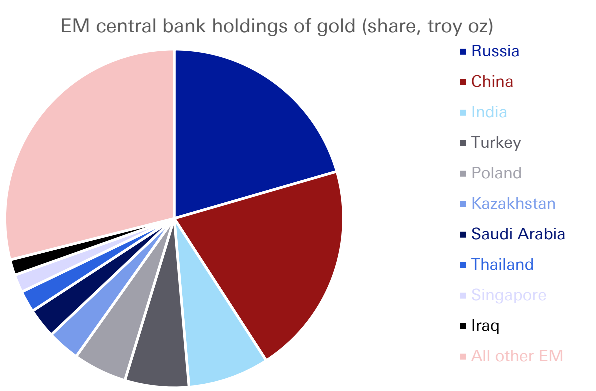
Figure 5: Gold was around 16% of EM reserves compared to 34% of DM reserves at the end of 2025



Source : Deutsche Bank, IMF

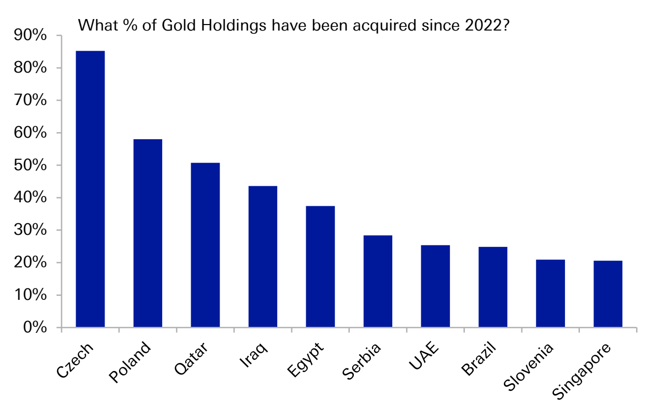
This is not just about the BRICS. Almost half of EM central bank holdings are accounted for by just China, Russia and India. But many middle powers like Turkiye, Kazakhstan, and Saudi Arabia are also significant holders (Figure 6). Perhaps most notable in recent years is the momentum of purchases in certain regions. Strikingly, in Eastern Europe, more than half of the gold holdings of Czechia and Poland have been acquired in the past four years alone, after Russia's invasion of Ukraine (Figure 7). Many MENA states like Qatar, Egypt and the UAE have acquired between 25-50% of their total gold holdings in the last few years alone. We will be exploring the motivations for these purchases in more detail later in the paper.

Figure 6: China, Russia, India and Turkey are the biggest holders but there is a long and growing tail



Source : Deutsche Bank, IMF

Figure 7: Many central banks in Eastern Europe and MENA have been adding quickly to their gold holdings in recent years



Source : Deutsche Bank, IMF, Bloomberg Finance LP

A brief history of gold

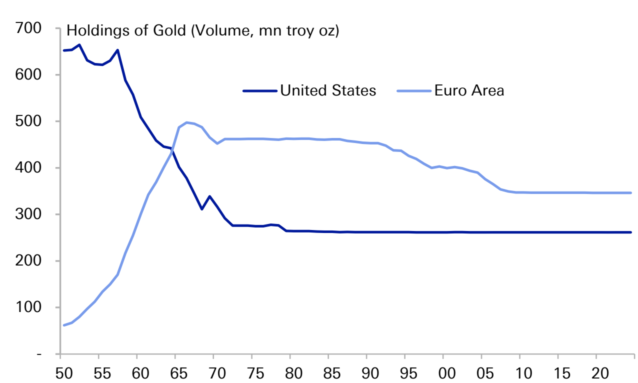
Gold was the heart of Bretton Woods but did not fall with it

The US had over 70% of the world's central bank gold reserves after World War 2, and in constructing the Bretton Woods monetary architecture, it used gold to back a system that centered on the dollar.

As Monnet and Puy (2019) explain, the Bretton Woods system - which followed WW2 and lasted till 1971 - was not like the gold standard that preceded World War 1, or that was tried unsuccessfully in the interwar period. Under Bretton Woods, gold was not redeemable against bank notes at a fixed rate everywhere in the world. Nor were central banks strictly required to back currency in circulation with gold reserves. *Only* the US dollar was convertible into gold at $35/oz by *other central banks* via the Fed. Gold was essentially only a means of settlement between monetary authorities. Foreign countries could choose to hold their claims on the US in US dollars, or exchange them for gold. As the US began to run balance of payments deficits in the 1950s and 60s, some European countries began to make claims on the Fed's gold. By the mid-1960s, more gold was held at European central banks than in the US (Figure 8). By 1971, the system collapsed with Nixon ending the US dollar's convertibility to gold.

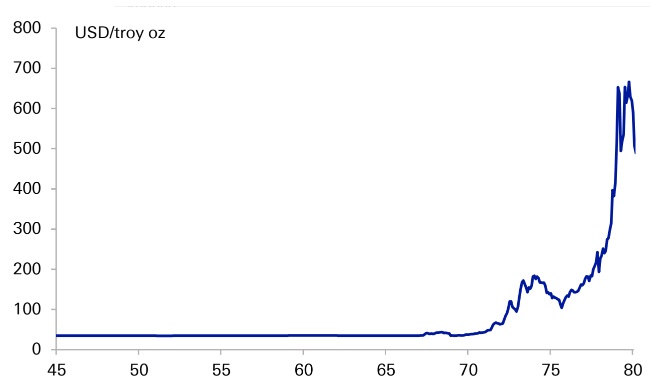
Gold did not however drop as a share of central bank reserves with the fall of Bretton Woods. Even as gold stopped serving a purpose as an official means of international settlement, gold averaged around a 50% share of central bank reserves through the 1970s, albeit with significant gyrations. Notably, it remained more important than the fiat dollar throughout the decade as the earlier Figure 1 depicts. Indeed, the 1970s were a period of enormous price gains for gold which rose more than 1000% in nominal terms through the decade driven by high inflation and geopolitical shocks from the 1973 Arab oil embargo, to the Iranian revolution (Figure 9).

Figure 8: In the 1960s, significant amounts of gold left the US for Europe to settle US deficits. Brettons Woods ultimately collapsed in 1971.



Source : Deutsche Bank, IMF

Figure 9: Gold prices rose more than 1000% in the 1970s - a period of high inflation and geopolitical uncertainty



Source : Deutsche Bank, Bloomberg Finance LP

Therefore, even as the global exchange rate system changed in the 1970s, gold's share in global reserves did not. This points to deeper and different drivers of gold's role. If central bank gold holdings in reserves were not ultimately only about convertibility of the USD, what were they about? And what brought about the change? We turn to this next.

The end of history

The ultimate decline in gold's share in global central bank reserves came in the 1990s. As Figure 1 earlier showed, gold fell below the dollar's share at the start of the 1990s, with the rest of the decade featuring a consistent rise in the dollar and decline of gold. What was behind this crossover?

It was not a transition in the monetary system - which had occurred two decades prior - but a shift in the geopolitical environment that changed the role of gold.

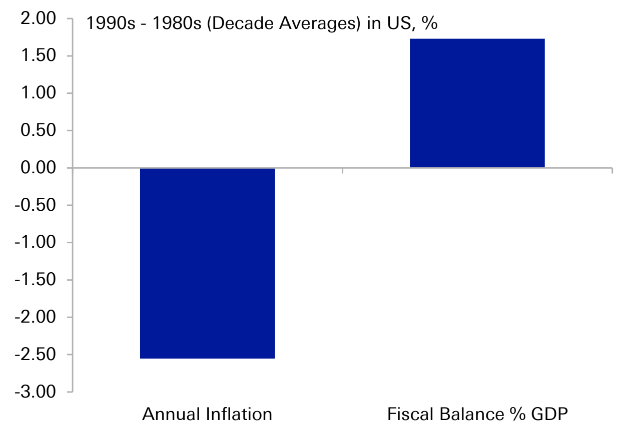
In 1989, Francis Fukuyama questioned whether humanity had reached "the end of history?". A lot of the 20^{th} century had featured ideological violence, but the ending of the Cold War he believed brought a "triumph of the West, of the Western idea," "the endpoint of mankind's ideological evolution" and the "unabashed victory of economic and political liberalism." The Berlin Wall fell the year of his thesis, and the Soviet Union had fully dissolved by 1991. The US thus became an uncontested hegemon in what appeared to be a geopolitically unipolar world. Japan, which had been the US' closest economic competitor, was well within the US security and dollar system, and China was still a decade from joining the WTO.

In the economic realm, a lot was changing in the 1990s from the turbulent decades that preceded it. In the US, a "Great Moderation" was underway. Inflation was falling with tight monetary policy having tamed the price instability of the 1970s and 80s. Indeed, average inflation in the 1990s was 2.5% below 1980 averages. The US was running growing fiscal surpluses. The US fiscal position was 1.5% GDP better in the 1990s than in the 1980s on average (Figure 10). The combination of better inflation and fiscal data, and independent central banking raised trust in monetary and fiscal systems, making US Treasuries a more attractive safe asset. Unlike gold, Treasuries paid a positive yield, had a deep and liquid market which made them easy to hold and transact in, and had no storage costs.

Developed world central banks led by Europe thus began to sell gold reserves in the 1990s (see again Figure 2), which came to be seen as a "barbarous relic" (Arslanalp et al, 2023). Countries like Switzerland, UK, Belgium, Netherlands, Austria, Australia, Canada all sold gold. Gold was seen as a vestige of the past, a zero-yielding asset with little role to play, especially in a world where European countries were moving towards a common currency. As gold sales began to impact the price of gold, central banks formalized a Central Bank Gold Agreement to coordinate sales in 1999, a framework that lasted for the next two decades.

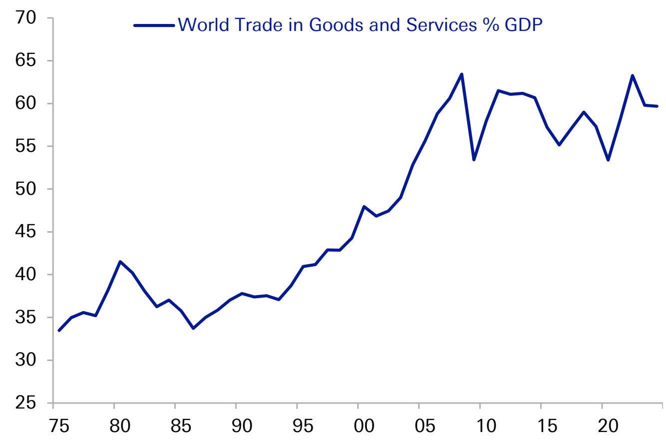
Stabilizing geopolitics, combined with large improvements in technology, communications and transport, led to an explosion in trade and globalization in the 1990s. Trade in goods and services close to doubled as a share of global GDP from 1990 to the 2008 GFC (Figure 11). A rise in global trade contributed to the deepening in dollarization via the channels of invoicing, finance, and the accumulation of dollar surpluses in exporting EM economies. This brings us to arguably the biggest driver of gold's relative decline against the dollar.

Figure 10: The Great Moderation of the 1990s: US inflation was falling and the fiscal position improving



Source : Deutsche Bank, Haver Analytics

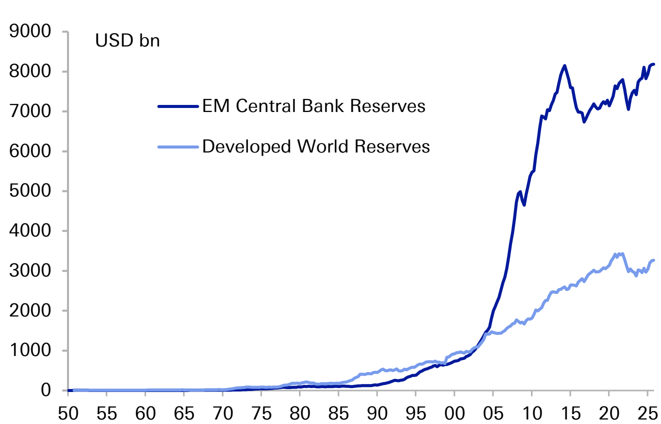
Figure 11: The 1990s were also a period of dramatic growth in trade which was very dollarizing



Source : Deutsche Bank, World Bank

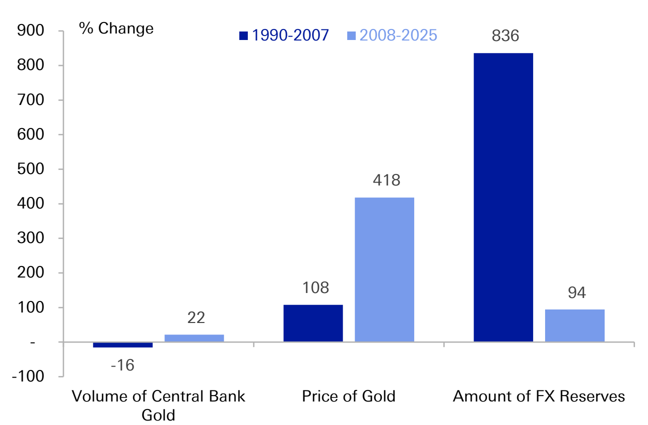
The biggest driver of the decline of gold's share in global central bank reserves in the 1990s was the meteoric rise of emerging market FX reserves, held in dollars. As Figure 12 illustrates, global reserves began to rise in the 1990s. Japan was the biggest driver in the 1990s, with the baton passing to China in the 2000s alongside a wide swathe of EM countries from Russia, to Saudi Arabia, India, Korea, Taiwan, Brazil and others. The total amount of global FX reserves went up 9 times between 1990-2007. A majority of these reserves were built in USD and saved in US Treasuries given the predominance of the US driven economic and trade order. The Asian Financial Crisis in the late 1990 also led to a deeper preference for self insurance by EM countries and a dramatic shift in favour of building reserves, after the failures of capital account liberalization policies. The IMF itself shifted to encouraging reserves adequacy frameworks that stressed savings in USD liquidity.

Figure 12: EM central bank reserves began rising in the 1990s and turned parabolic in the 2000s



Source : Deutsche Bank, IMF

Figure 13: The rise in USD reserves between 1990-GFC were a much bigger driver of gold's relative decline than DM central bank gold sales



Source : Deutsche Bank, IMF, Bloomberg Finance LP

Bringing it all together: one can think of the share of gold in central bank reserves as a function of three things: (1) the *volume* of gold held by central banks; (2) the

price **of gold; and (3) the amount of** ***foreign exchange*** **reserves.** The former two influence the numerator, while the latter influences the denominator. The decline of gold as a share of global central bank reserves from around 40% on the eve of the 1990s to just 10% by the eve of the GFC was predominantly about the denominator. While developed world central banks were selling gold in the 1990s, this was in fact largely offset by the price increase of gold (Figure 13).

In sum, the biggest driver of gold's decline in global reserves in the 1990s was the rise of EM FX reserves accumulated in USD. This was in turn a function of dramatic globalization, in a US-driven neo-liberal unipolar order, amidst sound and improving economic fundamentals in the US. By extension, the dollar's fate as the world's reserve currency will have a lot to do with how these same countries treat their USD holdings in a de-globalizing world in which the US driven order is fraying: do EM countries still add to USD reserves, diversify away from them into gold, or actively draw them down? The future of the dollar as a reserve currency could well be determined in emerging markets, consistent with our thesis that the Global South will be a much bigger economic and geopolitical force to understand.

The return of history

The drivers of the "end of history" have almost all been going in reverse. The world is back in an ideological struggle between competing economic and political models, this time led by the US and China. Both countries are engaged in growing competition across technology, energy, resources, and influence. The world is no longer unipolar. China is on many metrics a bigger industrial, trade and naval power than the US.

The US is stepping back from free trade and fracturing traditional alliances, with China having positioned itself to step into the fray with years of building trade and investment relationships across the Global South. The provision of global public goods guaranteed by the US - namely freedom of navigation and security for key allied regions - has come into question with the closure of the Straits of Hormuz and the vulnerability of the Gulf in the latest conflict.

If the 1990s was a world where the US was happy to outsource manufacturing and labour to EM, with many EM countries happy to outsource security and savings to the US, this is now reversing. The US is keen to onshore more critical manufacturing, while many EM regions like Asia and the Gulf will be reconsidering their need for strategic autonomy in areas like energy and defence. They may well need the savings they have been investing in the USD to build these capabilities.

On the economic front, the Great Moderation is behind us. US inflation has been above target for over five years, independent central banking has come into question, monetary balance sheets have expanded dramatically under QE, and the US fiscal trajectory is on a worrying path.

Finally, the weaponization of the US dominated banking system with the freezing of Russia's USD and EUR FX reserves in 2022 has increased the appeal of saving in gold, which can be held physically and locally, away from the arm of sanctions or asset seizures. Indeed, Russia and China hold 100% of their gold locally.

The end of history has itself come to an end, with significant implications for gold and the dollar, which are becoming increasingly apparent.

What the future may hold

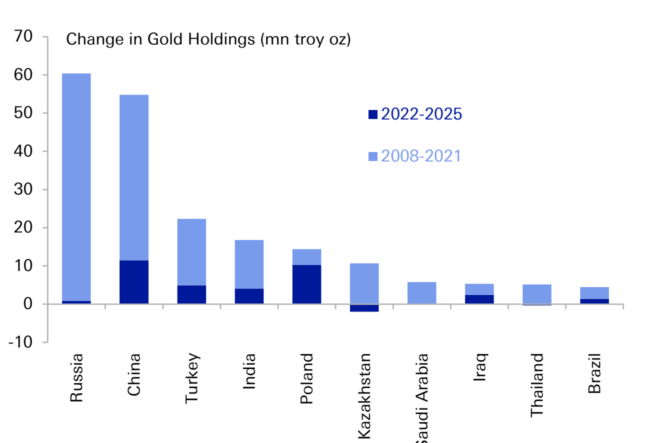
EM is not only buying gold, but could soon be selling the dollar too

As discussed earlier, gold's share in central bank reserves is a function of three main drivers: the volume of gold held, the price of gold, and the stock of FX reserves. For emerging market central banks, all three are on the move.

First, EM central banks have been actively buying gold. EM purchases since 2008 exceed the sales made by developed world central bank sales in the 1990s. Figure 14 illustrates the biggest buyers in volume terms since 2008, split between purchases before and after Russia's invasion of Ukraine (2008-2021 and 2022-25). It is notable that Russia had actively diversified into gold ahead of 2022 (Figure 14). China has continued to purchase gold at roughly the same pace since 2022, while countries in Eastern Europe, India, and MENA have accelerated gold purchases since then.

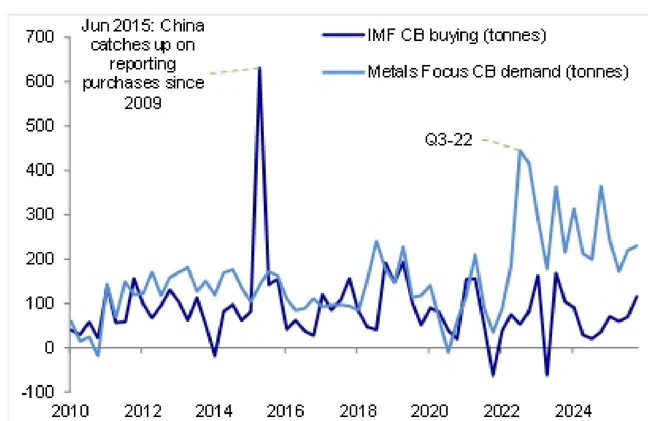
It is important to note that our analysis in this paper focuses on IMF data on central bank reserves, which understates the true accumulation of EM official savings in foreign assets. We discussed this phenomenon in depth **here**. We have chosen to focus on IMF data for a range of reasons: longer time-series history of the data, comparability to COFER estimates of central bank FX holdings, and availability of country level data series. But there are important caveats to this data. While IMF data shows EM central bank reserves have been stagnant in recent years, EM countries have in fact continued to build and recycle savings abroad via large sovereign wealth funds, state banks, and public pension funds. A significant amount of these savings are held in USD, but often with a riskier, less liquid profile across equities and private markets rather than necessarily US Treasuries. Global SWF pegged sovereign wealth fund holdings in Asia and MENA at over USD12tn in March 2026, greater than the size of their central bank holdings.

Figure 14: Russia, China, Turkey, India and Poland have been the biggest buyers in this wave of EM central bank demand



Source : Deutsche Bank, IMF, Bloomberg Finance LP

Figure 15: IMF central bank data understates the true extent of official diversification into gold, which could be three times as large



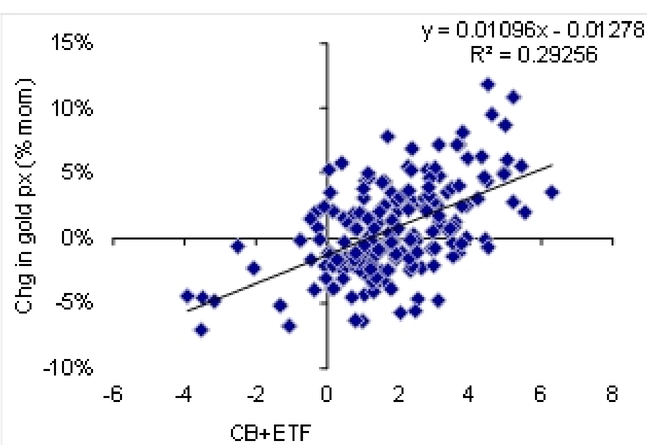
Source : Deutsche Bank, IMF, Bloomberg Finance LP, World Gold Council

If IMF data on central bank reserves is understating the true extent of official foreign savings in EM, it is also understating the full extent of official diversification into gold. Indeed, a series by the World Gold Council (WGC) that tracks quarterly demand by "Central Banks and Other Institutions" and is believed to include sovereign wealth funds and other state-directed flows, shows gold purchases at three times the pace of the IMF series since 2022 (Figure 15). IMF data shows roughly 10 mn troy oz of annual purchases in the past four years by central banks, while the WGC series pegs this at over 30mn troy oz or over 1000 tonnes per year. While this does not change the trend or conclusions of this paper, it does suggest scope to magnify already significant implications.

Second, central bank purchases are driving upward pressure on gold prices. Central banks and official institutions as defined by the WGC have accounted for over 40% of the investment demand for gold since 2022, excluding demand for jewelry, technology and industrial purposes. ETF purchases which picked up meaningfully last year may themselves be piggy-backing off the consistent underlying bid from central banks. A simple regression that looks at central bank and ETF demand suggests that every 1 mn troy oz of purchases leads to a 1% increase in the gold price (Figure 16). We adopt this as a simple back-of-the-envelope heuristic, to be used in analysis below.

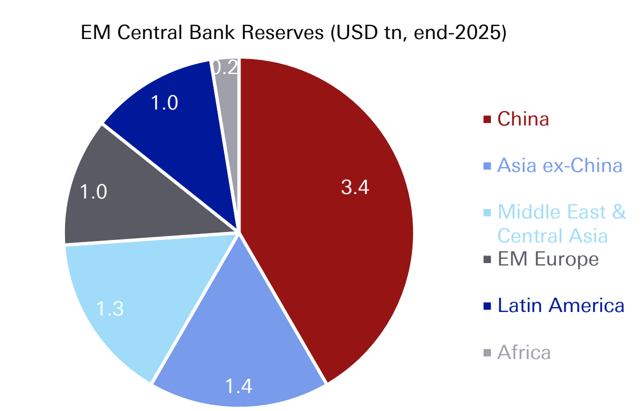
Third, the enormous build of foreign exchange reserves in emerging markets may now go into reverse. As discussed above, the dramatic rise of the dollar's share in global central bank reserves in the 1990s had almost everything to do with the sharp rise in EM reserves. There is a possibility that EM reserves may begin to decline from here. This would be motivated less by foreign investor capital exits or the need to defend currencies, but as countries in Asia and the Gulf draw on their savings to build strategic autonomy in defence and energy, which will require capital, imports and investment. While a majority of the roughly USD8tn in EM central bank reserves are held in China, a significant share are also in Asia ex-China and Middle East & Central Asia (Figure 17). Recent reports that the UAE has asked the US Treasury for a currency swap, suggests the need for USD liquidity. Indeed, the Gulf may turn to their savings not just to tide over the effects of the ongoing war, but for rebuilding efforts, to address economic scarring and diversification needs, and ultimately to build greater domestic defence resilience.

Figure 16: Every 1mn troy oz of buying by central banks and ETFs leads to a 1% rise in gold prices



Source : Deutsche Bank, World Gold Council, IMF, Bloomberg Finance LP

Figure 17: The roughly USD 8tn in EM reserves is held mostly in Asia and the Middle East



Source : Deutsche Bank, IMF

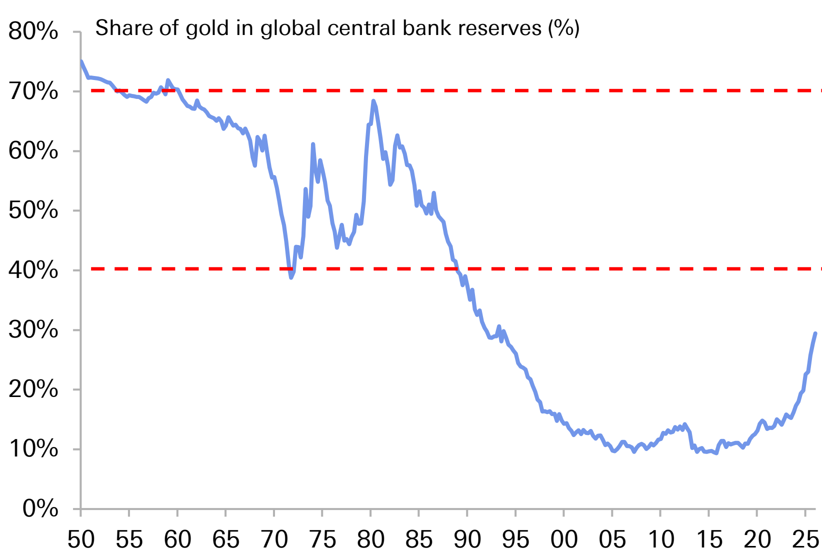
The first two forces are already underway. EM central banks have been actively buying gold and prices have been rising. The third force of active reduction in US holdings is yet to begin, but could be very significant. All three drivers could be at play together, suggesting there is more to go in gold's rise and the dollar's decline as a share of global reserves. Where might they end up?

What share of reserves should gold be?

The combination of gold purchases and price rises has already pushed gold's share of global central bank reserves to around 30%. Where might we go from here?

There is likely still a long way to go. We begin with the key observation that before the 1990s, gold's share of reserves fluctuated between 40-70% of total reserves as illustrated in Figure 18. "The return of history" we described above should make getting to the lower bound of this range - or 40% for gold's share - a reasonable initial target. If the world is going back to looking like it did before the 1990s - with geopolitical competition between superpowers, high inflation, and less universal support for free trade - then it may make sense to expect gold's share of reserves to also go back to similar levels. While before the 1990s, emerging market central banks held very little total reserves, today they are the dominant holders of reserves. And whilst the share of gold in advanced economies reached 34% at the end of 2025, or fairly close to the 40% level, it was only 16% in emerging markets. If the dominant trends of central bank purchases and USD reserve sales are taking place in emerging markets, then there could still be a long way to go: from 16% to 40%.

Figure 18: A complete "return of history" should take us back to at least a 40% share for gold in global reserves - EM has relatively more room to catch up



Source : Deutsche Bank, Eichengreen et al (2014), Bloomberg Finance LP, IMF

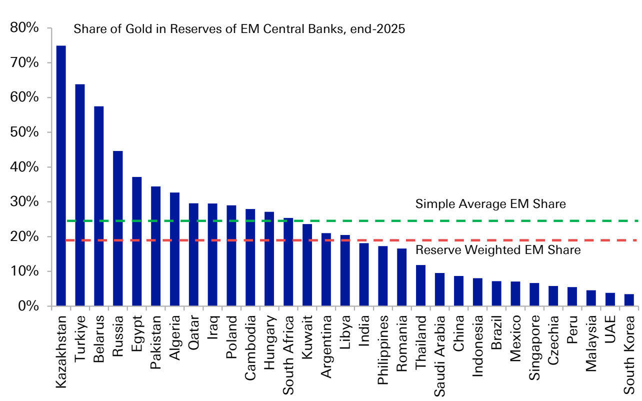
There is a lot of heterogeneity across EM in gold's share in reserves. While EM central banks as a whole held 16% of reserves in gold (end-2025), this masks large variation. The average has a downward bias driven by the largest reserves holder - China: PBOC holds only 9% of reserves in gold. Clearly, the scope for increase driven by China is huge. Kazakhstan and Turkiye had over 60% of their reserves in gold, Russia and Egypt near 40%, Poland and Hungary had reached nearly 30%, while traditional US allies like South Korea and UAE had under 5% in gold.

Academic literature explains this heterogeneity through both an economic and geopolitical lens. Arslanalp, Eichengreen and Simpson-Bell (2025) argue that "central banks operating floating exchange rates hold more gold, consistent with the presumption that they have less need to use their reserves in foreign exchange market intervention." Indeed, gold holdings are less effective in helping central banks defend currencies against large scale capital flows. Thus, an increasing share of gold may reflect less concern amongst EM central banks about sudden stops or withdrawals of capital, especially with foreign ownership at lower levels than in the past. More interestingly, they find that "geopolitical alignment with the United States, proxied by the existence of a defence pact, increases dollar reserves. An interpretation is that governments grateful for US military presence encourage their central banks to hold dollars as a show of good faith."

We also find that EM countries with closer defence ties to the Western bloc hold less gold in reserves, while EM countries with closer ties to China and Russia hold more gold. We draw on an analytical metric first used in our Global South framework to measure military alignment. We look at SIPRI data on arms imports for all emerging market countries over the last 10 years and calculate the proportion of arms imports from the "Eastern bloc", which we define as including China and Russia, versus the "Western bloc" which includes the US, Israel, Europe, and South Korea. We split EM countries into two groups: those that import more than a third of arms from the "Eastern bloc", and those that have limited defence integration with China and Russia. As Figure 20 illustrates, EM countries in the former group have double the share of gold in reserves than the latter group.

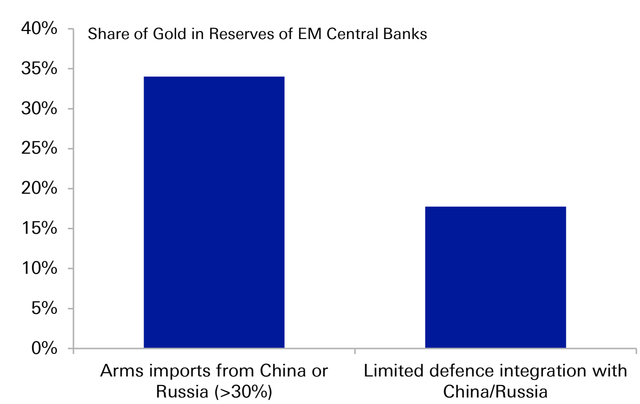
The implication of this analysis is that should more countries diversify defence dependence away from the US, this would be consistent with a reduced share of USD and a greater share of gold in reserves. The US has actively pressured major allies like NATO, South Korea and Japan to take on more ownership for their defence. And we have written about how the US-Iran conflict has challenged the US security umbrella over the Gulf and thereby support for the petrodollar and dollar savings. And while the ultimate geopolitical equilibrium remains to be seen, we think it could lead to some diversification of Gulf ties away from the US, and an acceleration in the localization of defence capabilities.

Figure 19: There is significant heterogeneity across EM in the share of gold in reserves



Source : Deutsche Bank, Bloomberg Finance LP

Figure 20: EM countries with more defence integration with China & Russia hold more gold in reserves



Source : Deutsche Bank, Bloomberg Finance LP, SIPRI

What might this mean for gold prices?

We simulate a range of different outcomes for gold prices depending on the level of FX reserves EM central banks end up with, and the share of gold in reserves they target.

- For total FX reserves, we consider four potential scenarios: a steady state for EM FX reserves of USD8tn (similar to current levels); and then three alternatives: a drastic decline in EM FX reserves to USD2.5tn, a decline to USD5tn, or an increase in EM FX reserves to USD10tn.
- For the share of gold in reserves, we look at a range of different shares rising from 15% to 40%. As discussed earlier, a 40% gold share could be a reasonable target for a "return to history" scenario, while 15-20% is where EM central banks are as a whole today.
- We use our earlier heuristic that every 1mn troy oz of purchases (sales) drives a 1% increase (decrease) in the gold price for our analysis. Our simulation is therefore dynamic, as we assume gold purchases by central banks influence the gold share through their impact on the prices as well. The rise in gold's share captures the blended impact of both prices and volumes.

The table in Figure 21 shares our simulation results. Prices shaded in green are above current gold prices (at the time of writing), while prices shaded in red are below. The numbers are not intended to be forecasts (found here), but to illustrate the range of potential price impacts from different combinations of EM central bank behaviour.

Figure 21: We simulate a range of different gold price outcomes depending on where EM central bank FX reserves end up, and the share of gold they target

EM FX Reserves (USD tn)	Share of Gold in EM Total Reserves (%)					
	15%	20%	25%	30%	35%	40%
Big Decline in EM Reserves (USD 2.5bn)	1700	2200	2700	3300	3900	4600
Decline in EM FX Reserves (USD 5tn)	2800	3700	4600	5600	6700	8000
Stable EM FX Reserves (USD 8tn)	4000	5300	6700	8100	9800	11600
EM FX Reserves Rise (USD10tn)	4800	6300	8000	9800	11700	14000

Source : Deutsche Bank, Bloomberg Finance LP

As intuition would suggest, if EM central banks are targeting a rising share of gold in a steady or growing FX reserves environment, this would be the most bullish outcome for gold. But even in an environment where EM FX reserves decline to USD5tn, if central banks target an increase of gold's share to 40%, this could still be consistent with gold prices rising to near $8000 over the next five years. We walk through the calculation in the simulation to illustrate. At USD5tn in FX reserves, gold would need to be worth USD3.3tn for gold to be a 40% share. Getting to USD3.3tn in gold would be a function of central banks buying more gold, and that buying driving up prices. Assuming every 1mn troy oz of purchases drives up gold prices by 1%, if EM central banks build gold holdings to 417mn oz, or an additional

52mn oz, this would drive up prices to around $7977, which would put total gold valuations at around USD3.3tn. At the current pace of gold purchases of roughly 10mn troy oz per year by central banks (based on IMF central bank only data series), this would be consistent with five more years of gold buying. In other words, EM central banks could push gold prices to $8000 over the next five years even in a declining FX reserves environment.

In the extreme case of EM FX reserves falling to USD2.5tn, the current volume of gold held by EM central banks at current prices (USD1.7tn), would already give gold a 40% share. There is thus no upside to gold projected in the first row of the table.

This simulation also helps us understand the price action of gold in March 2026 during the Iran war. IMF reserves data for the month of March showed overall EM central banks *sold* gold, led by Turkiye. These gold sales are likely a function of the fact that Turkiye has a high share of gold in reserves at over 60% which were therefore leveraged for liquidity. As our colleagues note, net FX intervention by the CBT reached USD23bn in the last two weeks of March, and the CBT mobilised around USD 20bn worth of gold — USD 11.1bn via gold-FX swaps and USD 8.2bn through outright gold sales. While acute, this is not likely to be representative of a broader trend in EM. Countries from Poland to Kazakhstan were still buying gold in March according to IMF data, and China's PBOC data also shows buying at the fastest pace in a year. Most EM countries have gold shares at far lower levels than Turkiye with significant scope to raise them.

If more of the rise of gold's share for EM central banks is achieved through the drawdown of FX reserves, this will be less bullish for gold. If, however, EM FX reserves are stable or fall more gradually, and central banks engage in active buying of gold to raise their gold shares, this will be more bullish for gold.

What does this suggest about the monetary order to come?

As this paper has discussed, central banks in emerging markets have been actively adding to their gold holdings. The rationale for this is mostly seen as being about diversifying official savings into a physical long-lived asset, that can be held beyond the reach of sanctions, and which is likely to hold value better than fiat currencies amidst greater fiscal and inflation risks.

But it is worth considering whether the build up in physical gold in emerging markets might be a precursor to a potential return of gold as an anchor for an alternative future monetary system. Since the collapse of the Bretton Woods, gold has not had a formal role in international monetary architecture. But history has long alternated between periods of fiat and physical-backed money. It would be consistent with - not counter to - history, to expect gold to return at some stage.

The US backed the dollar with gold when it created the post-war monetary architecture of Bretton Woods. It would thus be intuitive to expect any effort by other countries looking to create a bigger role for their currencies in payments and savings to also turn to gold. Gold has been part of monetary orders for over 2500 years and is not anyone's liability. And while production does expand supply - with above-ground gold stocks growing at around 2% a year this century - this is less than the growth in most countries' fiscal deficits. For countries in the Global South, where economic regimes, rule of law, and capital account openness, may be less well understood by global corporates and investors, backing payment currencies with a share of physical gold could be an important trust-building mechanism.

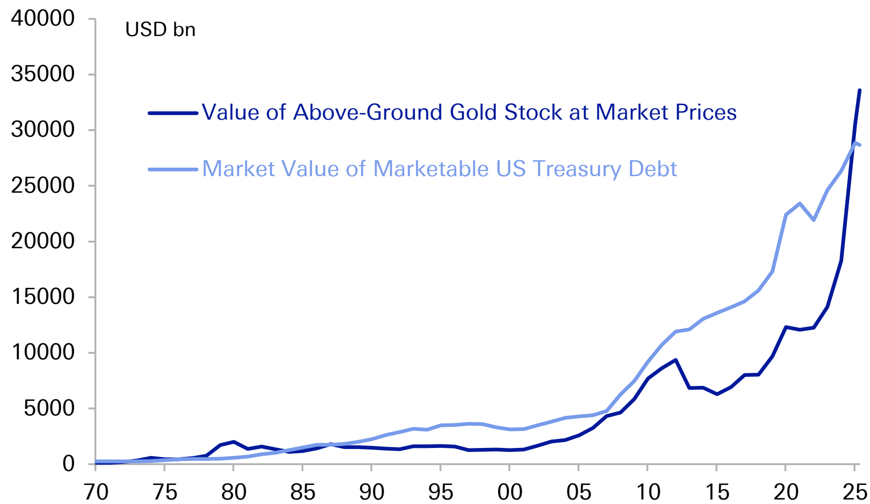
While far from formalized as policy, there are pockets of discussion around gold playing a role in backing a future BRICS currency. A paper from OMFIF, an independent think tank for central banking, economic policy and public investment, noted that the "BRICS are exploring the creation of a common currency that would be pegged partly to gold and partly to a basket of their own currencies." They noted that "by tokenizing gold reserves, each digital unit would be backed by tangible assets stored in secure vaults, with regular audits ensuring accountability." They note that a "gold linked alternative BRICS payment system" could again give gold a "distinct role in payments." Media reports in late 2025 indeed noted the pilot release of a BRICS Unit backed 40% by physical gold and 60% by an equal split of CNY, RUB, INR, ZAR, and BRL fiat currencies. We would stress that the "Unit" does not appear to be formal policy by the BRICS and thus should be considered more a thought experiment at this stage. But the momentum for creating alternative payment rails that facilitate local currency payments in the Global South are well underway. For instance, Project mBridge has already reached minimum viability for payments and involves central banks in China, Saudi Arabia, UAE, Hong Kong, and Thailand settling cross-border trade via wholesale CBDCs over the blockchain.

The economic clout of China and the Global South in PPP-adjusted GDP already exceeds 50% of the world today, and a majority of global trade flow growth is happening down these corridors. Payment innovations in this part of the world should thus be paid heed. We have written in great detail (see here) how competition around payments is heating up and how this is deeply linked with reserve currency status through the linkages between invoicing and savings. The US has opted for stablecoins as its solution to ensuring dollar dominance, namely in the Global South where traditional USD payments mechanisms were at risk. We note that while US stablecoins would be backed by US T-bills, a BRICS currency of the future could well be backed in part by physical gold.

In sum, while EM central bank diversification into gold likely has much to do with preserving the value and accessibility of their foreign savings in a changing geopolitical climate, it may also - in the long-run - play a role in anchoring a monetary order that builds independence from the dollar. There is of course a very long way to go. EM central banks as a whole still only hold half the physical gold of advanced economy central banks. But there is a world where gold returns to the centre of a future monetary system with different leaders.

To conclude, we find it notable that the value of above-ground gold exceeded the total value of marketable US Treasury debt last year for the first time in 40 years (Figure 22 overleaf). In other words, gold is now a bigger asset class than the world's main safe asset. The return of history is here.

Figure 22: The value of above-ground gold exceeded the marketable value of US Treasuries last year for the first time in 40 years



Source : Deutsche Bank, St Louis Fed, Bloomberg Finance LP, US Geological Survey

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This paper builds on a suite of our thematic work for the Deutsche Bank Research Institute. The future of gold and the dollar in reserves will be fundamentally informed by the growing importance of the Global South, the competition and innovation in payments technology, and the evolution of some of the geopolitical foundations for dollar-based payments and savings behaviour like the petrodollar. Some key reference pieces from the Deutsche Bank Research Institute include:

The Global South: A strategic approach to the world's fourth bloc (May 2025)

What Iran means for the dollar: a perfect storm for the petrodollar (March 2026)

What do stablecoins mean for dollar dominance? (Sep 2025)

Geoeconomics 101: implications for the dollar, emerging markets and beyond (Jan 2026)

The shift in US leadership: building the euro for a new age (May 2025)

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OMFIF, Gold and the New World Disorder: Consequences of Central Banking Shifts, 2025-26 Perspectives

Appendix 1

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Deutsche Bank
Research

M&A Spotlight

Megatrends supersede war fears

April 2026

Luke Templeman | Galina Pozdnyakova

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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Image: Microsoft Designer

Lingering effects from the war in Iran could impact the world economy

But it depends on how much energy infrastructure has been damaged

The IMF recently analysed the impact of the war in Iran on the global economy:

Current scenario
Global growth is projected to be 3.1% in 2026 and 3.2% in 2027, slower than its recent pace of about 3.4% in 2024–25, and to settle at about that rate in the medium term.

Adverse scenario
Larger and more persistent increases in energy prices. Global growth would slow to 2.5% in 2026, and inflation will reach 5.4%.

Severe scenario
More damage to energy infrastructure in the conflict region will cut global growth to only about 2% in 2026, while headline inflation would be just above 6% by 2027.

"The impact on emerging market and developing economies would be almost twice that on advanced economies."

Source: IMF, Deutsche Bank.

How 2026 could play out under our current assumptions about the world economy (DB forecasts)

S&P 500	↑	14.8%
Stoxx 600	↑	3.2%
10yr treasury yield	↑	4.45% (+20bps)
US GDP	=	2.4% Q4 yoy
Eurozone GDP	↓	0.4% Q4 yoy
UK GDP	↓	0.8% Q4 yoy
Crude oil (assuming the SoH reopens in May)	↓	$80 p/b

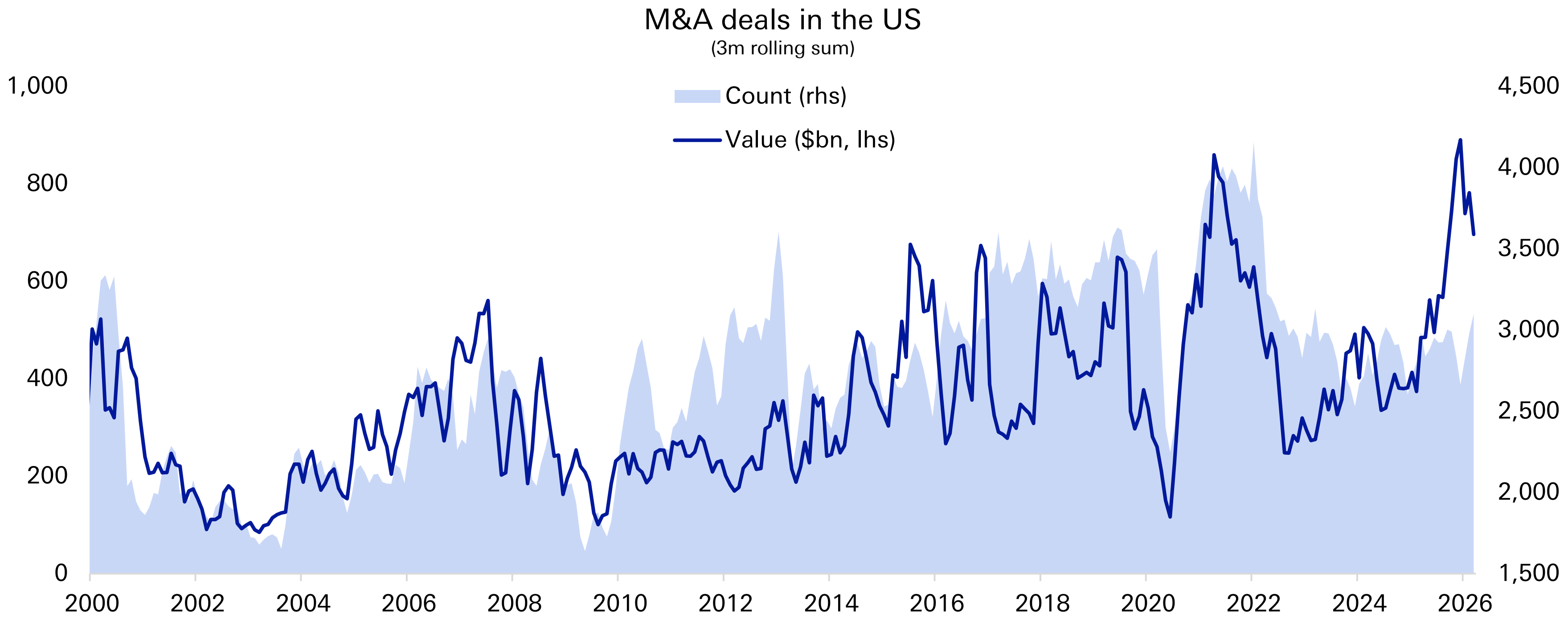
M&A themes in the shadow of the Iran war

1. Corporates are 'doing something big'	269 strategic deals in the US >$1bn in the trailing 12m as of Q1; exceeded 2021 peak
2. M&A as a growth driver	Organic revenue growth of ~5% in the US and ~4% in Europe still below prior averages – M&A being used to boost topline is a reversal of the trend in the 1st half of the 2020s
3. Asset efficiency	European divestments and carve-outs around their cyclical high, Strong trend up in US divestments
4. Defensive releveraging	US firms have delevered to 2015 levels. European firms around their multi-decade lows
5. Using M&A to hedge geopolitical risk	300% growth in US deals into Europe; 43% growth in European deals into the US
6. Operating through volatility	Focus on maintaining US profit margins at ~11%; Europe at ~8%
7. Executing without perfect visibility	20pp spread between CEO confidence and consumer sentiment in the US. Large deal execution continues unfazed despite consumers reporting their worst sentiment on record
8. Targets with autonomous supply chains	Q1 growth in M&A spread across sectors

Source: Bloomberg Finance LP, Dealogic, Deutsche Bank.

Q1 review: In the US, deal values fell after the exceptionally strong Q4 … but the number of deals is rising.

That points to a broadening M&A momentum beyond megadeals

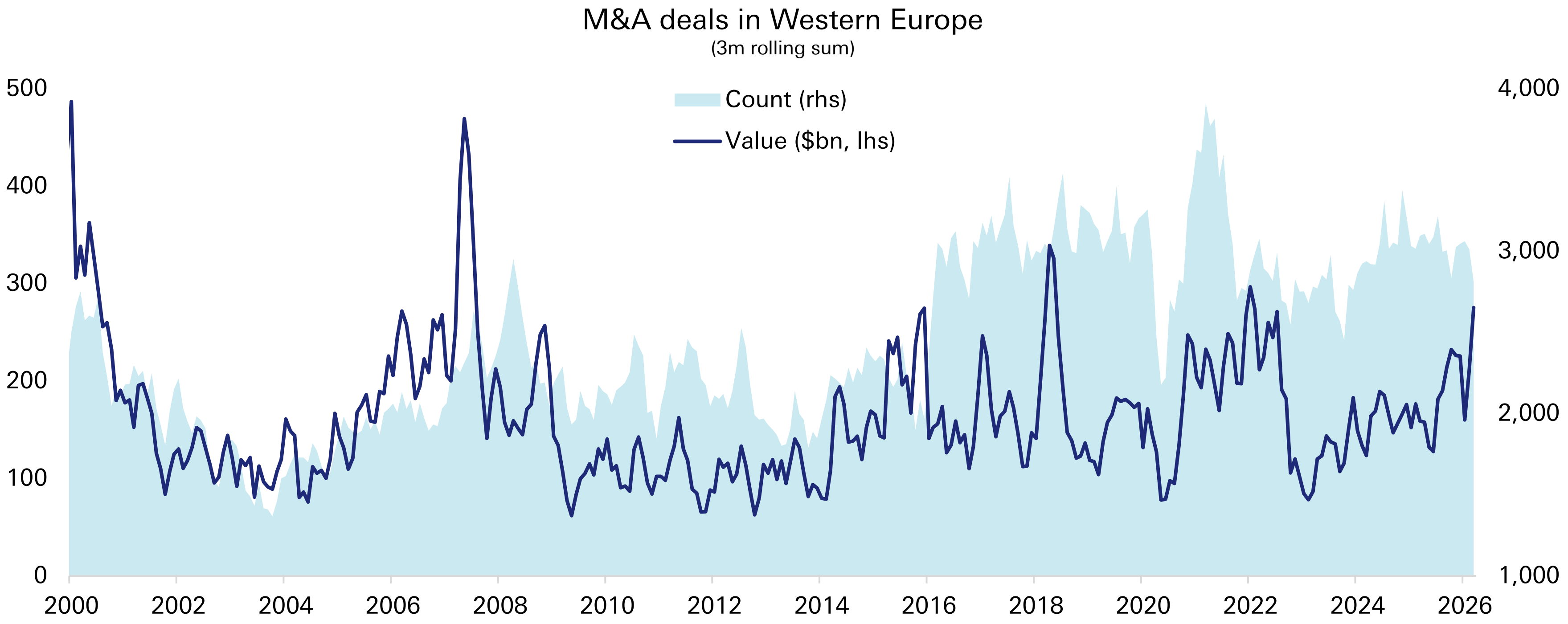


Source: Dealogic, Deutsche Bank.

Deutsche Bank Research Institute

Q1 review: In Europe, large deals carried M&A despite some slowing in deal numbers

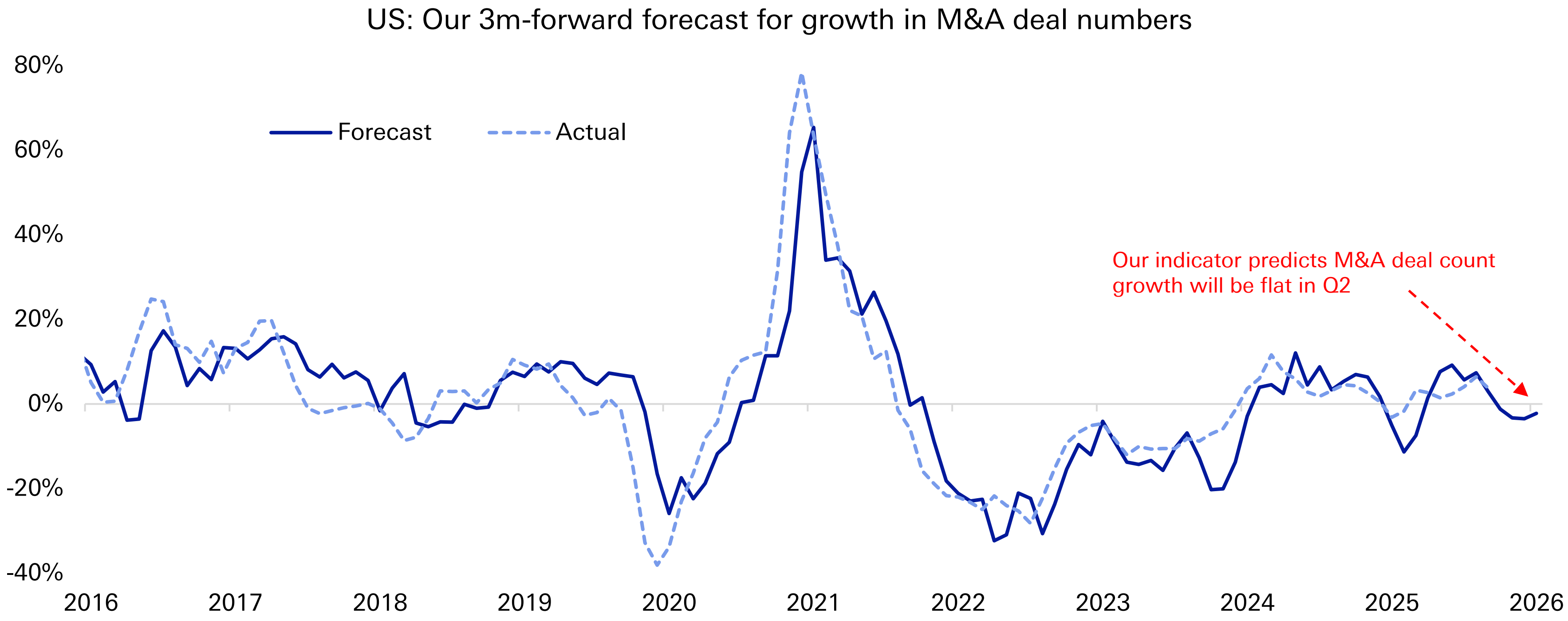
Corporates jumped into the market as peers announced deals and companies attempted to take advantage of rising dispersion and lower valuations in some quarters



Source: Dealogic, Deutsche Bank.

Our M&A forecast – US

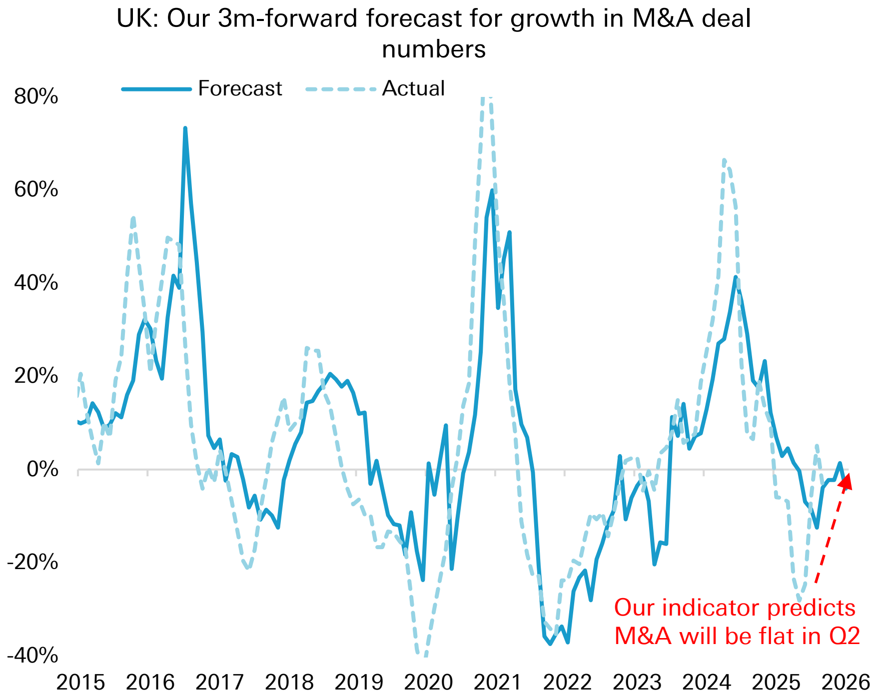
Our indicator for the US suggests that after a good Q1 for deal count growth, we could see a flat Q2 as economic data, especially sentiment and uncertainty indices, has dragged on our forecasts. H2 should then be a period of growth even if the mid-term elections provide some market choppiness.

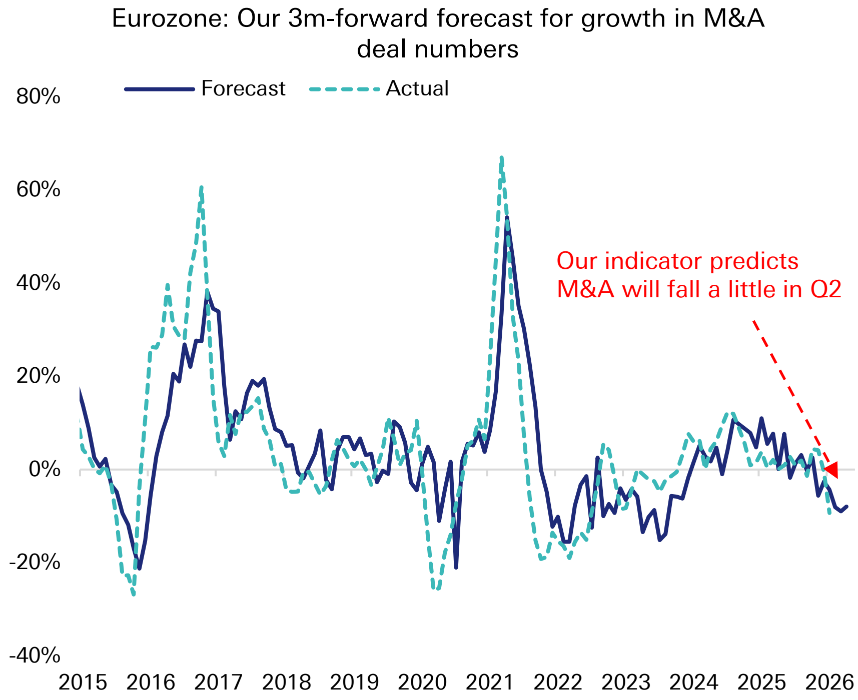


Source: Dealogic, Deutsche Bank.

Our M&A forecast – Europe & UK

We expect near-term UK dealmaking to be more resilient as Europe is weighed on by worsening market conditions. We then expect a recovery in H2





Source: Dealogic, Deutsche Bank.

Megatrends in global economies and markets are increasingly driving M&A

We recently published a brief outline of our quantitative model that analyses how key megatrends affect the S&P 500, GDP, inflation and interest rates here. We have applied this framework to quantitatively assess the effect on M&A markets.

Our quantitative megatrend model shows the impact of 6 trends on economies and markets

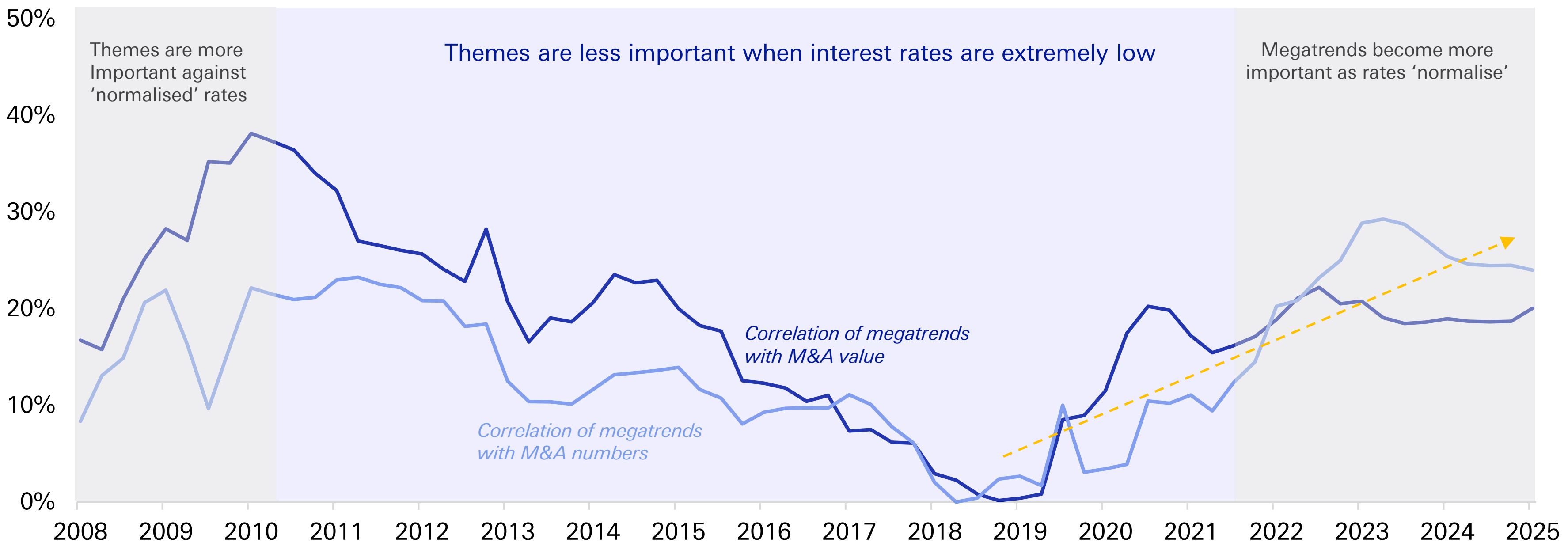
Source: Dealogic, Deutsche Bank.

Megatrends in global economies and markets are increasingly driving M&A cont.

The aggregate of the six megatrends has been increasingly important for US dealmaking after a slump in 2010s

M&A has become increasingly correlated with the growing impact of megatrends

Correlation between megatrend growth and M&A values and volumes (higher = more dealmaking growth attributed to thematic megatrends)

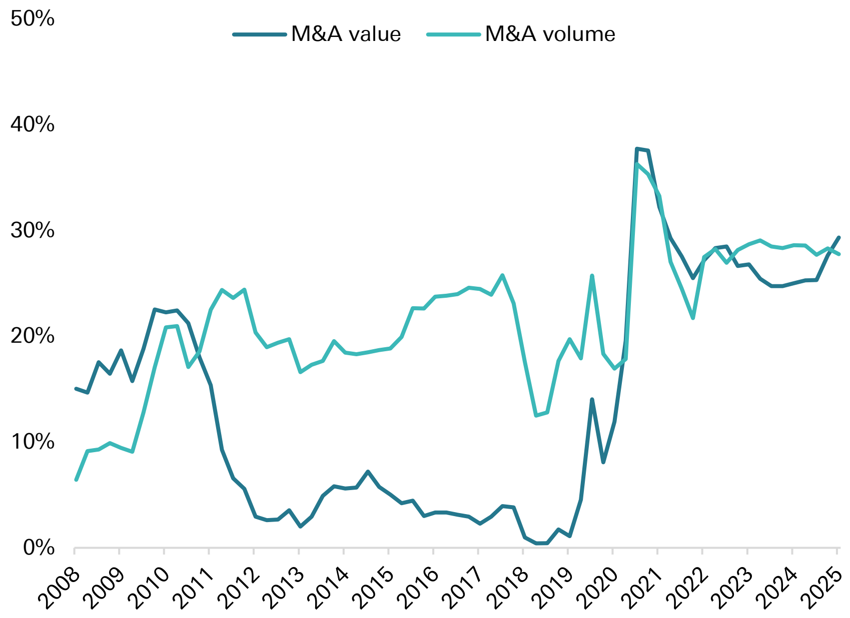


*Source: Dealogic, Bloomberg Finance LP, Haver Analytics, EIA, Deutsche Bank. * Note: rolling 10yr R^2*

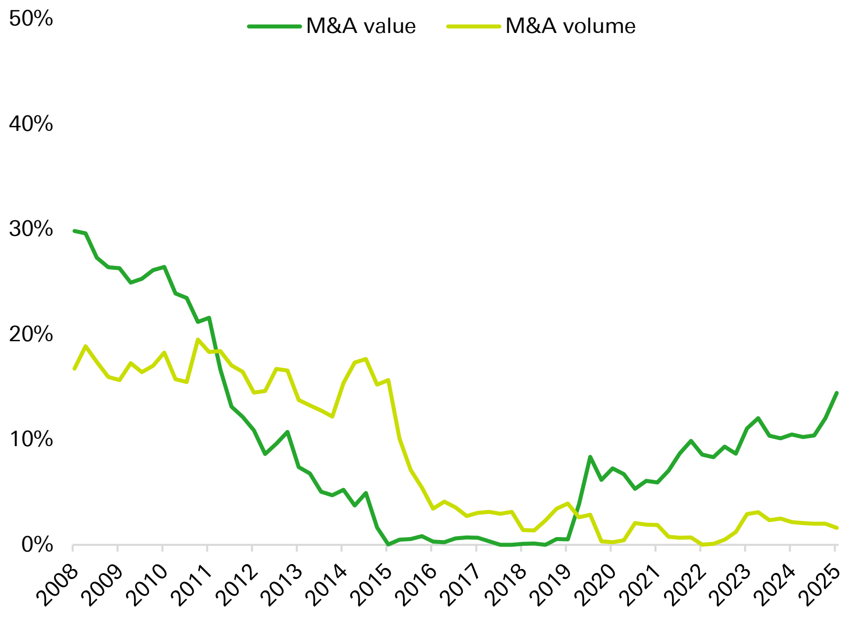
Two important megatrends for M&A are ‘technology’ and ‘geopolitics & globalisation’. The link between these and M&A has been growing tighter.

M&A likes calm geopolitics, but it loves technological advancement. Large deals, in particular, have coincided with greater trade and globalisation in recent years.

Correlation between our **technology** megatrend indicator and M&A values and volumes *



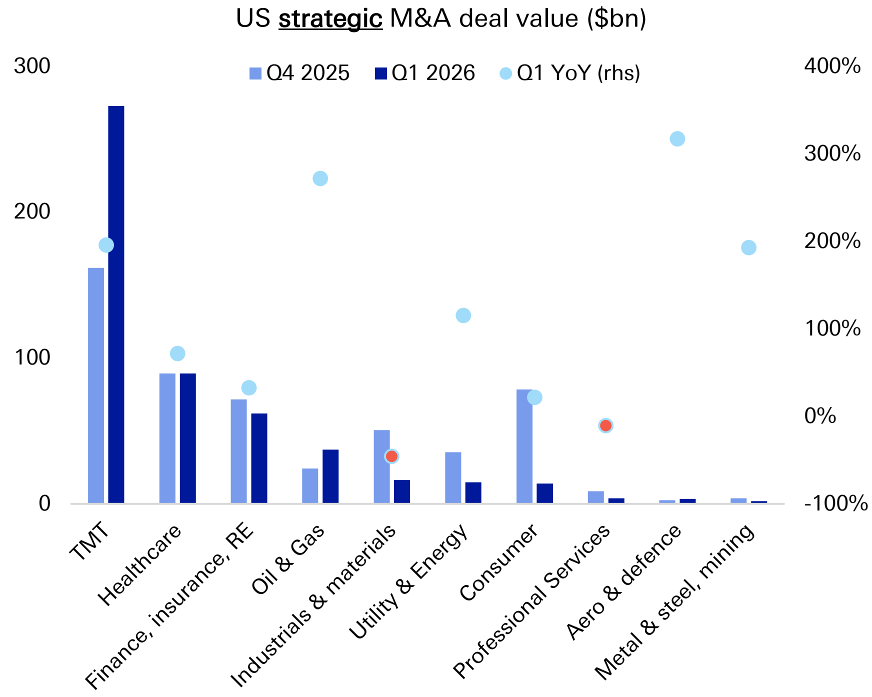
Correlation between our **geopolitics & globalisation** megatrend indicator and M&A values and volumes *

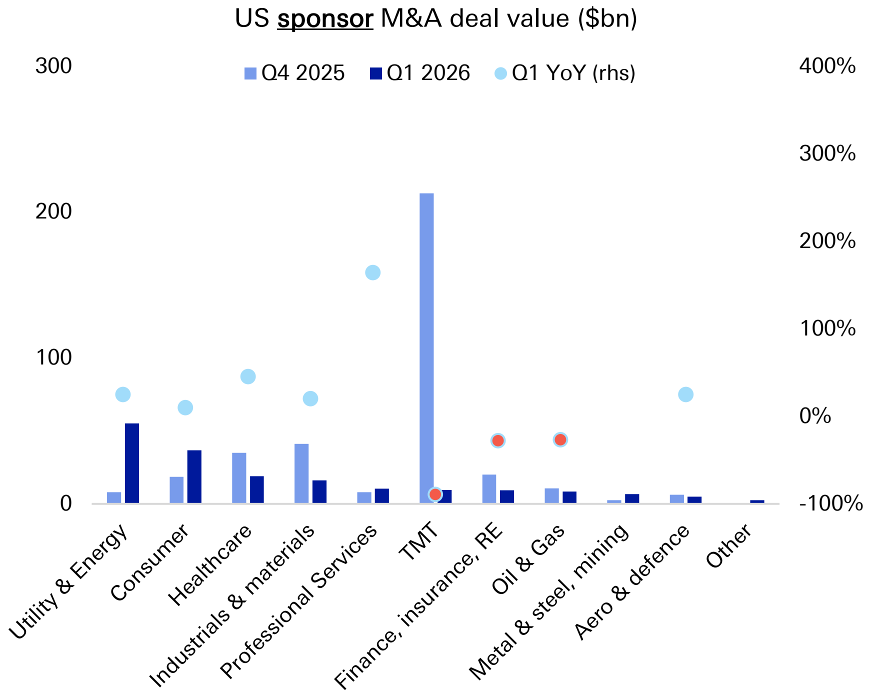


*Source: Dealogic, Bloomberg Finance LP, Haver Analytics, EIA, Deutsche Bank. * Note: rolling 10yr R^2*

Corporate buyers are 'doing something big' (our main theme of 2026 see here)

Demand for corporates to do transformational deals was strong even though it was a bit lower after the big Q4. The most notable drop was in sponsored TMT dealmaking amidst software jitters and the very strong tech dealmaking last year.

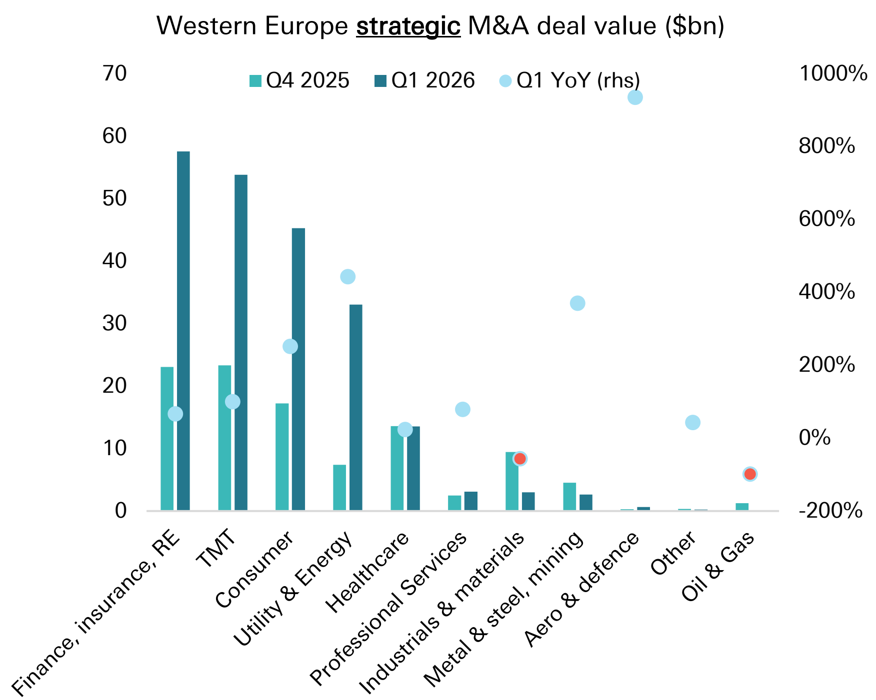


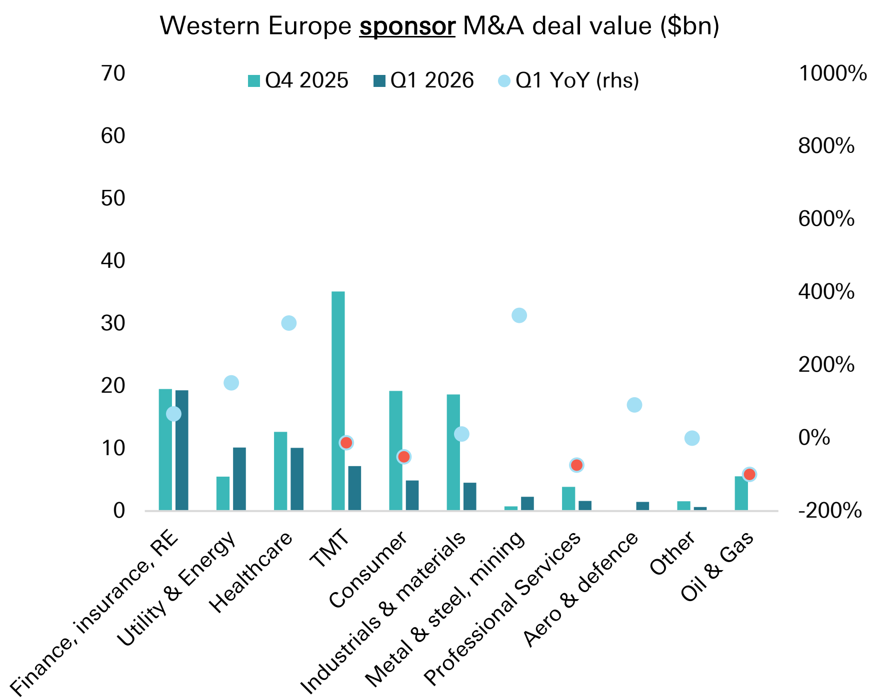


Source: Dealogic, Deutsche Bank.

European corporate buyers are also seeking acquisitions to beat out their peers

In Q1, Western Europe caught some of the residual momentum from the US – a few sectors in strategic M&A more than doubled last quarter. Sponsors, however, slowed down, especially in tech and economically-sensitive sectors.

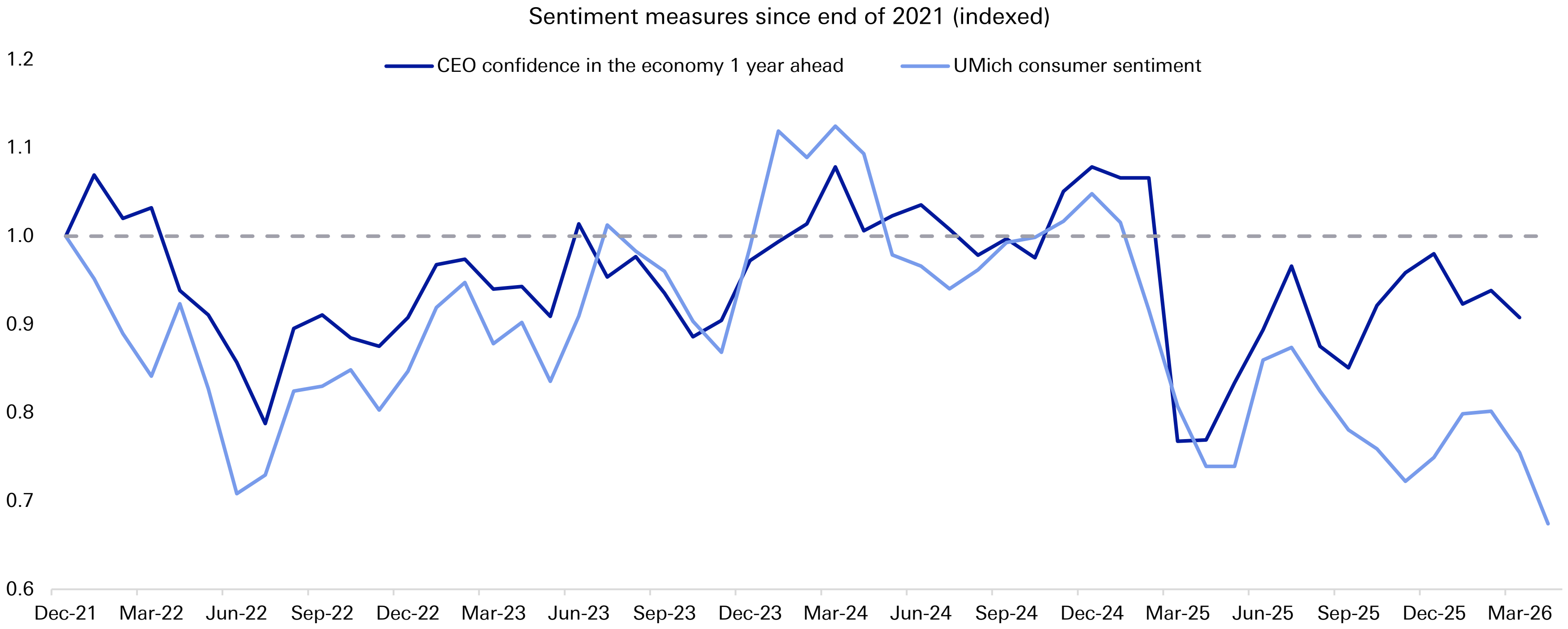




Source: Dealogic, Deutsche Bank.

CEO sentiment is higher than most people think …

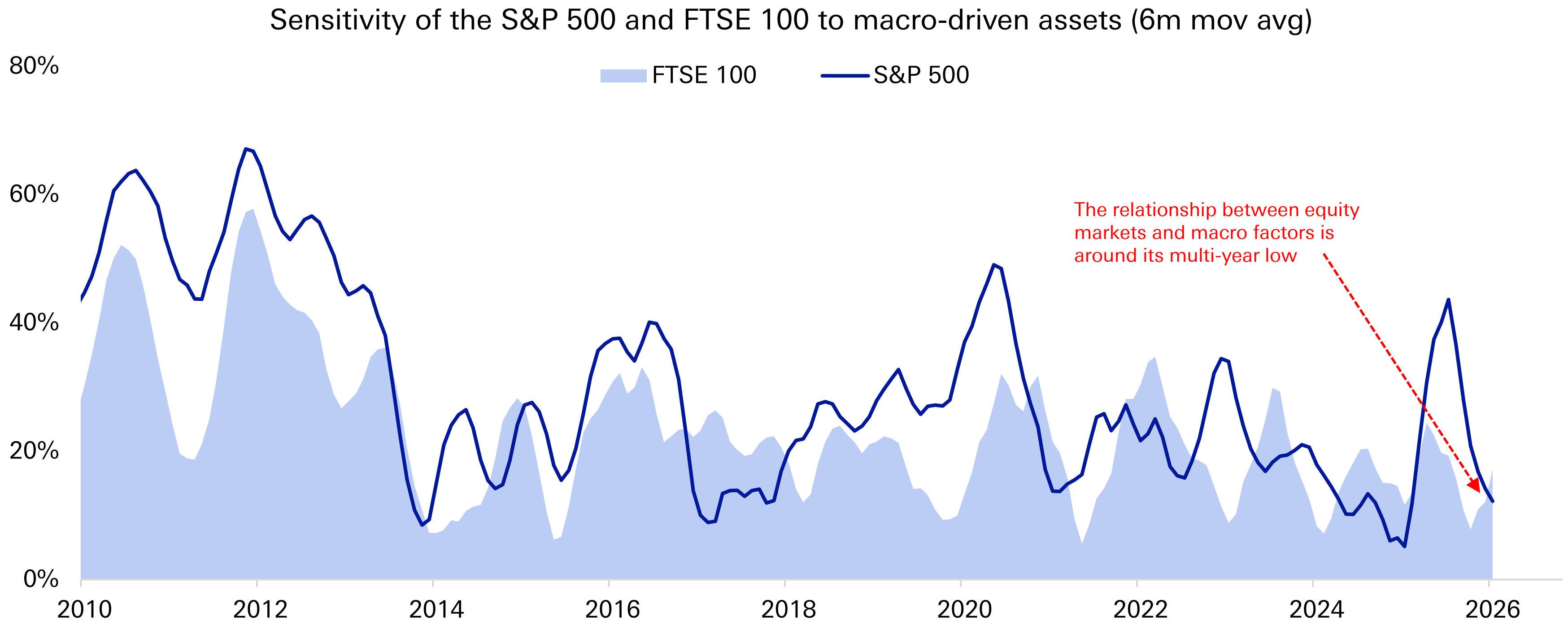
There has been a divergence between consumer sentiment (most talked about) and business sentiment (not so talked about)



Source: Bloomberg Finance LP, Deutsche Bank.

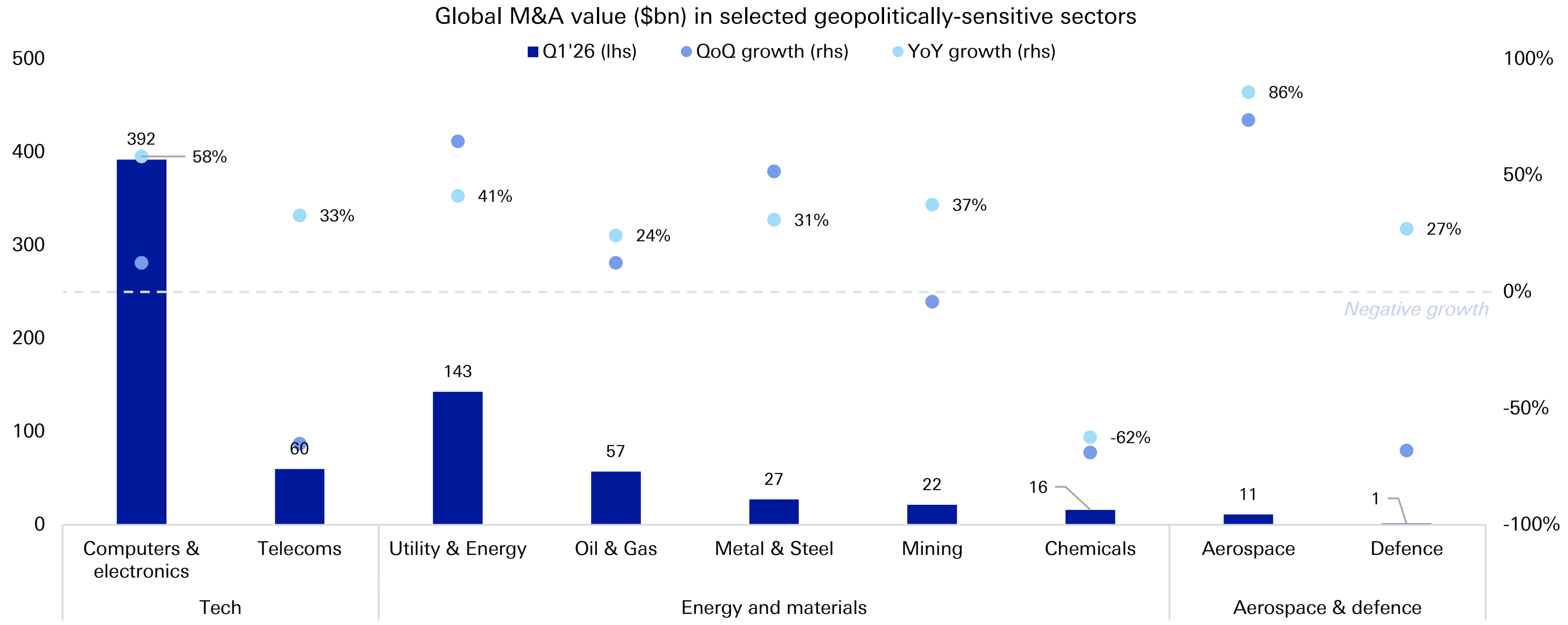
… while the macro backdrop is less important than many expect

M&A markets closely follow broader stock markets which appear less concerned about the macro – we measure this by looking at the correlation of equity markets to several other markets that are highly-sensitive to macro movements.



Source: Bloomberg Finance LP, Deutsche Bank.

Geopolitics and M&A: Globally, deals in sensitive sectors like energy and aerospace & defence did especially well in Q1

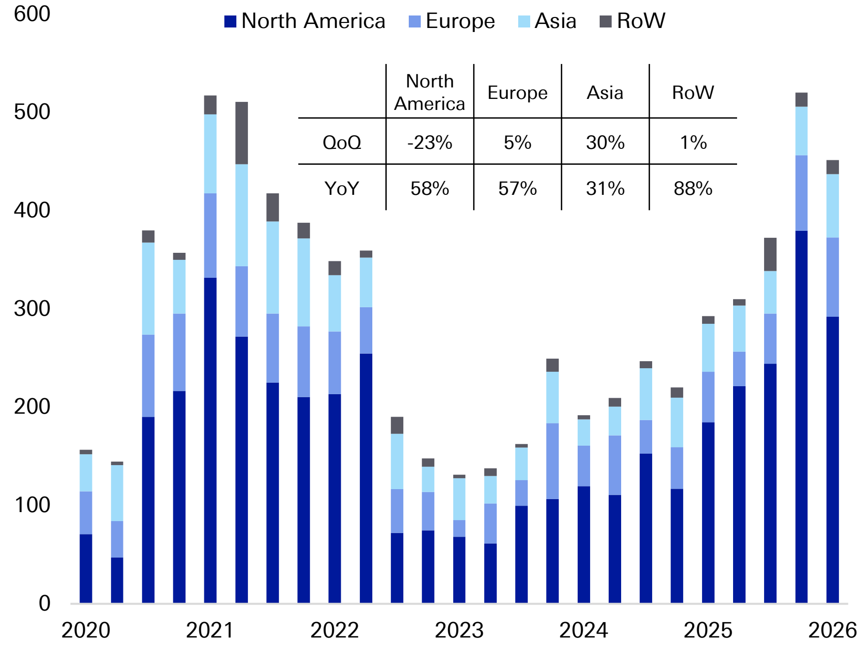


Source: Dealogic, Deutsche Bank.

Geopolitics and M&A: Growth in tech has been strong in Asia, but somewhat slow in North America and Europe after a very strong Q4.

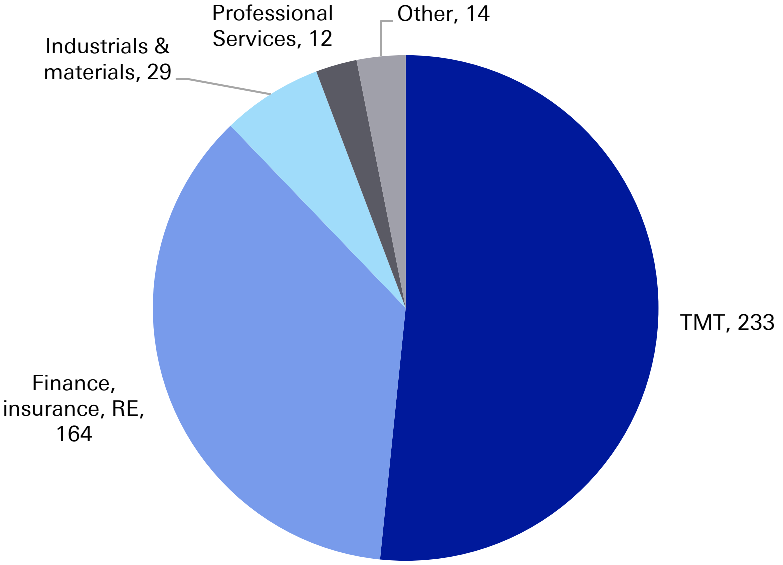
Deal values across all key regions were still up significantly YoY. Tech buyers and sponsors remain the key acquirors.

Global technology deals, by deal region ($bn)



	North America	Europe	Asia	RoW
QoQ	-23%	5%	30%	1%
YoY	58%	57%	31%	88%

Global TMT deals in Q1’26 ($bn) buyers' sector

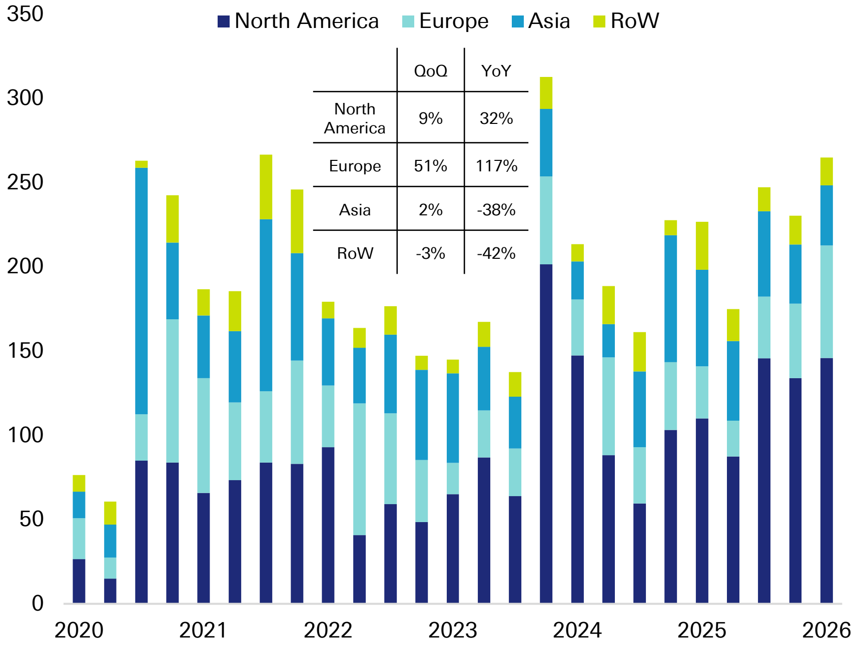


Source: Dealogic, Deutsche Bank.

Geopolitics and M&A: Energy and materials had a very strong Q1 in Europe, driven by sponsors

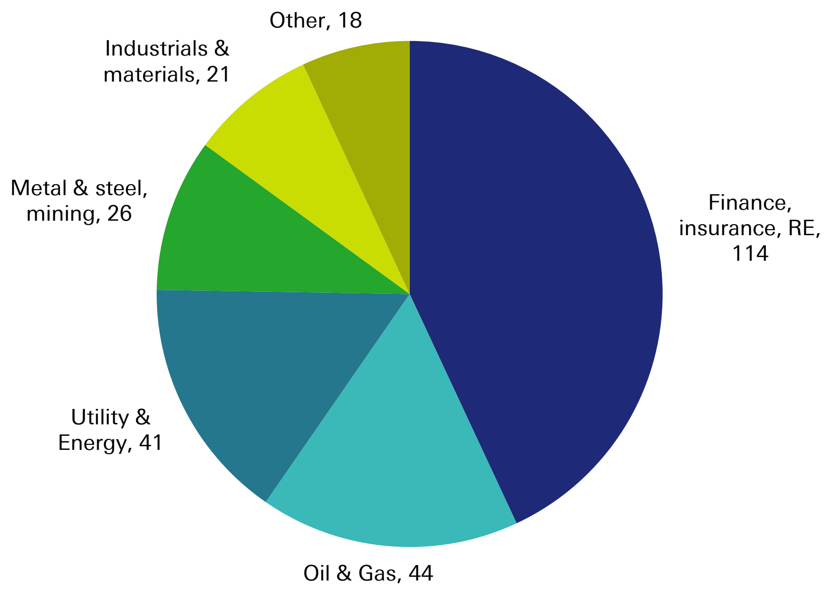
By contrast, growth in Asian dealmaking in these sectors has been lagging.

Global energy and materials deals, by deal region ($bn)



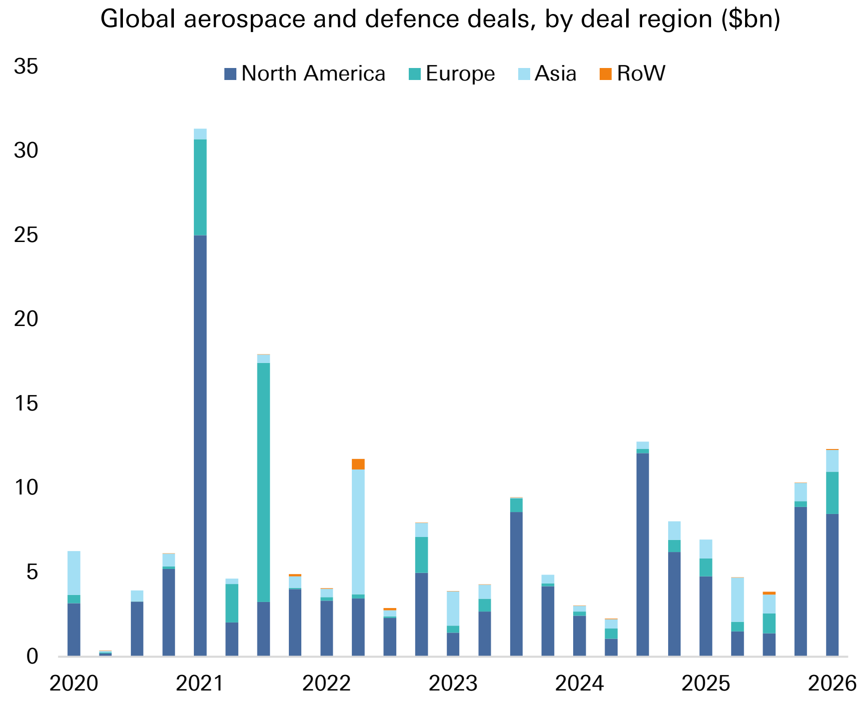
	QoQ	YoY
North America	9%	32%
Europe	51%	117%
Asia	2%	-38%
RoW	-3%	-42%

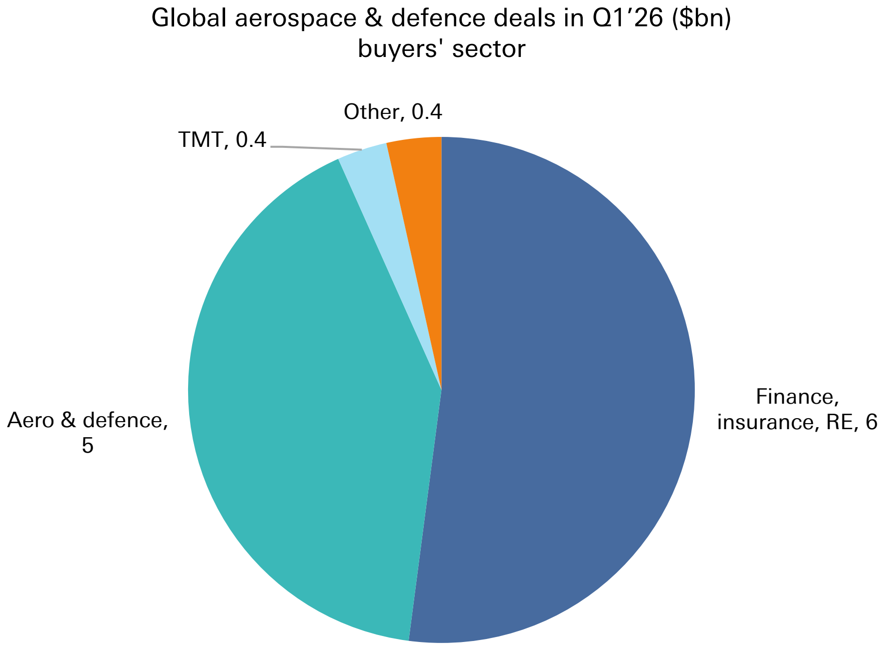
Global energy & materials deals in Q1'26 ($bn) buyers' sector



Source: Dealogic, Deutsche Bank.

Geopolitics and M&A: Aerospace & defence is still a nascent area of dealmaking, but growth was strong in Europe and especially from sponsors.

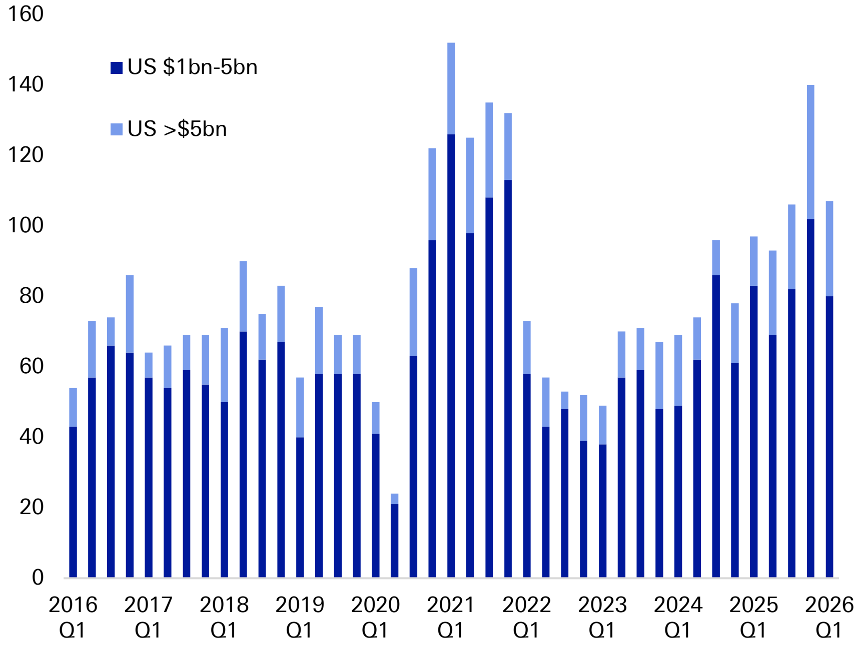


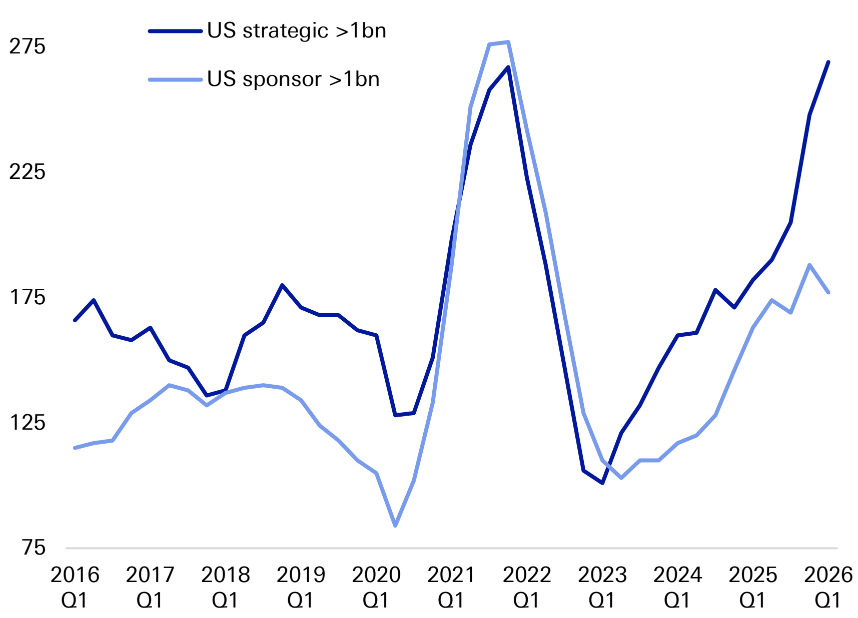


Source: Dealogic, Deutsche Bank.

Megadeals – In the US, these have cooled from a very strong Q4 but remain in an upwards trend

Importantly, more and more megadeals are done by strategic buyers, with sponsors taking a break.

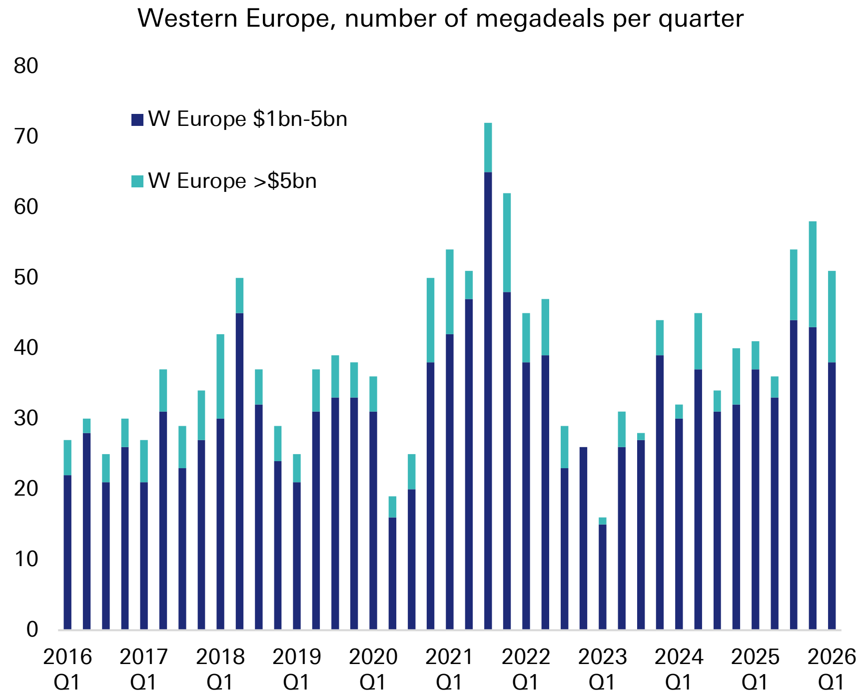


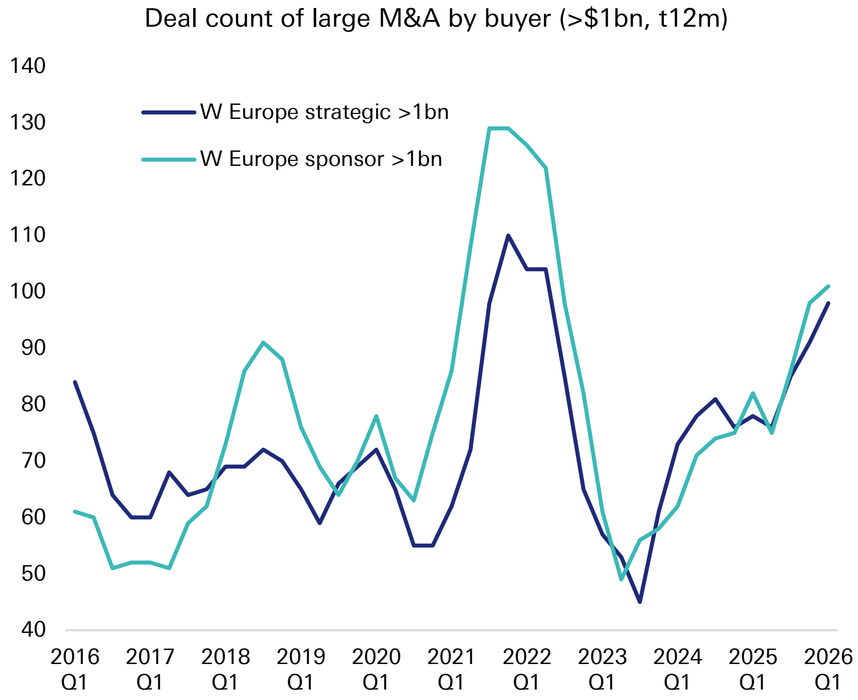


Source: Dealogic, Deutsche Bank.

It's a similar picture in Europe, with a third quarter in a row with a large number of +$5bn deals.

Both strategic and sponsor buyers are doing more +$1bn deals



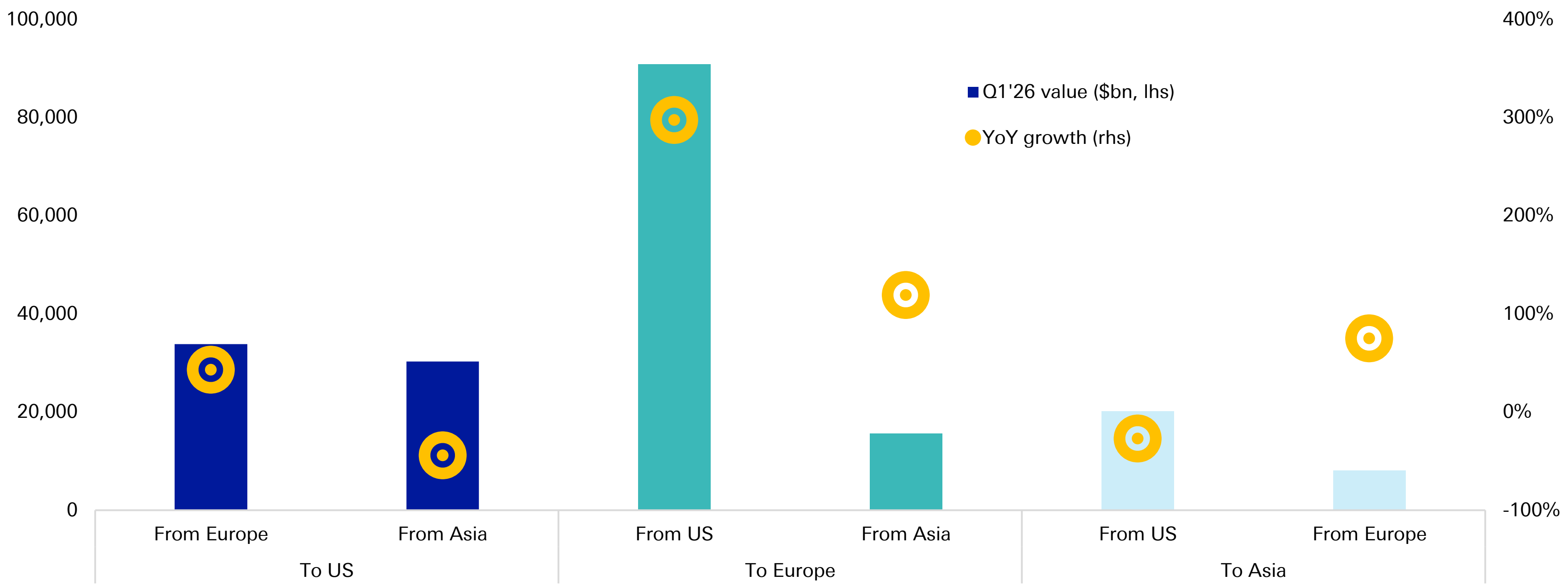


Source: Dealogic, Deutsche Bank.

Deal flow between continents – US and European companies are hedging geopolitical risk

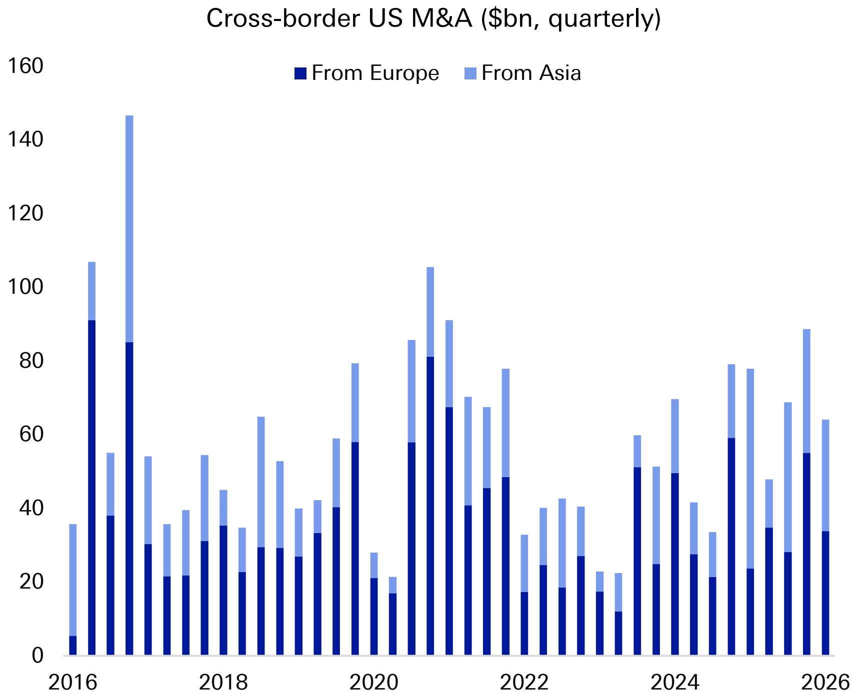
Europe has been the clear winner in terms of interest from abroad, especially the US. Dealmaking between the US and Asia has somewhat slowed.

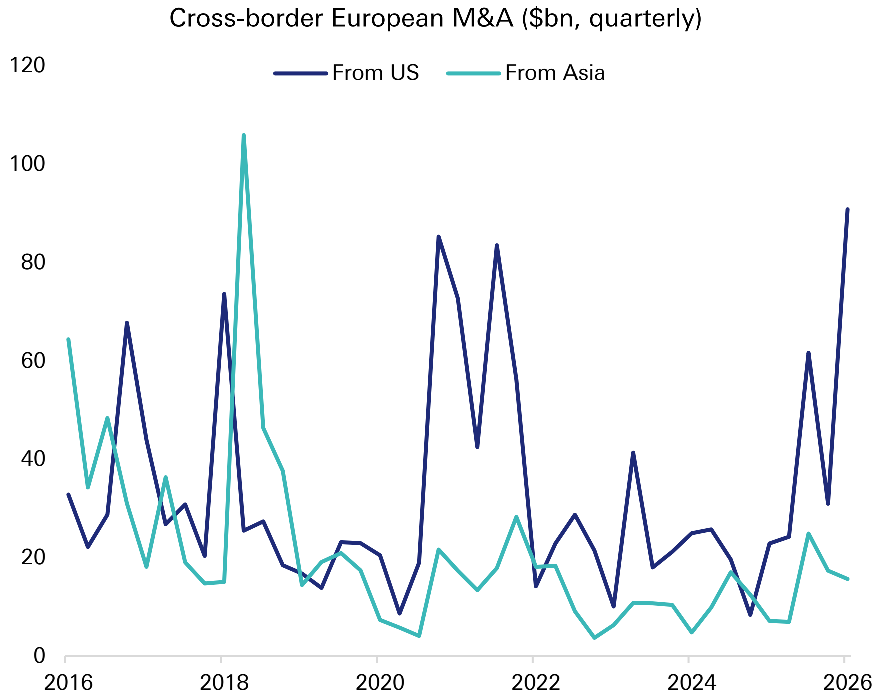
Cross-border M&A dealmaking in selected regions



Source: Dealogic, Deutsche Bank.

Cross-border deals into Europe by US buyers have seen a stronger quarter than during the M&A boom of 2021. Dealmaking by Asian buyers has been steady in both the US and Europe.



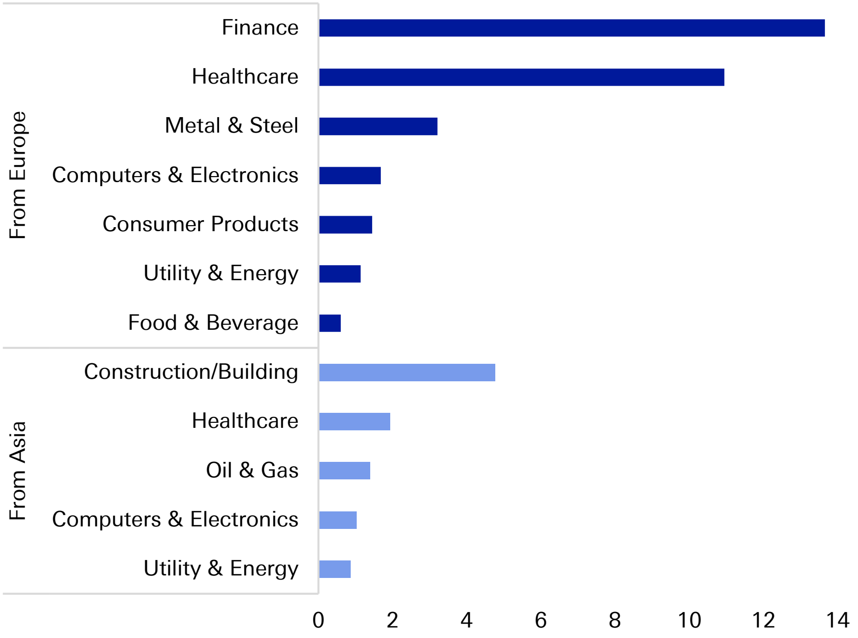


Source: Dealogic, Deutsche Bank.

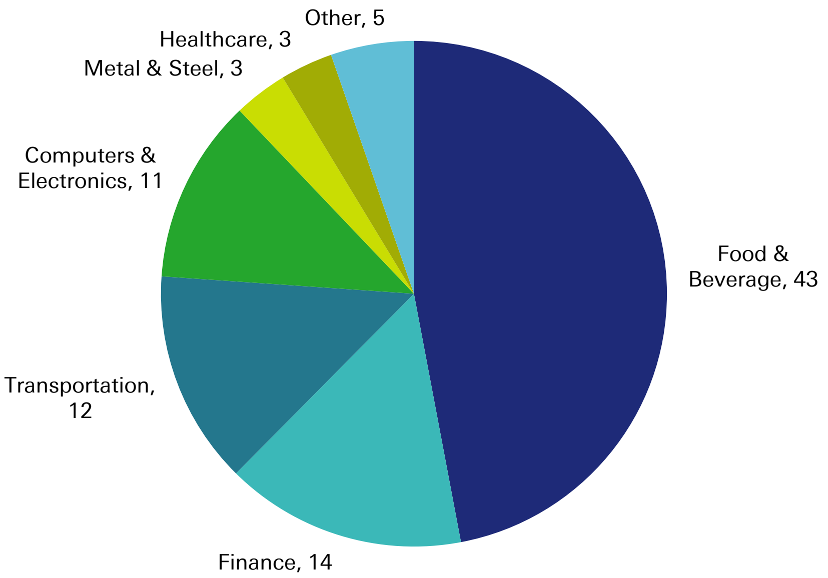
Cross-border US deals have cooled on tech (in line with the market)

Buyers from Europe were focused on defensive finance and healthcare. US dealmaking in Europe has been skewed towards staples, which along with finance and transport added up to c75% of Q1's value.

Cross-border US deals by sector ($bn value in Q1)



European cross-border deals with the US, top sectors in Q1 by value ($bn)

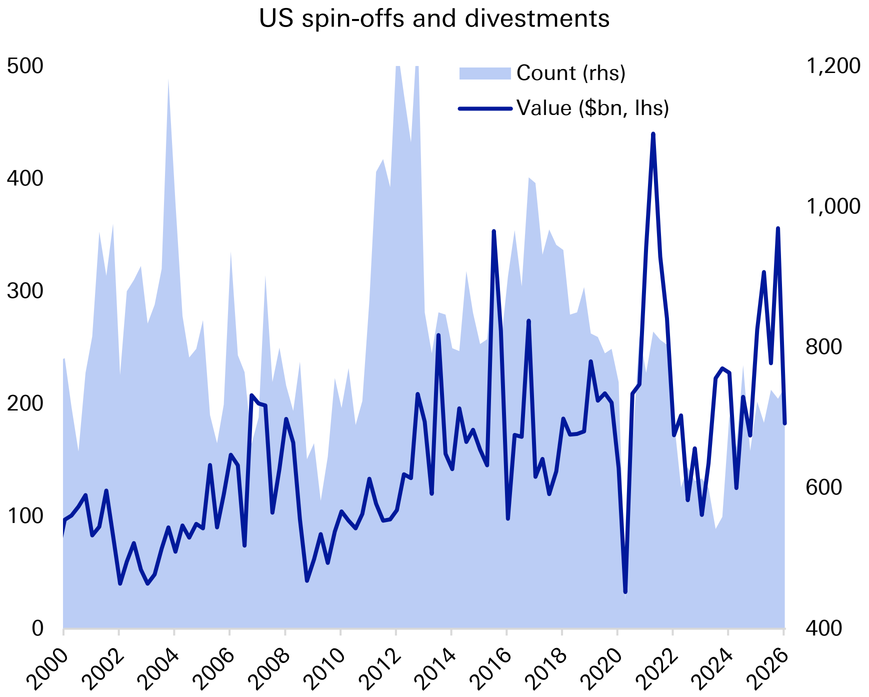


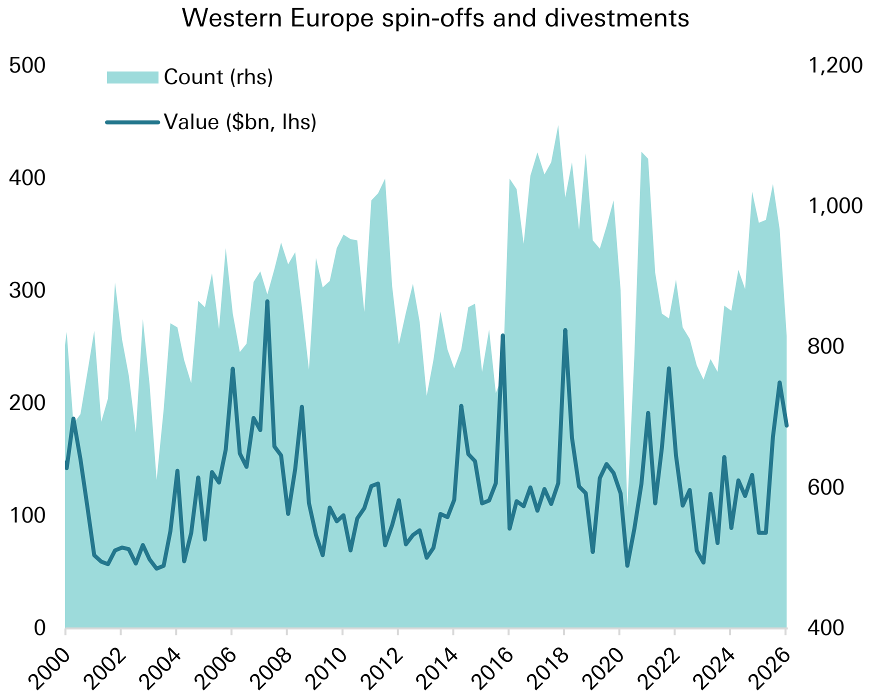
Source: Dealogic, Deutsche Bank.

Deutsche Bank Research Institute

Efficiency drive: Spin-offs, split-offs, divestments and asset carve outs

Momentum in Europe stronger than in the US but the push for more efficient operations and better 'asset turnover' is driving divestments as a broader trend. The plentiful dry powder at private equity firms means there are many willing buyers.

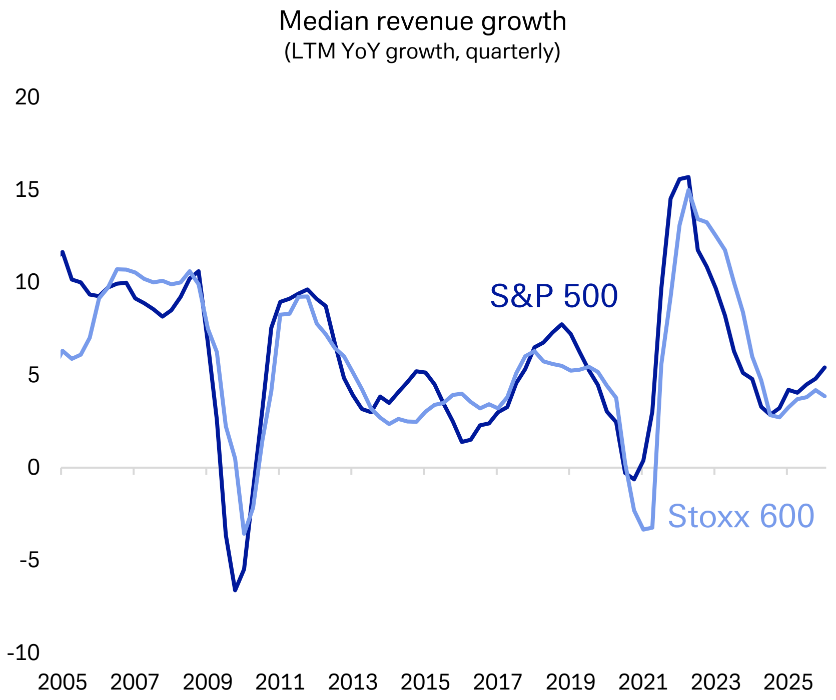


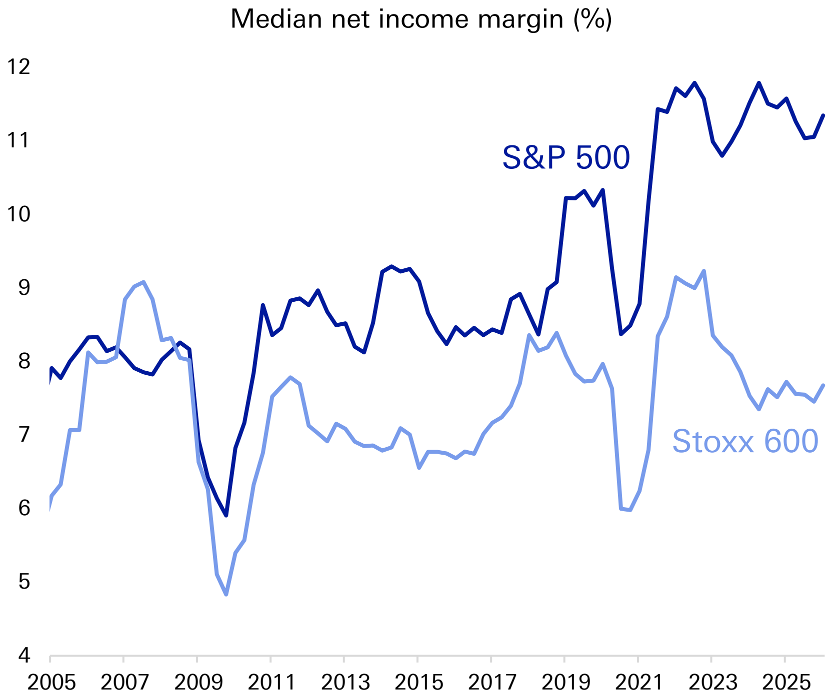


Source: Dealogic, Deutsche Bank.

Deutsche Bank Research Institute

Growth- and efficiency-centred M&A is becoming a priority as corporates recover from the downtrend in revenue growth and the plateau of profit margins





*Source: Bloomberg Finance LP, Deutsche Bank. * Note: excluding financials, real estate and utilities.*

Appendix 1